



Malek Spinning Mills PLC.



ANNUAL REPORT 2023-2024



IDEA



CAPABILITY



ENERGY



PARTNERSHIP



www.malekspinning.com

35th ANNUAL REPORT 2023-2024



35th ANNUAL REPORT 2023-2024

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Malek Spinning Mills PLC.

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
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MALEK SPINNING MILLS PLC.

TRANSMITTAL LETTER

The Shareholders

Bangladesh Securities and Exchange Commission

Registrar of Joint Stock Companies & Firms

Dhaka Stock Exchange PLC.

Chittagong Stock Exchange PLC.

Sub: Annual Report for the year ended 30th June, 2024

Dear Sir(s),

We are pleased to enclose a copy of the Annual Report of Malek Spinning Mills PLC. containing Directors' Report, Auditors' Report along with the Audited Financial Statements comprising Statement of Financial Position as at June 30, 2024, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended June 30, 2024 along with notes thereon and all related Consolidated and Subsidiaries Financial Statements, Corporate Governance Compliances and others for your kind information and records.

Thanking you,

Yours sincerely,



Syed Saiful Haque

Company Secretary

Dated: November 21, 2024

MALEK SPINNING MILLS PLC.

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower One One Seven, 117/A, Tejgaon Industrial Area, Dhaka-1208

NOTICE OF THE 35th ANNUAL GENERAL MEETING

Notice is hereby given that the **35th ANNUAL GENERAL MEETING** of the shareholders of the Company will be held on **Wednesday, 18th December, 2024 at 11:00 a.m.** by using Digital (Virtual) Platform through the link <https://www.digitalagmbd.net/malekspin> to transact the following businesses:

- Agenda-1. To receive and adopt the Audited Financial Statements of the company for the year ended 30th June, 2024 together with the Report of the Directors' and the Auditors' thereon.
- Agenda-2. To declare dividend for the year ended 30th June, 2024.
- Agenda-3. To elect Directors in terms of the relevant provision of Articles of Association of the Company.
- Agenda-4. To appoint Statutory Auditors for the year 2024-2025 and to fix their remuneration.
- Agenda-5. To appoint Corporate Governance Compliance Auditors for the year 2024-2025 and to fix their remuneration.
- Agenda-6. To consider approval of sale of yarn (finished goods) to subsidiary/associate/sister companies, if any.

By order of the Board



Syed Saiful Haque
Company Secretary

Dated: November 21, 2024

Notes:

- (i) The shareholders whose names appeared in the Share Register of the Company and/or Depository Register of CDBL on the **record date i.e. November 18, 2024** are eligible to attend in the AGM and be entitled to the dividend.
- (ii) Pursuant to the Bangladesh Securities and Exchange Commission's Directive No. BSEC/CMRRCD/2009-193/08 dated March 10, 2021 and BSEC/ICAD/SRIC/2024/318/87 dated March 27, 2024, the AGM will be virtual meeting, which will be conducted via live webcast by using digital platform.
- (iii) **The shareholders are requested to participate at the AGM by login to the following link: <https://www.digitalagmbd.net/malekspin>**
- (iv) The Shareholders will be able to submit their questions/comments and vote electronically **24 hours before** commencement of the AGM and during the AGM. For logging into the system, the Shareholders need to put their 16-digit Beneficial Owner (BO) ID number/Folio number and other credential as proof of their identity.
- (v) A Shareholder entitled to attend and vote at the AGM may appoint any person as his/her proxy to attend & vote in his/her place. The Proxy form must be affixed with requisite revenue stamp and be deposited at the Corporate Head Office of the Company not less than 72 hours before the time fixed for the meeting.
- (vi) Pursuant to the BSEC Notification, the soft copy of the Annual Report 2023-24 will be sent to the email addresses of the Shareholders available in their BO accounts maintained with the Depository and this Report will also be available in the Company's website at www.malekspinning.com
- (vii) The shareholders are requested to login to the system prior to starting of the meeting **at 11:00 A.M. on Wednesday, 18 December 2024**. Please contact at +8801709998861 for any queries in accessing the virtual meeting.

CORPORATE GOVERNANCE:

Corporate Governance is a discipline by which a Company is controlled and directed. Governance is the path to identify and ensure the ethics, rights and responsibilities among different participants in the Company. Good Corporate Governance is key to its successful sustenance. Corporate Governance of Malek Spinning Mills PLC. is as follows:

Board of Directors

In line with the concept of Good Corporate Management Practice and the provisions of Articles of Association, The Board of Directors, the top Management tier is responsible for overall control and supervision of the entire affairs of the Company primarily through strategic planning & budgetary control mechanisms. To this end, The Board of Directors hold periodic meetings to resolve issues of policies and strategies, recording the minutes/decisions for implementation by the Executive Management.

During the year under review the Board of Directors of Malek Spinning Mills PLC. held 07 (Seven) meetings to transact various agenda. The intervening gap between the meetings was within the period prescribed under the Companies Act.

The present Board of Directors consist of Eight (8) members including two Independent Directors with varied education and experience which provides a balancing character in decision making process.

The present Board of Directors are comprised by the following owners/persons:

Mr. A.F.M. Zubair	Chairman
Mr. A. Matin Chowdhury	Managing Director
Dr. Shamim Matin Chowdhury	Director
Mr. Azizur Rahim Chowdhury	Director
Ms. Saima Matin Chowdhury	Director
Mr. Mahir Rahman	Director (Nominee of Paragon Poultry Ltd.)
Mr. Muhammad Abul Hossain	Independent Director
Dr. Sultan Hafeez Rahman	Independent Director

The Board is re-constituted every year by the Members (shareholders) of the Company in the Annual General Meeting through retirement/re-election/election of one-third members.

Separate Role of the Chairman and Managing Director

The positions of Chairman and Managing Director are held by separate persons. Mr. A.F.M. Zubair is the Chairman of the Company and responsible for the functions of the Board while Mr. A. Matin Chowdhury is the Managing Director serves as the Chief Executive Officer (CEO) of the Company.

Independent Director

In compliance of the BSEC Regulations on Good Governance, the Board of Directors as empowered by the Regulations, appointed:

- (1) Muhammad Abul Hossain Ph.D, Psc, a freedom fighter and former Secretary of the Government of Bangladesh, MA from Polytechnic of Central London (University of Westminster), UK, Ph.D in Social Science (Public Administration) Department of Public Administration, Faculty of Social Science, Dhaka University and former Major of Bangladesh Army, Passed Staff College (psc) appointed as an Independent Director of the Company (Non-shareholding) for a period of 3 (Three) years with effect from 27th January, 2022.
- (2) The Board also Re-appointed Dr. Sultan Hafeez Rahman a renowned economist and former Director General of Asian Development Bank (ADB), South Asia and a Senior Research Fellow of Bangladesh Institute of Development Studies (BIDS), former Member of the Board of Director of Agrani Bank and former Adviser/consultant to the Ministry of Jute, Industry, Commerce and Finance and Planning of Govt. of Bangladesh, obtained Ph.D and M A degrees from Stanford University and M A in economics from Vanderbilt University as an Independent Director of the Company for a further period of 3 (Three) years with effect from 23rd July 2022. It is expected that their expertise would help contribute to the further disclosure and protect the interest of all investors in general and smaller investors in particular.

Role & Responsibilities of the Board of Directors

The main role of the Board of Directors, which is the highest level of authority, is to provide general superintendence, oversee the operations and control the affairs of the Company through appropriate delegation and accountability processes via the lines of command.

However, the Board of Directors hold the ultimate responsibility & accountability with due diligence for conducting the activities of the Company as per provisions of law in the interest of the shareholders, the stakeholders, the state and the society.

The Board of Directors, in fulfillment of its responsibility hold periodic meetings, at least once a quarter and provide appropriate decisions/directions to the Executive Management. Such meetings usually consider operational performance, financial results, review of budgets, capital expenditure, proposals for BMRE or new projects/divisions/product lines, procurement of funds by issue of shares or borrowing, procurement of raw materials, plant & machinery, pricing of products/discounts, recruitment, training and promotion of officers, approval of annual audited accounts, appropriation of profit and recommendation of dividends and other interest of the stakeholders including the employees and workers.

The Board of Directors take special care in designing and articulating productivity and compensation plans of employees and workers and rewarding them appropriately on the basis of quality and quantity of performance as an incentive. Board also remains responsible for removal of operational hazards to life and health of workers, friendly environmental work condition and social relationship as demanded of good citizen in a country.

Chief Financial Officer, Head of Internal Audit and Company Secretary

The Company has appointed Mr. B. K. Chaki, as Chief Financial Officer, Md. Rakibul Islam, as Head of Internal Audit and Compliance and Mr. Syed Saiful Haque, as Company Secretary of the Company as per requirement of the Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission.

Audit Committee of Board

The Board of Directors has constituted an Audit Committee of the Board consisting of three Non-Executive Directors. The members of the Audit Committee are (1) Dr. Sultan Hafeez Rahman, Independent Director-Chairman (2) Dr. Shamim Matin Chowdhury, Director- Member and (3) Mr. Mahir Rahman, Director-Member.

The Audit Committee carries out its responsibilities as per the provisions of law and submits its report to the Board of Directors from time to time. The Audit Committee shall also co-ordinate with the Internal and External Auditors as and when required. The Audit Committee ensures that adequate internal checks & balances supported by adequate MIS are in place for detection of errors, frauds and other deficiencies. The other responsibilities include inter alia, not being limited to, the prevention of conflict of interest between the Company and its Directors, officials, customers, suppliers, government and any other interest groups and detect or remove any scope of insider trading in the company's stock. The Audit Committee also ensures compliance of requirements of BSEC and other agencies. The Audit Committee of the Board held 4 (four) Meetings during the year 2023-2024.

Nomination and Remuneration Committee of Board

The Board of Directors has constituted a Nomination and Remuneration Committee (NRC) consisting of three Non-Executive Directors. The Members of Nomination and Remuneration Committee (NRC) are (1) Dr. Sultan Hafeez Rahman, Independent Director- Chairman, (2) Dr. Shamim Matin Chowdhury, Director- Member and (3) Mr. Mahir Rahman, Director- Member. The Nomination and Remuneration Committee (NRC) held 1 (one) meeting during the year 2023-2024.

The terms of reference of the Nomination and Remuneration Committee inter alia include to determine the Company's policy on specific remuneration packages for executive directors, to review, recommend and/or approve remuneration to whole-time Directors, to review and approve the Remuneration policy of the Company, to formulate criteria for evaluation of Independent Directors and the Board, to devise a policy on Board Diversity, to identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board the appointment or removal of such persons and to discharge such other functions and exercise such other powers as may be delegated/directed by the Board of Directors from time to time.

Executive Management

The Executive Management is led by the Managing Director (CEO) who is appointed by the Board of Directors for a term of 5 years (renewable) with the approval of shareholders in the Annual General Meeting. The Managing Director is supported by professional, well educated, trained and experienced team consisting of Mr. Azizur Rahim Chowdhury, Director, Mr. Ghaus Mohammad, Director-HR & Admin, Mr. Quazi Abu Mohammad Mohiuddin, Executive Director, Mr. Arup Kumar Podder, Senior General Manager, Mr. Nazrul Islam, General Manager and Mr. B. K. Chaki, Chief Financial Officer and a host of Senior Executives in the hierarchy of management.

Shareholders' Relationship

Corporate Governance issues include how major policy decisions are made in business corporations, how various stakeholders can influence the process, who is held accountable for performance and what performance standards are applied. In a nutshell power and influence are crucial in corporate governance. As shareholders belong to the most important stakeholders, ownership structure has an impact on the balance of power among shareholders. Though sponsors usually hold majority shares required for ordinary

resolutions, public shareholders have a definite role and influence in the passing of special resolutions required for changes in the business object, sale of business/productive assets, merger and amalgamation, winding up or dissolution and amendments to Memorandum and Articles of Association for protection of minority interest up to 49.9% of the shareholdings.

The position of shareholders as on 30th June 2024 indicates that the Sponsors of the Company do not hold the required shareholdings (75%) for passing special resolutions. This allows the Public Shareholders (individual & institutions) to play an effective role in protecting their legal corporate rights.

Shareholders Group	Holding
Sponsors/Directors	47.34%
Institutions	12.01%
General Public	40.65%
Foreigners	0
Government	0

The Company holds regularly the Annual General Meeting [Members (Shareholders) Meeting] as per law with adequate Notice and Disclosures in the Directors' Report and the Auditors' Report on Accounts/Notes and Resolutions are passed with consensus and unanimity. All reasonable and practicable suggestions are implemented with good grace.

All enquiries are attended by the Company Secretary, where necessary. Internal Audit team investigates matters of significant merit for consideration by the Management Committee/Managing Director/Audit Committee of Board/Board of Directors as the case may be.

The shareholders as owners, are provided with material information on the Company's operation quarterly and annually. They are also provided routine services by the Company Affairs Division headed by Company Secretary in any company matters which is permissible. The Board is however, responsible to the Members (Shareholders) as well as investors for publication of Price Sensitive Information as per BSEC Regulation. A qualified & experienced person is in charge for all these responsibilities as Company Secretary. The Company has also a web site to provide permissible information/notices/price sensitive information/financial reports and others for the Shareholders and interested investors.

Summary of Unclaimed/Unsettled Dividend (cash):

Financial Year	Unclaimed/Unsettled cash Dividend Amount (Tk.)
2020-2021	2,044,631.35
Less: Paid to Shareholders	(385,043.50)
Balance of unclaimed cash dividend 2020-21 (a)	1,659,587.85
2021-2022	1,464,588.55
Less: Paid to Shareholders	(6,026.50)
Balance of unclaimed cash dividend 2021-22 (b)	1,458,562.05
Total unclaimed cash dividend as on 2023-2024 (a+b)	3,118,149.90
Bank interest during the period of 2020-2021, 2021-2022, 2022-2023 and 2023-2024 (c)	866,435.40
Total Dividend lying with the Company (a+b+c)	3,984,585.30

Financial/Statutory Auditors

The role of the Financial/Statutory Auditors in certification of the financial statement is the most significant aspect of Corporate Governance and protection of interest of the investors. As evident from the Annual Reports, the company rigidly follows the Companies Act, Rules of Bangladesh Securities and Exchange Commission, Listing Regulations, Code of International Financial Reporting Standards (IFRS), International Accounting Standards (IAS) and International Standard of Auditing (ISA) with legally required disclosures of Accounts and Financial Statements.

This has been possible due to the high-level capability and integrity of the Financial/Statutory Auditor of the Company Zoha Zaman Kabir Rashid & Co., Chartered Accountants, whose performances have played a very trustworthy role in the protection of interest of the stakeholders of the Company.

Compliance Auditors

The Compliance Auditors is responsible in "Certification on Compliance of Conditions of Corporate Governance Code 2018" and any modification thereon of Bangladesh Securities and Exchange Commission as

well as the provisions of relevant “Bangladesh Secretarial Standards” of Institute of Chartered Secretaries of Bangladesh (ICSB). M/s. Das Chowdhury Dutta & Co., Chartered Accountants is the Compliance Auditors of Malek Spinning Mills PLC. appointed by its Members (shareholders) in their Annual General Meeting.

Dividend Policy

To comply the Directive of Bangladesh Securities and Exchange Commission (BSEC) Directive No. BSEC/CMRRCD/2021-386/03 dated 14 January 2021 the Company formulated a Dividend Distribution Policy which have been posted in the official website of the company and disclosed in the Annual Report 2023-24.

Segment Report

As there is a single business and geographic segment within the company operates as such no segment reporting is felt necessary for Malek Spinning Mills PLC. But its subsidiaries Salek Textile Ltd. has geographic and product segment by Spinning and Fabrics unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8. The disclosure of segment reporting is also disclosed in financial of Salek Textile Ltd.

Risk Perception

The Company Management perceives investment risk within the national and international economic situation in relation to legal and moral requirements involving inter alia, intellectual property rights, scientific invention, WTO Regulations etc. and monetary and fiscal investment policies and has prepared its production & marketing strategies to meet the challenges from these risks. The Company Management also perceives Financial Risk including Credit Risk, Liquidity Risk, Market Risk, Price Risk, Interest Risk and Currency Risk.

Compliances

The company has an established procedure to ensure compliance with all applicable statutory and regulatory requirements. Respective officers are responsible for ensuring proper compliance with applicable laws and regulations.

Corporate Social Responsibilities (CSR)

The Board of Directors is also aware of the Corporate Social Responsibilities (CSR) especially in the areas of gender equality, race-religion- regional equality, non- employment of child labor, human rights, environmental pollution, social - marketing and social-activities.

WE STRIVE FOR

- We in Malek Spinning Mills PLC., strive, above all, for top quality products at an appropriate cost.
- We owe our shareholders and strive for protection of their capital as well as ensure highest return and growth of their assets.
- We strive for best compensation to all the employees who constitute the back-bone of the management and operational strength of the Company.
- We strive for the best co-operation of the creditors and debtors the banks & financial institutions who provide financial support when we need them, the suppliers of raw materials & suppliers who offer them at the best prices at the opportune moments, the providers of utilities- power, gas & water etc. and the customers who buy our products and services by redeeming their claim in time by making prompt payment and by distributing proper product on due dates to our customers.
- We strive for fulfillment of our responsibility to the Government through payment of entire range of due taxes, duties and claims by various public agencies like municipalities etc.
- We strive, as responsible citizen, for a social order devoid of malpractices, anti-environmental behaviors, unethical and immoral activities and corruptive dealings.
- We strive for practicing good-governance in every sphere of activities covering inter alia not being limited to, disclosure & reporting to shareholders, holding AGM in time, distribution of dividends and other benefits to shareholders, reporting/dissemination of price sensitive information etc.
- We strive for equality between sexes, races, religions and regions in all sphere of operation without any discriminatory treatment.
- We strive for an environment free from pollution and poisoning.

CORPORATE REVIEW

I. MANAGEMENT APPARATUS:

(a) BOARD OF DIRECTORS:	Mr. A.F.M. Zubair	Chairman
	Mr. A. Matin Chowdhury	Managing Director
	Dr. Shamim Matin Chowdhury	Director
	Mr. Azizur Rahim Chowdhury	Director
	Ms. Saima Matin Chowdhury	Director
	Mr. Mahir Rahman	Director (Nominee of Paragon Poultry Ltd.)
	Mr. Muhammad Abul Hossain	Independent Director
	Dr. Sultan Hafeez Rahman	Independent Director
(b) AUDIT COMMITTEE:	Dr. Sultan Hafeez Rahman	Chairman
	Dr. Shamim Matin Chowdhury	Member
	Mr. Mahir Rahman	Member
	Syed Saiful Haque	Secretary
(c) NOMINATION AND REMUNERATION COMMITTEE:	Dr. Sultan Hafeez Rahman	Chairman
	Dr. Shamim Matin Chowdhury	Member
	Mr. Mahir Rahman	Member
	Syed Saiful Haque	Secretary
(d) MANAGEMENT COMMITTEE:	Mr. A. Matin Chowdhury	Chairman
	Mr. Azizur Rahim Chowdhury	Member
	Mr. Ghaus Mohammad	Member
	Mr. Quazi Abu Mohammad Mohiuddin	Member
	Mr. Arup Kumar Podder	Member
	Mr. Nazrul Islam	Member
	Mr. B. K. Chaki	Member
(e) SENIOR CORPORATE OFFICIALS:	Mr. Ghaus Mohammad	Director HR & Admin
	Mr. Quazi Abu Mohammad Mohiuddin	Executive Director
	Mr. Arup Kumar Podder	Senior General Manager
	Mr. Nazrul Islam	General Manager
	Mr. B. K. Chaki	Chief Financial Officer
	Mr. Syed Saiful Haque	Company Secretary
	Md. Rakibul Islam	Head of Internal Audit & Compliance
(f) STATUTORY AUDITORS:	M/s Zoha Zaman Kabir Rashid & Co., Chartered Accountants	
(g) COMPLIANCE AUDITORS:	M/s. Das Chowdhury Dutta & Co., Chartered Accountants	
(h) BANKERS:	i. Eastern Bank PLC.	Principal Br, Dhaka
	ii. Dhaka Bank PLC.	Karwan Bazar Br, Dhaka
	iii. The Trust Bank PLC.	Sena Kalyan Br, Dhaka
	iv. HSBC	Main Br, Dhaka
	v. One Bank PLC.	Principal Br, Dhaka
	vi. BRAC Bank PLC.	Gulshan Br, Dhaka
(i) INSURERS:	i. Bangladesh General Insurance Co. Ltd.	
	iii. Sena Kalyan Insurance Co. Ltd.	
	ii. Asia Pacific General Insurance Co. Ltd.	
(j) LISTING:	(a) Dhaka Stock Exchange PLC.	
	(b) Chittagong Stock Exchange PLC	
(k) REGISTERED OFFICE:	117/A, Tejgaon Industrial Area, Dhaka-1208.	
(l) CORPORATE HEAD OFFICE:	Tower One One Seven, 117/A, Tejgaon Industrial Area, Dhaka-1208.	
(m) INVESTORS' RELATION DEPARTMENT:	Md. Kamruzzaman, Fax No-880-2-8878064, Email: cs@malekspinning.com, Tel: 880-2-8878065, Cell: 88-01709998863	
(n) FACTORY:	Shafipur, Kaliakoir, Gazipur.	

II. CORPORATE HISTORY:

- Year of Incorporation : 02 November, 1989
- Year of Commencement of Production : 01 January, 1991
- Year of Conversion to Public Ltd. Co. : 14 September, 2008
- Year of Initial Public Offering (IPO) : 2010
- Stock Exchange Listing date : 2nd August, 2010 (DSE & CSE)
- Authorized Capital : Tk.3,000 Million
- Paid Up Capital : Tk.1,936 Million
- Product Lines : Combed and carded yarn of various counts
(100% export-oriented company)
- Number of Employees (30th June 2024) : a. Executive & staff : 172
b. Workers : 977
- Subsidiary Companies : a. Salek Textile Ltd.
b. Newasia Synthetics Ltd.
c. J.M. Fabrics Ltd.

III. FIVE YEARS OPERATIONAL RESULTS:

Malek Spinning Mills PLC. (Standalone)

(Figures in thousand Tk.)

Particulars	2023-24	2022-23	2021-22	2020-21	2019-20
Turnover	3,733,429	3,845,154	4,044,427	2,976,287	2,584,091
Gross Profit	610,844	(273,450)	442,678	450,858	125,412
Net Profit/Loss (Before Tax)	273,771	(463,264)	280,777	294,271	(60,590)
Net Profit/Loss (After Tax)	212,953	(499,577)	242,019	250,230	(73,068)
Shareholder's Equity	4,587,898	4,455,407	5,148,584	5,115,349	4,865,119
Total Assets	9,672,644	7,914,917	7,933,975	7,817,684	7,040,120
Total Current Assets	4,972,148	3,811,995	3,887,575	3,844,116	3,131,917
Total Current Liabilities	3,389,889	2,310,690	2,324,713	2,231,747	1,671,666
Current Ratio	1.47	1.65	1.67	1.72	1.87
Number of shares (Nos.)	193,600,000	193,600,000	193,600,000	193,600,000	193,600,000
Face Value per share	10	10	10	10	10
Shareholder's Equity per Share	23.70	23.01	26.59	26.42	25.13
Earnings per share (MSM)	1.10	(2.58)	1.25	1.29	(0.38)
Earnings per share (Consolidated)	7.38	(1.14)	3.72	3.36	(1.68)
Dividend Declared Per Share (Stock)	Nil	Nil	Nil	Nil	Nil
Dividend Declared Per Share (Cash)	1.00	Nil	1.00	1.00	Nil
Net Asset Value Per Share (MSM)	23.70	23.01	26.59	26.42	25.13
Net Operating Cash Flow per Share (MSM)	(0.70)	(4.23)	2.19	1.75	(0.23)
Number of Shareholders	*17,022	15,562	14,781	13,365	12,842
Human Resources:					
Executives & Staff	172	166	195	189	191
Workers	977	1,020	1,032	1,025	1,013

* Number of shareholders considered as on 30th June, 2024.

MESSAGE

FROM THE CHAIRMAN

Dear Shareholders,

It is my privilege to welcome you to the 35th Annual General Meeting of Malek Spinning Mills PLC. On behalf of the Board of Directors, I present to you the Directors' Report, which includes the Audited Financial Statements and the Auditors' Report for the fiscal year ending June 30, 2024.

Performance Overview

Over the past 13 years, the company has operated at a stable level, except during the fiscal years 2019-2020 and 2022-2023, when operations were significantly impacted by the COVID-19 pandemic and the Russia-Ukraine war. The prolonged geopolitical tensions, coupled with global supply chain disruptions, rising commodity prices, and subdued economic activities, have posed challenges worldwide. More recently, the Israeli-Palestinian conflict and geopolitical instability have further slowed global economic growth.

Despite these challenges, the company succeeded a net profit of Tk. 212,953,141 during FY 2023-2024, a significant improvement compared to the net loss of Tk. 499,577,188 in FY 2022-2023. This achievement is primarily attributed to a reduction in the cost of goods sold due to lower raw material prices, even though turnover decreased slightly from Tk. 3,845,154,105 to Tk. 3,733,429,250. Additionally, dividend income of Tk. 119,997,000 from a subsidiary company contributed to the improved performance.

The Board of Directors declared a 10% cash dividend for general shareholders except Sponsors Shareholders & Directors while sponsor shareholders and directors opted to forgo dividends for the fiscal year 2023-2024 to preserve the company's liquidity and ensure debt servicing.

Operational Developments

In line with our commitment to efficiency and sustainability, the Board of Directors, at its meeting held on April 3, 2023, approved the replacement of old machinery at an estimated investment of Tk. 106.64 crore. This investment, financed through bank loans and internal resources, was disclosed as Price Sensitive Information (PSI) on the same day. The new machinery and generator have since been installed, and these upgrades are expected to improve operational efficiency, reduce energy consumption, and enhance profitability in the coming years.

Challenges

The company continues to navigate through multiple challenges, including a fragile banking sector, a financial account deficit, currency volatility, and declining foreign exchange reserves. Rising commodity prices and inflationary pressures are compounding these difficulties. The textile and RMG sectors, in particular, face heightened compliance requirements, increased labor costs, and challenges in the supply and pricing of power and gas, all of which directly impact production costs, pricing, and export revenues.

Recognition and Governance

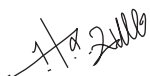
Despite these hurdles, our factories have been recognized by buyers as safe and compliant, enabling us to maintain production and export levels. The Board of Directors is firmly committed to upholding corporate governance and adhering to the Bangladesh Securities and Exchange Commission's Corporate Governance Code. Transparency, accountability, and compliance remain at the core of our business philosophy.

Outlook

While the current macroeconomic environment presents challenges, Bangladesh's export sector remains on a positive trajectory, and the economy is expected to return to its robust growth path. The company's recent investments in modernization and efficiency place us in a strong position to seize future opportunities.

Acknowledgments

I extend my sincere gratitude to our shareholders, regulators, bankers, insurers, and other stakeholders for their continued trust and support. I would also like to acknowledge the cooperation of the Bangladesh Securities and Exchange Commission, Dhaka Stock Exchange PLC., Chittagong Stock Exchange PLC., Central Depository Bangladesh Limited, and the Registrar of Joint Stock Companies & Firms. Your unwavering commitment has been instrumental in our journey, and we look forward to your continued partnership in the years ahead.



A.F.M. Zubair
Chairman

MALEK SPINNING MILLS PLC.

DIRECTORS' REPORT

TO THE SHAREHOLDERS FOR THE YEAR 2023-2024

Dear Shareholders,

In terms of provisions of section 184 of the Companies Act 1994, Rule 12 of the Bangladesh Securities and Exchange Rules 1987, BSEC Notification on CGC dated 03 June, 2018 & any modification thereon and International Financial Reporting Standards (IFRS), it is the pleasure of the Board of Directors to submit its Report to the Shareholders of the Company for the year ended 30 June, 2024 in the following paragraphs:

Background

Malek Spinning Mills PLC. (here in after referred to as "MSM" or "the Company" was incorporated with the Registrar of Joint Stock Companies and Firms (RJSC) vide registration no. C-19018 (872)/89 dated 02 November, 1989 as a Private Limited Company. The status of the Company was converted into Public Limited Company in the year 2008. The company was listed with Dhaka Stock Exchange PLC. and Chittagong Stock Exchange PLC. in the year 2010.

The company has 3 (three) subsidiaries as follows:

- 1. Salek Textile Limited-** A composite mill of the Textile sector with two operational units. The rotor unit produces open end yarn of various counts having a capacity of 12,070,000 kgs. yarn per annum. The fabric unit produces denim fabric of various size and grade having capacity of 18,000,000 yards per annum.
- 2 J.M. Fabrics Limited-** A Composite Knitting, Dyeing, Finishing and Garments factory located at South Nayapara, 6 No. Dogri, P.O. Bhawal, Mirzapur, Gazipur with a capacity of 54.73 million pcs. T-Shirt, Intimate garments & Seamless product per annum. Previous year 2022-2023 production capacity was 52.94 million. During the reporting year production capacity stood at 54.73 million because of increase of production capacity of Seamless Unit to meet the market demand and considering higher profitability.
- 3 Newasia Synthetics Limited-** A project promoted for setting up a polyester staple fiber and chips plant the implementation of which has since been kept in abeyance due to non-availability of energy/fuel & gas.

1. (5) (i) Industry outlook and possible future developments in the industry:

Our Company falls within the primary textile sector producing world class yarn of various counts. Bangladesh does not produce raw cotton, the basic raw materials of our company. So, we have to import 100% raw materials from outside. The success of the industry also depends on availability of raw materials, power & gas, world economy, international price trend, market situation of end product of export i.e. RMG export. Spinning mill is also a labor-oriented industry. The growth & challenges of the company depends on:

- | | | |
|---------------------------|------------------------|---------------------|
| (a) Labor relations | (b) Labor productivity | (c) Energy |
| (d) Other infrastructures | (e) Law and order | (f) Financial costs |

If these issues are appropriately addressed in time, the growth is expected to improve substantially as Bangladesh has already attained the name for being a quality manufacturer with a very reasonably priced supplier.

1. (5) (ii) Segment-wise or product wise performance:

Our company produces 100% export oriented high-quality cotton hosiery yarn. The present installed production capacity of the company is 12,425,000 kg. yarn per annum with 59,964 Spindles. Earlier it was 12,600,000 kg. yarn per annum with 63,624 Spindles. After replacement of some old/worn out machinery product efficiency will increase, resulting profitability increase in future.

Comparative position of its operating/financial performance for the year 2023-2024 and 2022-2023 are given below:

Sl. No.	Description	2023-2024	2022-2023
01	Production capacity (Kg)	12,600,000	12,600,000
02	Actual Production (Kg)	9,540,356	9,395,870
03	Capacity Utilization	75.72%	74.57%
04	Quantity Sold (Kg)	9,693,851	10,548,887
05	Sales Revenue (Tk.)	3,733,429,250	3,845,154,105
06	Average selling price (Tk.)	385.13	364.51

1.(5)(iii) Risk and concerns including internal and external risk factors, threat to sustainability and negative impact on environment, if any:

All sectors of the textile industry face many of the similar challenges. These are lack of power, uncertain fiscal & monetary policies, labor unrest causing disruption of production, Buyers; dominance, international trade barriers and increased cost of fund. Since a Spinning Mill has to depend on imported raw materials and local supply of labour. Price

variation of raw material and increased cost of labour are the main risk for this type of industry. Uninterrupted power supply due to irregular gas supply and price variation also affects this type of industry. The Company is also aware of Financial Risk including Credit Risk, Liquidity Risk, Market Risk, Price Risk, Interest Risk and Currency Risk and is prepared to meet those by systematic control which are elaborately described in the notes of financial statement.

1. (5) (iv) Discussion on Cost of Goods Sold, Gross Profit Margin and Net Profit Margin (Solo):

- (a) **Cost of Goods Sold:** The cost of goods sold was 83.64% on sales during the year 2023-2024 compared to 107.11% during the previous year, a significant decrease of 23.47% was due to decrease of raw material price compared to the last year.
- (b) **Export:** The company had achieved an export turnover of Tk.3,733.43 million during the year ended 30th June 2024. Last year's export turnover was Tk. 3,845.15 million. The turnover had decreased by 2.91% over the last year due to decrease of sales quantity.
- (c) **Gross Profit/Loss:** Gross Profit earned during the financial year Tk. 610.84 million as against previous year Gross Loss of Tk. 273.45 million due to decrease in cost of goods sold for decrease of raw material price.
- (d) **Net Profit/(Loss):** The company had earned Net Profit of Tk.212.95 million compared to last year's Net Loss of Tk. 499.58 million. During the reporting year Net Profit increased due to increase of gross profit and received dividend income from J.M. Fabrics Limited, a subsidiary company of Malek Spinning Mills PLC.

1. (5) (v) Discussion on continuity of any extraordinary activities and their implications (gain or loss):

During the year extra-ordinary profit was Tk.116,905,985 which were earned from dividend income of J.M. Fabrics Ltd. a subsidiary company of Malek Spinning Mills PLC. and interest received from Bank Accounts after adjustment of foreign currency translation loss and loss on sale of assets, which has been shown as Other Income/(Loss) in the Statement of Profit or Loss and other Comprehensive Income and in the note no.25.1 in the Notes of Account.

1. (5) (vi) Detailed discussion on related party transactions:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Separate agenda presented for sale of yarn (finished goods) to subsidiary/associate/sister companies exceeding sale of amounting 10% or above of total revenue or turnover for the immediately preceding financial year. Details of Related party transactions are depicted in Note no.33.1 in the Notes of Solo Accounts and Note No.40 of Consolidated Accounts.

1. (5) (vii) Statement of utilization of proceeds raised through public issues, right issues and/or any other instruments:

There were no public issues and/or right issues during the year.

1.(5) (viii) Explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Share Offer, Direct Listing, etc.:

Initial Public Offering was made on the year 2010. There were no Repeat Public Offering, Rights Offer, Direct Listing, etc. in the history of the company.

1.(5)(ix) Explanation on any significant variance occurs between Quarterly Financial performance and Annual Financial Statements:

The company's earnings per share (EPS) in 1st quarter was Tk.0.13 per share, 2nd quarter was Tk. 0.44 per share, 3rd quarter was Tk. 0.49 per share and in annual financial statements it stood at Tk. 1.10 per share. EPS were gradually increased due to increase of sales price and decrease of cost of goods sold for decrease of raw material price.

1.(5) (x) Statement of remuneration paid to the directors including independent directors is stated below:

Name of Directors	Designation	Remuneration paid from 1st July 2023 to 30th June 2024 (Tk.)
Mr. A. F. M. Zubair	Chairman	Nil
Mr. A. Matin Chowdhury	Managing Director	Nil
Dr. Shamim Matin Chowdhury	Director	Nil
Ms. Saima Matin Chowdhury	Director	Nil
Mr. Azizur Rahim Chowdhury	Director	Nil
Mr. Mahir Rahman	Director	Nil
Mr. Muhammad Abul Hossain	Independent Director	Nil
Dr. Sultan Hafeez Rahman	Independent Director	Nil
Total		Nil

Independent Directors paid only Board Meeting attendance fees.

1.(5) (xi) to (xvii) Statement of Directors on Financial Reports:

The above reports are depicted in **Annexure-I**.

1.(5) (xviii) Explanation that significant deviations from the last year's operating results of the company:

During the year 2023-2024 the company's Operating Profit earned Tk.232,877,752 as against last year Operating Loss of Tk. 452,871,938. The significant increase in operating results due to increase in sales price and decrease of cost of goods sold for reducing raw material price compared to the last year, resulting increase in operating profit during the year 2023-2024.

1.(5) (xix) Key operating and financial data of last preceding 5 (five) years have been presented in summarized form in page no. 09**1.(5) (xx) Dividend:**

For the year 2023-2024 the Board of Directors recommended 10% Cash Dividend Only for the General Shareholders except Sponsors and Directors i.e. Tk. 1.00 per share of Tk. 10.00 each for every 01 (One) Ordinary Share held by the shareholders on the record date.

1.(5) (xxi) Board's statement to the effect that no bonus shares or stock dividend has been or shall be declared as interim dividend:

No bonus shares or stock dividend has been declared during the year 2023-2024 as interim dividend.

1.(5) (xxii) The total number of Board Meetings held during the year 2023-2024 and attendance by each director, stated in Annexure-I.**1.(5) (xxiii) Report on the pattern of shareholding as required by clause 1.(5) (xxiii) of the BSEC Notification dated 03 June 2018, stated in Annexure-II.****1.(5) (xxiv) Appointment/re-appointment of the directors:**

Brief resume and other required information of the directors who seek re-appointment in the ensuing AGM are stated in **Annexure-III**.

1.(5) (xxv) Management's Discussion and Analysis signed by CEO or MD presenting detailed analysis of the company's position and operations along with a brief discussion of changes in the financial statements:

Management's Discussion and analysis signed by CEO or MD are stated in **Annexure-V**

1.(5) (xxvi) Declaration or certification by the CEO and the CFO to the Board as required under condition No. 3(3) are disclosed in Annexure-A.**1.(5) (xxvii) Report as well as certificate regarding compliance of conditions of this Code as required under condition No.9 are disclosed in Annexure-B and Annexure-C.****CAPITAL EXPENDITURES:**

The following Capital Expenditure was incurred during the years 2023-2024 & 2022-2023.

Description	2023-2024 (Tk.)	2022-2023 (Tk.)
Land and Land Development	17,675,938	19,899,326
Factory Building	60,731,085	53,700
Plant & Machinery	602,407,199	--
Electrical installation	4,470,659	1,419,000
Tubewell and Water Pump	1,080,000	--
Furniture & Fixtures	--	12,225
Office Equipment's	1,475,587	783,516
Telephone (PABX) Installation	11,500	--
Generator	220,887,002	--
Fire Control Equipment Installation	5,928,255	--
Total	914,667,225	22,167,767

The above capital expenditure was incurred for the year 2023-2024 as per disseminated PSI dated April 03, 2023 for replacement of some old/worn out machineries.

SUBSIDIARY OPERATION:

Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited are subsidiaries and as such Directors Report along with, Auditors Report and Audited Accounts containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows have been included as part of this report.

(a) Salek Textile Limited (STL):

The Company (MSM) holds 97.925% share of Salek Textile Limited i.e. 47,259,700 shares of Tk.10.00 each amounting to Tk. 472,597,000.00 out of 48,260,870 shares of Tk.10.00 each amounting to Tk.482,608,700.00. To comply the condition No. 9 of capital raising consent order No. BSEC/CI/CPLC(Pvt)-333/2011/446 dated June 24, 2014 of Bangladesh Securities and Exchange Commission (BSEC) and Notification No. SEC/CMRRCD/2006-159/36/Admin/03-44 dated May 05, 2010 published in the Bangladesh Gazette dated 01-06-2010 the status of the Company was converted from Private Limited Company to Public Limited Company on 23rd August, 2014. Subsequently the par value of share was changed from Tk.100.00 per share to Tk.10.00 per share.

The production capacity of STL is 12,070,000 kgs yarn, 18,000,000 yards fabric per annum. The company made additional investment of Tk.73,771,491 during the year 2023-2024.

The Company's operating results as on 2023-2024 and 2022-2023 are given below:

Description	2023-2024	2022-2023
Production (Kg) Yarn	9,749,805	7,995,292
Production (Yards) Fabric	13,064,861	11,736,047
Sales Revenue (Tk.)	4,618,732,790	3,949,926,136
Gross Profit (Tk.)	650,584,698	5,227,269
Net Profit/Loss after tax (Tk.)	141,042,353	(379,462,191)
Gross Margin	14.09%	0.13%
Net Margin	3.05%	(9.61%)
EPS (Tk.)	2.92	(7.86)
NAV (Tk.) Per Share	49.06	46.14

The Company did not declare any dividend for the year 2023-2024 in order to strengthen the financial position of the company.

(b) Newasia Synthetics Limited (NSL):

The Company (MSM) holds 99.293% share of the Newasia Synthetics Ltd. i.e. 6,553,338 shares of Tk.100.00 each amounting to Tk. 655,333,800.00 out of 6,600,000 shares of Tk.100.00 each amounting to Tk.660,000,000.00 as on 30th June, 2024. The project could not be implemented due to non-availability of Gas connection from Titas Gas Transmission & Distribution Company Ltd., the project has been shelved until the situation changes regarding the availability of gas connection. The Company made additional investment of Tk.77,788,687.00 during the year 2023-2024 under Land & Land Development. The Net Assets Value (NAV) per share of the company as on 30th June 2024 stood at Tk.298.57.

(c) J.M. Fabrics Limited (JMFL):

The Company (MSM) holds 99.998% share of J.M. Fabrics Limited i.e. 3,999,900 shares of Tk.100.00 each amounting to Tk. 399,990,000.00 out of 4,000,000 shares of Tk.100.00 each amounting to Tk.400,000,000.00. The authorized share capital of the company has been increased from Tk.500,000,000.00 to Tk.2,000,000,000.00 vide Special Resolution dated 20th February 2022. The Company is engaged in the production of 100% export-oriented Garments and Knit Fabric with a production capacity of 18 (eighteen) Metric Tons Dyed Fabric and 83 (eighty-three) lines of Cutting & Sewing and Seamless operation having capacity of 12 (Twelve) modules with all necessary facilities, storage etc. During the year additional investment of Tk.362.22 million has been made. The investments made during the year 2023-2024 were as follows:

Particulars	Taka
Land and Land Development	--
Building and Civil Construction	5,233,593
Plant & Machinery	274,931,766
Other Assets	82,054,458
Total	362,219,817

The Company's operating results as on 2023-2024 and 2022-2023 are given below:

Description	2023-2024	2022-2023
Production (Pcs)	33,548,829	33,025,124
Sales Revenue (Tk.)	15,182,047,791	10,323,055,131
Gross Profit (Tk.)	1,406,165,319	848,767,042
Net Profit (Tk.)	1,176,844,390	654,832,261
Gross Margin	9.26%	8.22%
Net Margin	7.75%	6.34%
EPS (Tk.) Per Share	294.21	163.71
NAV (Tk.) Per Share	874.65	610.44

The Company declared 30% interim cash dividend to its shareholders based on 3rd quarter un-audited financial statement and the shareholders approved the said dividend in the AGM as final cash dividend for the year 2023-2024.

FINANCIAL RESULTS:

The company's (MSM) operating financial results, as compared to the previous year are summarized as follows:

(Tk. in million)

Description	2023-2024	2022-2023
Sales	3,733.429	3,845.154
Cost of goods sold	3,122.584	4,118.604
Gross profit/Loss	610.844	(273.450)
Operating expenses	124.895	117.206
Financial expenses	253.072	62.216
Operating profit/Loss	232.878	(452.872)
Loss on Fire	62.32	--
Other Income	116.906	(10.392)
Net Operating Profit/(Loss)	287.460	(463.264)
Contribution to WPPF	13.689	--
Income Tax	60.818	36.313
Net profit/Loss (after tax)	212.953	(499.577)
Gross Margin	16.36%	(7.11%)
Net Margin	5.70%	(12.99%)
Earnings per share –EPS (Tk.)	1.10	(2.58)
Return on Equity (ROE)	4.64%	(11.21%)
No. of shares outstanding	193,600,000	193,600,000
Face value per share (Tk.)	10	10
Consolidated Earnings per share–EPS (Tk.)	7.38	(1.14)

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Retained Earnings/(Loss) brought forward from previous year : (Tk. 91,761,471.00)

Less: Dividend Distribution for the year 2022-2023 : (NIL)

Balance deficit/surplus brought forward : Tk. (91,761,471.00)

Add: Net Profit (after tax) during the year 2023-2024 : Tk. 212,953,141.00

Add: Transfer of excess depreciation of revalued assets : Tk. 22,181,228.00

Total net free surplus available for appropriation : Tk. 143,372,898.00

Appropriation Proposed:

10% Cash Dividend i.e. Tk. 1.00 per share of Tk. 10.00 each Only for

the General Shareholders except Sponsors and Directors : (Tk. 101,955,200.00)

Retained Earnings after payment of Dividend : Tk. 41,417,698.00

DECLARATION OF DIVIDEND:

In the line of proposed appropriation of profit, the Board of Directors proposed and recommended for declaration of a Cash Dividend @ 10% for the year 2023-2024 only for General Shareholders except Sponsors and Directors. This will need cash disbursement of Tk.101,955,200.00 out of Retained Earnings (Free Reserve). The balance of the free reserves be retained for ploughing back in the company for meeting liquidity and investment requirement as may be thought fit by Board of Directors. The Cash Dividend will be available only for General Shareholders who hold 101,955,200 shares and whose names appeared in the Share Register of the Company or in the Depository on the Record Date. Sponsors and Directors of the company who hold 91,644,800 shares will not be entitled to the cash dividend.

CONSOLIDATION OF ACCOUNTS:

In terms of BSEC Regulations, the Company has consolidated the Accounts following the relevant codes of International Accounting Standard IASs/IFRSs adopted by Bangladesh. However, separate reports including the audited financial statements, auditors' and directors' report for all subsidiary companies are provided at the respective section of this report.

ELECTION OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 110 of the Articles of Association of the Company Mr. A. Matin Chowdhury, Director and Mr. Azizur Rahim Chowdhury, Director would retire by rotation and being eligible as per Article 112 of the Articles of Association

of the Company they offered themselves for re-election. Brief resume and other information of the above mentioned directors as per clause 1.5) (xxiv) of BSEC notification dated 3 June, 2018 are depicted in **ANNEXURE-III**.

APPOINTMENT OF STATUTORY AUDITORS:

The existing Auditors of the company M/s. Zoha Zaman Kabir Rashid & Co., Chartered Accountants (a panel auditor of BSEC), who would retire at the ensuing Annual General Meeting, had expressed their interest to be re-appointed as Statutory Auditors of the company for the year 2024-2025. In recommendation of the Audit Committee, the Board recommended M/s. Zoha Zaman Kabir Rashid & Co., Chartered Accountants, House- 6/B, Road-32, Level 7 & 8, Gulshan-1, Dhaka-1212. Bangladesh for appointment as statutory auditors of the Company for the year 2024-2025 with fixation of their remuneration.

APPOINTMENT OF CORPORATE GOVERNANCE COMPLIANCE AUDITORS:

M/s. Das Chowdhury Dutta & Co., Chartered Accountants, existing compliance auditors of the company being eligible offered themselves for re-appointment as corporate governance compliance auditors of the company for the year 2024-2025. As recommended by the Audit Committee, the Board proposed the name of M/s. Das Chowdhury Dutta & Co., Chartered Accountants, Well Tower (1st Floor), Flat-A/1, 12/A, Purana Paltan Line, Dhaka for re-appointment as corporate governance compliance auditors of the Company of the year 2024-2025 with fixation of their remuneration.

APPROVAL OF SALE OF YARN (FINISHED GOODS) WITH SUBSIDIARY AND SISTER COMPANY:

The Company (MSM) had entered into contract for sale of its finished goods i.e. yarn to its subsidiary company J. M. Fabrics Limited and a sister company Knit Asia Limited. The shareholders approved the contract in the 32nd AGM held on 27th December, 2021. Under this contract during the year 2023-2024, yarn sales to Knit Asia Limited were 1,509,902 kgs. amounting to Tk.573,959,786 and to J. M. Fabrics Limited 2,845,803 kgs. amounting to Tk.1,210,874,983 following the market price of yarn in the Bangladesh export-oriented market, based on fair price from time to time. Both the transactions exceeded the limit of 10% (ten percent) of the total revenue or turnover for the immediately preceding financial year. The Board of Directors gave guarantees to the above transaction which occurred as per the regular terms and conditions of the trade and no conflict of interest had arisen regarding the transaction.

In Compliance with the BSEC Notification No. BSEC/CMRRCD/2009-193/10/Admin/118 dated 22 March 2021 the Shareholders are requested (excluding the vote of concerned or connected shareholders or directors or related party) to approve the above-mentioned sale of yarn to Knit Asia Limited and J.M. Fabrics Limited, which exceeded 10% (ten percent) or above of the total revenue/turnover for the immediately preceding financial year.

MANAGEMENT'S DISCUSSION & ANALYSIS

Management's Discussion and Analysis signed by the Managing Director presenting detailed analysis of the Company's position and operations along with a brief discussion of changes in the financial statements and other requirements of the Corporate Governance Code is disclosed in **Annexure-V** of this report.

CORPORATE GOVERNANCE COMPLIANCE REPORT IN ANNEXURE:

We are pleased to confirm that the company has complied with all necessary guidelines in accordance with the requirement of BSEC Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 3 June 2018 and Notification No. BSEC/CMRRCD/2009-193/66/PRD/148 dated 16 October 2023. The Corporate Governance Compliance Report for 2023-2024 is attached (**Annexure-C**) in Annual Report along with the certificate of Compliance required under the said guidelines.

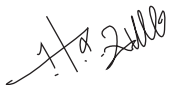
The company obtained a certificate from Das Chowdhury Dutta & Co., Chartered Accountants, regarding compliance of conditions of corporate governance codes of the Commission, which is enclosed in the Annual Report as **Annexure-B**.

ACKNOWLEDGEMENT:

The Board of Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Insurance Companies, Suppliers, BSEC, DSE, CSE, CDBL, RJSC and dedication by Workers and Employees of the company without whose active support the result achieved would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,



A. F. M. Zubair
Chairman

ANNEXURE –I

to the Directors' Report

The Directors also report that:

- Related Party Transactions are depicted in Note no. 33.1 in the Notes of Solo Accounts and Note No.40 of Consolidated Accounts.
- The Financial Statements prepared by the management of the Company present fairly its state of affairs, the result of its operations, cash flows and changes in equity.
- Proper books of account as required by the prevailing law have been maintained.
- Appropriate accounting policies have been followed in formulating the financial statements and accounting estimates were reasonable and prudent.
- The financial statement was prepared in accordance with IAS/IFRS as applicable in Bangladesh and any departure there from has been adequately disclosed.
- The internal control system is sound in design and is effectively implemented and monitored.
- The minority shareholders have been protected from abusive actions by, or in the interest of controlling shareholders acting either directly or indirectly and have effective means of redress.
- There is no significant doubt about the company's ability to continue as a going concern.
- Significant deviation from the operating result compared to the last year which is depicted in page no. 13 clause 1.(5) (xviii) above.
- Key operating and financial data of last five years have been presented in summarized form in page no. 09
- No bonus shares or stock dividend has been declared during the year 2023-2024 as interim dividend.
- The number of Board Meeting and the Attendance of Directors during the year 2023-2024 were as follows:

Name of Directors	Position	Meeting Held	Attended
Mr. A. F. M. Zubair	Chairman	07	07
Mr. A. Matin Chowdhury	Managing Director	07	07
Dr. Shamim Matin Chowdhury	Director	07	07
Ms. Saima Matin Chowdhury	Director	07	05
Mr. Azizur Rahim Chowdhury	Director	07	07
Mr. Mahir Rahman	Director	07	05
Dr. Sultan Hafeez Rahman	Independent Director	07	07
Mr. Muhammad Abul Hossain	Independent Director	07	04

- The pattern of shareholding as required by clause 1.(5) (xxiii) of the BSEC Notification dated 03 June, 2018, stated in **Annexure-II**.
- Information of Directors who seek appointment/re-appointment as required by clause 1.(5) (xxiv) of the BSEC Notification dated 03 June, 2018, stated in **Annexure-III**.
- Status of compliance with the conditions imposed by the Bangladesh Securities and Exchange Commission is enclosed as **Annexure –C**.

ANNEXURE –II

to the Directors' Report

Pattern of Shareholding as on June 30, 2024

Name of the Shareholders	Status	Shares held	%
i. Parent/Subsidiary/Associated Companies and other related parties	Nil	Nil	Nil
ii. Directors:			
Mr. A.F.M. Zubair	Chairman	8,470,000	4.38%
Mr. A. Matin Chowdhury	Managing Director	18,075,200	9.34%
Dr. Shamim Matin Chowdhury	Director	17,410,000	8.99%
Mr. Azizur Rahim Chowdhury	Director	18,585,600	9.60%
Ms. Saima Matin Chowdhury	Director	17,004,000	8.78%
Paragon Poultry Limited, Represented by Mr. Mahir Rahman	Director (Nominated by Paragon Poultry Limited)	12,100,000	6.25%
Mr. Muhammad Abul Hossain	Independent Director	Nil	Nil
Dr. Sultan Hafeez Rahman	Independent Director	48,400	0.02%
iii. Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit & Compliance and their Spouses and Minor Children:			
Mr. A. Matin Chowdhury	Chief Executive Officer	18,075,200	9.34%
Mr. Syed Saiful Haque	Company Secretary	Nil	Nil
Mr. B. K. Chaki	Chief Financial Officer	Nil	Nil
Md. Rakibul Islam	Head of Internal Audit & Compliance	Nil	Nil
Dr. Shamim Matin Chowdhury	Wife of Mr. A. Matin Chowdhury	17,410,000	8.99%
Mr. Shyan Zubair	Son of Mr. A. F. M. Zubair	3,872,000	2.00%
iv. Executives (Top 5 salaried executives other than those mentioned under (iii) :			
Mr. Ghaus Mohammad	Director, HR & Admin	Nil	Nil
Mr. Quazi Abu Mohammad Mohiuddin	Executive Director	Nil	Nil
Mr. Arup Kumar Podder	Senior General Manager	Nil	Nil
Mr. Nazrul Islam	General Manager	Nil	Nil
Mr. Abdur Razzak	Deputy General Manager	Nil	Nil
v. Shareholders holding 10% or more voting interest in the Company:			
		Nil	Nil

ANNEXURE-III

to the Directors' Report

Brief Resume of the Directors

Re-appointment of Directors:

Mr. A. Matin Chowdhury:

Mr. A. Matin Chowdhury is a Sponsor Director of the Company since 1989. He is a renowned and dynamic personality in the Textile Sector of Bangladesh. After his active participation in the liberation War of Bangladesh in 1971, he voluntarily retired from the Bangladesh Army as a Major. He entered into the family business with his brother late Mr. A. Malek Chowdhury into Graphics Limited, a company that pioneered printing, office equipment and other technology equipment.

In the last many years, he moved from indenting to the manufacturing and is currently the Managing Director of Malek Spinning Mills PLC., Salek Textile Ltd, Knit Asia Ltd, Hejaz Publications Ltd., New Asia Ltd., Aurum Sweater Ltd. and the Chairman of J.M. Fabrics Ltd. and Newasia Synthetics Ltd. He is also the Sponsor Director of Rahim Textile Mills PLC., a listed company and Director of Fatehbagh Tea Co. Ltd.

He is the former Chairman of Bangladesh Textile Mills Association (BTMA), Under Privileged Children's Programs (UCEP) and Education, Science, Technology and Cultural Development Trust (ESTCDT). He is also involved with many other non-profit organizations including Diabetic Association of Bangladesh (DAB) as a Member of the National Council, Founder Trustee of Independent University Bangladesh (IUB), Founder Member, Board of Governors of Bangladesh Enterprise Institute (BEI), Board Member of Bangladesh Legal Aid and Services Trust (BLAST) and many other voluntary organizations. He has more than 51 (fifty-one) years' experience in the textile sector.

Mr. Azizur Rahim Chowdhury:

Mr. Azizur Rahim Chowdhury is a Director of the Company since 2004, son of Mr. A. Matin Chowdhury. He obtained graduation from Purdue University in the U.S.A. with a major in Computer Science and Business Management. He has more than 19 (Nineteen) years working experience in the textile sector. He is also the Director of Rahim Textile Mills PLC. (listed company), Salek Textile Limited, Knit Asia Limited, Aurum Sweater Limited, New Asia Limited, Hejaz Publications Limited, Fatehbagh Tea Company Limited and also the Managing Director of J.M. Fabrics Limited.

He is the Director of Bangladesh Textile Mills Association (BTMA), where he has extensive contribution for the modernization of the sector with emphasis on product diversification, energy management and compliance.

ANNEXURE-IV

to the Directors' Report

Explanation of Emphasis of Matter of Auditors' Report

With reference to Emphasis of Matter of Auditors, as per the Independent Auditors Report and Audited Financial Statements of Salek Textile Limited, one of the components of Malek Spinning Mills PLC. for the year ended 30 June 2024, Salek Textile has receivable of BDT 45,94,82,147 from Denim Asia Limited related to Disposal Proceeds of RMG unit and other Material Sales. The management expected that the above receivable amount will be recovered within a short time.

ANNEXURE-V

to the Directors' Report

Management's Discussion and Analysis

Management's Discussion and Analysis of the company's position and operations along with a brief discussion of changes in the financial statements for the year ended June 30, 2024 as per condition no 1.5(xxv) of Corporate Governance Code dated June 03, 2018.

- (a) The company has prepared and presented its financial statement as per IAS as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The consolidate financial statements have been prepared in consolidation with the audited accounts of the company and the audited accounts of Salek Textile Limited, Newasia Synthetics Limited and J. M. Fabrics Limited according to the relevant IFRS or IAS. The following IAS are applicable for the financial statements for the year under review:

IAS-1	Presentation of Financial Statement.
IAS-2	Inventories.
IAS-7	Statement of Cash Flows.
IAS-8	Accounting Policies, Changes in Accounting Estimates and Errors.
IAS-10	Events after the Balance Sheet Date.
IAS-12	Income Tax.
IAS-16	Property, Plant & Equipment.
IAS-19	Employee Benefits.
IAS-20	Accounting for Government Grants and Disclosure of Government Assistance.
IAS-21	The effect of changes in Foreign Exchange rate.
IAS-23	Borrowing Cost.
IAS-24	Related Party Disclosure.
IAS-27	Separate Financial Statements.
IAS-33	Earnings per share.
IAS-36	Impairment of Assets.
IAS-37	Provisions, Contingent Liabilities and Contingent Assets.
IAS-38	Intangible Assets.
IFRS-3	Business Combination.
IFRS-8	Operating Segments.
IFRS-10	Consolidated Financial Statements.
IFRS-15	Revenue from Contracts with Customers.
IFRS-16	Leases.

- (b) The financial statements of the company under reporting have been prepared under historical cost convention, except land, Building and Machinery which is stated at revalued amount, in a going concern concept and on accrual basis other than Cash Incentive Income which is recognized on cash basis in accordance with Generally Accepted Accounting Principles (GAAP) and practice in Bangladesh in compliance with the Companies Act 1994, The Securities and Exchange Rules 1987, Listing Regulations of DSE and CSE and in compliance with International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The financial statements have been prepared in compliance with requirement of IAS as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) as applicable in Bangladesh. The financial statements, except cash flows statements, have been prepared using the accrual basis of accounting. Under this concept, the company recognizes items as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements as per related accounting standard and framework.

The financial statements have been prepared in assuming that the company is a going concern and it has ability to continue as a going concern for foreseeable future. Specific accounting policies were selected and applied by the company's management for significant transactions and events that have a material effect within the framework of IAS-1 "Preparation of Financial Statement" and IAS-27 preparation of separate financial statements and presentation of financial statements. The previous year's figures were presented according to the same accounting principles.

- (c) **Comparative analysis of financial performance or results and financial position as well as cash flows for current financial year with immediately preceding five years explaining reasons are as follows:**

Figures in Million Taka

Particulars	Jul 23 to Jun 24		Jul 22 to Jun 23		Jul 21 Jun 22		Jul 20 Jun 21		Jul 19 Jun 20	
	Consolidated	Standalone	Consolidated	Standalone	Consolidated	Standalone	Consolidated (Restated)	Standalone	Consolidated	Standalone
Turnover	22,211	3,733	17,422	3,845	16,756	4,044	13,054	2,976	9,765	2,584
Gross Profit	2,667	610	580	(273)	1,648	443	1,316	451	519	125
Net Profit before tax	1,732	273	26	(463)	1,020	281	778	294	(251)	(60)
Net Profit after tax	1,432	212	(228)	(499)	720	242	652	250	(332)	(73)
Shareholders' Equity	10,404	4,587	9,055	4,455	9,469	5,149	8,957	5,115	8,306	4,865
Total Assets	26,679	9,673	22,759	7,915	22,736	7,934	22,277	7,818	18,983	7,040
Total Current Assets	14,223	4,972	12,002	3,812	12,172	3,888	11,879	3,844	8,779	3,132

Total Current Liabilities	11,275	3,390	9,627	2,311	10,132	2,325	9,935	2,232	7,507	1,672
Current Ratio	1.26	1.47	1.25	1.65	1.20	1.67	1.20	1.72	1.17	1.87
Net Asset Value Per Share	53.74	23.70	46.77	23.01	48.91	26.59	46.27	26.42	42.90	25.13
Earnings Per Share	7.38	1.10	(1.14)	(2.58)	3.72	1.25	3.36	1.29	(1.68)	(0.38)
NOCFPS	7.91	(0.70)	1.96	(4.23)	0.10	2.19	2.00	1.75	1.74	(0.23)

The rated capacity of Malek Spinning Mills PLC. (MSM) during the year 2019-2020 to 2023-2024 was unchanged and Turnover was more or less same, except the year 2019-2020 and 2020-2021. In the year 2019-2020 and 2020-2021 MSM sales/turnover had decreased due to adverse effect of COVID-19 but in the year 2021-2022 sales/turnover had substantially increased due to increase in average selling price of yarn. During the year 2022-2023 the Company incurred huge losses due to decrease of sales price and quantity as well as increase of raw material price, gas price, repair & maintenance expenses, financial expenses and other overhead cost and adverse effect of Russia-Ukraine war. During the year 2023-2024 MSM earned net profit for reducing the cost of goods sold due to decrease of raw material price and receiving dividend income from J.M. Fabrics Limited, a subsidiary company of MSM. As a result, EPS become positive. On the other hand, NOCFPS of the Company increased due to Fire Insurance Claim received and decrease of payment against raw materials and other materials purchased.

(d) Compare such financial performance or results and financial position as well as cash flows with the peer industry scenario:

Figures in Million Taka

Particulars	Malek Spinning Mills PLC. June 30, 2024	Metro Spinning Ltd. June 30, 2023	Mozaffar Hossain Spinning Mills Ltd. June 30, 2023	Saiham Textile Mills Ltd. June 30, 2023
Revenue (Turnover)	3,733.43	543.31	2,844.16	3,046.68
Gross Profit	610.84	(63.53)	460.45	146.33
Operating Expenses	124.89	28.58	75.68	84.98
Financial Expenses	253.07	70.65	308.50	43.59
Net Profit before tax	273.77	(186.09)	62.91	(22.37)
Net Profit after tax	212.95	(192.40)	22.66	(44.07)
Net Profit in %	5.70%	-35.41%	0.80%	-1.45%
Earnings per share (EPS)	1.10	(3.12)	0.22	(0.49)
NOCFPS	(0.70)	1.86	1.71	(10.22)
Shares Outstanding	193,600,000	61,698,275	100,993,374	90,562,500
Shareholders' Equity	4,587.90	1,040.76	1,948.31	3,789.13
Total Assets	9,672.64	1,867.38	6,159.33	6,265.50
Total Liabilities	5,084.75	826.62	4,211.02	2,476.38
Current Assets	4,972.15	911.31	2,591.17	3,080.04
Current Liabilities	3,389.89	642.07	2,264.41	2,060.38

(e) Financial and Economic Scenario of Bangladesh and the Globe (in brief):

Although global economy had started recovering strongly from the COVID-19 pandemic and the prolonged war in Russia-Ukraine, but falls again in risk due to the Israeli brutal attack and genocide in Palestine along with the geopolitical instabilities and economic crisis, which slowing down the speed of the global economic growth.

As per the United Nations (UN) publication 'World Economic Situation and Prospect 2024', the global economy grew by 2.7 percent in 2023 and is expected to grow by 2.4 percent in 2024 and 2.7 percent in 2025. According to the World Bank's 'Global Economic Prospect, January 2024', global economic growth is projected 2.4 and 2.7 percent in 2024 and 2025 respectively, while growth had stood at 2.6 percent in 2023.

According to IMF projections in the World Economic Outlook (WEO), Global growth is projected to be at 3.2 percent in 2024 and 3.3 percent in 2025. Global inflation is forecast to decline steadily, from 6.8 percent in 2023 to 5.9 percent in 2024 and 4.5 percent in 2025, with advanced economies returning to their inflation targets sooner than emerging market and developing economies. Core inflation, which excludes food and energy prices, is also projected to decline more gradually.

The FY 2023-24 was one of the most difficult ones in the recent history of Bangladesh economy, as it exhibited its weaknesses on various fronts. Supply chain disruptions and the spike in the prices of all goods including fuels, groceries and other commodities caused by global events, leading to high inflationary pressure. According to the report of Bangladesh Bureau of Statistics (BBS) during the 2023-24 fiscal year, the average inflation rate of Bangladesh was 9.73 percent. Consumer prices in Bangladesh have been staying stubbornly high at over 9 percent for more than a year, despite the central bank had hiked its interest rate for lending to conventional banks to curb money supply several times over the last year. Bangladesh needs appropriate policy measures to rein in the increasing inflation rate.

On the other hand, after managing Covid-19 pandemic, GDP growth of Bangladesh stood at 6.94 percent in FY 2020-21 and 7.10 percent in FY 2021-22. But due to global recession for geopolitical instability including Russia-Ukraine war country's GDP growth rate declined to 5.78 percent in FY 2022-23. Provisional figures from the Bangladesh Bureau of Statistics showed that the growth rate for 2023-24 of Bangladesh was 5.82 percent. The World Bank has projected that the economy of Bangladesh will expand by 5.7 percent in FY25, driven by a modest recovery in private consumption supported by moderation in inflation.

The country is now faced with multiple challenges such as a fragile banking sector, financial account deficit, volatility in the exchange rate and depleting foreign exchange reserves. Due to these challenges, the macroeconomic stability that Bangladesh enjoyed for a long time due to high growth, relatively low inflation rate and strong external sector has been weakened. It is expected that the economy of Bangladesh will return to the high and steady growth track shortly.

(f) Risk and concerns related to the financial statements and such risk and concerns mitigation plan:

i. Credit Risk:

Credit risk is the risk of financial loss to the company if a buyer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivable from customers and investment securities. The Company's sales are made to renowned RMG exporting company. Sales made to the entity are fully secured by Letter of Credit issued by local scheduled banks. Credit risk of the Company arises principally from trade debts, loans and advances and bank balances. The carrying amount of financial assets represents the maximum credit exposure.

ii. Liquidity Risk:

Liquidity risk is the risk that the company unable to meet its financial obligations as they fall due. The Company's approach to managing liquidity is to ensure, as far as possible that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation. In general, management ensures that it has sufficient cash and cash equivalent to meet expected operation expenses, including the servicing of financial obligation through preparation of cash forecast, prepared based on timeline of payment of the financial obligation and accordingly arranged for sufficient liquidity/fund to make the expected payment within due date. Moreover, the company seeks to maintain short term lines of credit with scheduled commercial banks to ensure payments of obligations in the events that there is sufficient cash to make the required payment. The requirement is determined in advance through cash flows projections and credit lines facilities with banks are negotiated accordingly. Seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantages and security afforded by a sound capital position. The board also monitors dividend trend to ordinary shareholders.

iii. Market Risk:

Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the company's income or the value of its holding of financial instruments. The objectives of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

iv. Price Risk:

Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The company does not have any financial instrument that expose the price risk.

v. Interest Risk:

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate risk arises from long and short-term borrowings from financial institutions. At the reporting date, the company does not hold any interest-bearing financial instrument.

vi. Currency Risk:

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly where receivables and payables exist due to transactions entered in foreign currencies. The Company is exposed to foreign currency risk on sales, purchases and foreign currency loan, which, are entered in a currency other than BDT. The foreign currency transactions are mainly occurred in USD and conversion rate of USD into BDT does not fluctuate materially.

vii. Capital Risk Management:

The objective of the Company when managing capital, i.e. its shareholders' equity is to safeguard its ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustained development of its businesses. The Company manages its capital structure by monitoring return on net assets and makes adjustment to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividend paid to shareholders or issue new shares.

(g) Future plan or projection or forecast for company's operation, performance and financial position:

The Company does not have any major policy change in immediate future.



A. Matin Chowdhury
Managing Director

Annexure-A
to the Directors' Report

[As per condition No.1 (5) (xxvi)]

Malek Spinning Mills PLC.
Declaration by CEO and CFO

Date: October 15, 2024

The Board of Directors
Malek Spinning Mills PLC.
117/A, Tejgaon Industrial Area
Dhaka-1208
Bangladesh

Subject: Declaration on Financial Statements for the year ended on 30th June 2024.

Dear Sirs,

Pursuant to the condition No. 1(5)(xxvi) imposed vide the Commission's Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 Dated 03 June 2018 under section 2CC of the Securities and Exchange Ordinance, 1969, we do hereby declare that:

1. The Financial Statements of Malek Spinning Mills PLC. for the year ended on 30th June 2024 have been prepared in compliance with International Accounting Standards (IAS) or International Financial Reporting Standards (IFRS), as applicable in the Bangladesh and any departure there from has been adequately disclosed;
2. The estimates and judgments related to the financial statements were made on a prudent and reasonable basis, in order for the financial statements to reveal a true and fair view;
3. The form and substance of transactions and the Company's state of affairs have been reasonably and fairly presented in its financial statements;
4. To ensure above, the Company has taken proper and adequate care in installing a system of internal control and maintenance of accounting records;
5. Our internal auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company were consistently followed; and
6. The management's use of the going concern basis of accounting in preparing the financial statements is appropriate and there exists no material uncertainty related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern.

In this regard, we also certify that: -

- (i) We have reviewed the financial statements for the year ended on 30th June 2024 and that to the best of our knowledge and belief:
 - (a) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
 - (b) these statements collectively present true and fair view of the Company's affairs and are in compliance with existing accounting standards and applicable laws.
- (ii) There are, to the best of knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or in violation of the code of conduct for the company's Board of Directors or its members.

Sincerely yours,


(A. Matin Chowdhury)
Managing Director


(B. K. Chaki)
Chief Financial Officer

Annexure-B
to the Directors' Report

[Certificate as per condition No.1 (5) (xxvii)]

Report to the Shareholders of Malek Spinning Mills PLC. on Compliance on the Corporate Governance Code

We have examined the compliance status to the Corporate Governance Code by **Malek Spinning Mills PLC.** for the year ended on **30 June 2024.** This Code relates to the **Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 03 June 2018 and Notification No. BSEC/CMRRCD/2009-193/66/PRD/148 dated 16 October 2023** of the Bangladesh Securities and Exchange Commission (BSEC).

Such compliance with the Corporate Governance Code is the responsibility of the Company. Our examination was limited to the procedures and implementation thereof as adopted by the Management in ensuring compliance with the conditions of the Corporate Governance Code.

This is a scrutiny and verification and an independent audit on compliance of the conditions of the Corporate Governance Code as well as the provisions of relevant Bangladesh Secretarial Standards (BSS) as adopted by Institute of Chartered Secretaries of Bangladesh (ICSB) in so far as those standards are not inconsistent with any condition of this Corporate Governance Code.

We state that we have obtained all the information and explanations, which we have required and after due scrutiny and verification thereof, we report that, in our opinion:

- The Company has complied with the conditions **except 3(1)(c) and subject to non-applicability of 1(3)(b)(iv), 1(3)(b)(v), 1(3)(d), 1(5)(vii), 1(5)(viii), 1(5)(xx), 5(5)(m), 5(6)(b), 6(2)(f), 6(3)(b)** of the Corporate Governance Code as stipulated in the above-mentioned Corporate Governance Code issued by the Commission and explanation is given in **Annexure-C;**
- The Company has complied with the provisions of the relevant Bangladesh Secretarial Standards (BSS) as adopted by the Institute of Chartered Secretaries of Bangladesh (ICSB) as required by this Code;
- Proper books and records have been kept by the company as required under the Companies Act, 1994, the securities laws and other relevant laws and
- The Governance of the company is satisfactory.

Dhaka, 14 Nov 2024



Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090

Annexure-C

to the Directors' Report

[As per condition No. 1(5)(xxvii)]**Corporate Governance Compliance Report**

Status of compliance with the conditions imposed by the Commission's Notification No. SEC/CMRRCD/2006-158/207/Admin/80, dated 3 June 2018 and Notification No. BSEC/CMRRCD/2009-193/66/PRD/148 dated 16 October 2023 issued under section 2CC of the Securities and Exchange Ordinance, 1969.

(Report under Condition No. 9)

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1	Board of Directors. -			
1(1)	The total number of members of a company's Board of Directors (hereinafter referred to as "Board") shall not be less than 5 (five) and more than 20 (twenty).	√		
1(2)	Independent Directors			
1(2) (a)	At least 2 (two) directors or one-fifth (1/5) of the total number of directors in the company's Board, whichever is higher, shall be independent directors; any fraction shall be considered to the next integer or whole number for calculating number of independent director(s);	√		
1(2)(b) (i)	who either does not hold any share in the company or holds less than one percent (1%) shares of the total paid-up shares of the company;	√		
1(2) (b) (ii)	who is not a sponsor of the company or is not connected with the company's any sponsor or director or nominated director or shareholder of the company or any of its associates, sister concerns, subsidiaries and parents or holding entities who holds one percent (1%) or more shares of the total paid-up shares of the company on the basis of family relationship and his or her family members also shall not hold above mentioned shares in the company;	√		
1(2) (b) (iii)	who has not been an executive of the company in immediately preceding 2 (two) financial years;	√		
1(2) (b) (iv)	who does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary or associated companies;	√		
1(2) (b) (v)	who is not a member or TREC (Trading Right Entitlement Certificate) holder, director or officer of any stock exchange;	√		
1(2) (b) (vi)	who is not a shareholder, director excepting independent director or officer of any member or TREC holder of stock exchange or an intermediary of the capital market;	√		
1(2) (b) (vii)	who is not a partner or an executive or was not a partner or an executive during the preceding 3(three) years of the concerned company's statutory audit firm or audit firm engaged in internal audit services or audit firm conducting special audit or professional certifying compliance of this Code;	√		
1(2) (b) (viii)	who is not independent director in more than 5 (five) listed companies;	√		
1(2) (b) (ix)	who has not been reported as a defaulter in the latest Credit Information Bureau (CIB) report of Bangladesh Bank for non-payment of any loan or advance or obligation to a bank or a financial institution; and	√		
1(2) (b) (x)	who has not been convicted for a criminal offence involving moral turpitude;	√		
1(2) (c)	The independent director(s) shall be appointed by the Board and approved by the shareholders in the Annual General Meeting (AGM): Provided that the Board shall appoint the independent director, subject to prior consent of the Commission, after due consideration of recommendation of the Nomination and Remuneration Committee (NRC) of the company;	√		
1(2) (d)	The post of independent director(s) cannot remain vacant for more than 90 (ninety) days; and	√		
1(2) (e)	The tenure of office of an independent director shall be for a period of 3(three) years, which may be extended for 1(one) tenure only;	√		
1(3)	Qualification of Independent Director.-			
1(3) (a)	Independent director shall be a knowledgeable individual with integrity who is able to ensure compliance with financial laws, regulatory requirements and corporate laws and can make meaningful contribution to the business;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1(3) (b) (i)	Business Leader who is or was a promoter or director of an unlisted company having minimum paid-up capital of Tk.100.00 million or any listed company or a member of any national or international chamber of commerce or registered business association; or	√		
1(3) (b) (ii)	Corporate Leader who is or was a top level executive not lower than Chief Executive Officer or Managing Director or Deputy Managing Director or Chief Financial Officer or Head of Finance or Accounts or Company Secretary or Head of Internal Audit and Compliance or Head of Legal Service or a candidate with equivalent position of an unlisted company having minimum paid-up capital of Tk.100.00 million or of a listed company; or	√		
1(3) (b) (iii)	Former or existing official of government or statutory or autonomous or regulatory body in the position not below 5th Grade of the national pay scale, who has at least educational background of bachelor degree in economics or commerce or business or law: Provided that in case of appointment of existing official as independent director, it requires clearance from the organization where he or she is in service; or	√		
1(3) (b) (iv)	University Teacher who has educational background in Economics or Commerce or Business Studies or Law; or			Not Applicable
1(3) (b) (v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a Chartered Accountant or Cost and Management Accountant or Chartered Financial Analyst or Chartered Certified Accountant or Certified Public Accountant or Chartered Management Accountant or Chartered Secretary or equivalent qualification;			Not Applicable
1 (3) (c)	The independent director shall have at least 10 (ten) years of experiences in any field mentioned in clause (b);	√		
1 (3) (d)	In special cases, the above qualifications or experiences may be relaxed subject to prior approval of the Commission.			Not Applicable
1(4)	Duality of Chairperson of the Board of Directors and Managing Director or Chief Executive Officer.-			
1 (4) (a)	The positions of the Chairperson of the Board and the Managing Director (MD) and/or Chief Executive Officer (CEO) of the company shall be filled by different individuals;	√		
1 (4) (b)	The Managing Director (MD) and/or Chief Executive Officer (CEO) of a listed company shall not hold the same position in another listed company	√		
1 (4) (c)	The Chairperson of the Board shall be elected from among the non-executive directors of the company;	√		
1 (4) (d)	The Board shall clearly define respective roles and responsibilities of the Chairperson and the Managing Director and/or Chief Executive Officer;	√		
1 (4) (e)	In the absence of the Chairperson of the Board, the remaining members may elect one of themselves from non-executive directors as Chairperson for that particular Board's meeting; the reason of absence of the regular Chairperson shall be duly recorded in the minutes.	√		
1(5)	The Directors' Report to Shareholders			
1 (5) (i)	An industry outlook and possible future developments in the industry;	√		
1 (5) (ii)	The segment-wise or product-wise performance;	√		
1 (5) (iii)	Risks and concerns including internal and external risk factors, threat to sustainability and negative impact on environment, if any;	√		
1 (5) (iv)	A discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin, where applicable;	√		
1 (5) (v)	A discussion on continuity of any extraordinary activities and their implications (gain or loss);	√		
1 (5) (vi)	A detailed discussion on related party transactions along with a statement showing amount, nature of related party, nature of transactions and basis of transactions of all related party transactions;	√		
1 (5) (vii)	A statement of utilization of proceeds raised through public issues, rights issues and/or any other instruments;			Not Applicable
1 (5) (viii)	An explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Share Offer, Direct Listing, etc.;			Not Applicable

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1 (5) (ix)	An explanation on any significant variance that occurs between Quarterly Financial performances and Annual Financial Statements;	√		
1 (5) (x)	A statement of remuneration paid to the directors including independent directors;	√		
1 (5) (xi)	A statement that the financial statements prepared by the management of the issuer company present fairly its state of affairs, the result of its operations, cash flows and changes in equity;	√		
1 (5) (xii)	A statement that proper books of account of the issuer company have been maintained;	√		
1 (5) (xiii)	A statement that appropriate accounting policies have been consistently applied in preparation of the financial statements and that the accounting estimates are based on reasonable and prudent judgment;	√		
1 (5) (xiv)	A statement that International Accounting Standards (IAS) or International Financial Reporting Standards (IFRS), as applicable in Bangladesh, have been followed in preparation of the financial statements and any departure there from has been adequately disclosed;	√		
1 (5) (xv)	A statement that the system of internal control is sound in design and has been effectively implemented and monitored;	√		
1 (5) (xvi)	A statement that minority shareholders have been protected from abuse actions by, or in the interest of controlling shareholders acting either directly or indirectly and have effective means of redress;	√		
1 (5) (xvii)	A statement that there is no significant doubt upon the issuer company's ability to continue as a going concern, if the issuer company is not considered to be a going concern, the fact along with reasons there of shall be disclosed;	√		
1 (5) (xviii)	An explanation that significant deviations from the last year's operating results of the issuer company shall be highlighted and the reasons thereof shall be explained;	√		
1 (5) (xix)	A statement where key operating and financial data of at least preceding 5 (five) years shall be summarized;	√		
1 (5) (xx)	An explanation on the reasons if the issuer company has not declared dividend (cash or stock) for the year;			Not Applicable
1(5) (xxi)	Board's statement to the effect that no bonus share or stock dividend has been or shall be declared as interim dividend;	√		
1(5) (xxii)	The total number of Board meetings held during the year and attendance by each director;	√		
1(5) (xxiii) (a)	Parent or Subsidiary or Associated Companies and other related parties (name-wise details);	√		
1(5) (xxiii) (b)	Directors, Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit and Compliance and their spouses and minor children (name-wise details);	√		
1(5) (xxiii) (c)	Executives; and	√		
1(5) (xxiii) (d)	Shareholders holding ten percent (10%) or more voting interest in the company (name-wise details);	√		
1(5) (xxiv) (a)	a brief resume of the director;	√		
1(5) (xxiv) (b)	nature of his or her expertise in specific functional areas; and	√		
1(5) (xxiv) (c)	names of companies in which the person also holds the directorship and the membership of committees of the Board;	√		
1(5) (xxv) (a)	accounting policies and estimation for preparation of financial statements;	√		
1(5) (xxv) (b)	changes in accounting policies and estimation, if any, clearly describing the effect on financial performance or results and financial position as well as cash flows in absolute figure for such changes;	√		
1(5) (xxv) (c)	comparative analysis (including effects of inflation) of the financial performance or results and financial position as well as cash flows for current financial year with immediate preceding five years explaining reasons thereof;	√		
1(5) (xxv) (d)	compare such financial performance or results and financial position as well as cash flows with the peer industry scenario;	√		
1(5) (xxv) (e)	briefly explain the financial and economic scenario of the country and the globe;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1(5) (xxv) (f)	risks and concerns issues related to the financial statements, explaining such risk and concerns mitigation plan of the company; and	√		
1(5) (xxv) (g)	future plan or projection or forecast for company's operation, performance and financial position, with justification thereof, i.e. actual position shall be explained to the shareholders in the next AGM;	√		
1(5) (xxvi)	Declaration or certification by the CEO and the CFO to the Board as required under condition No. 3 (3) shall be disclosed as per Annexure-A .	√		
1(5) (xxvii)	The report as well as certificate regarding compliance of conditions of this Code as required under condition No.9 shall be disclosed as per Annexure-B and Annexure-C ;	√		
1(5) (xxviii)	The Directors' report to the shareholders does not require to include the business strategy or technical specification related to products or services, which have business confidentiality.	√		
1(6)	Meetings of the Board of Directors The company shall conduct its Board meetings and record the minutes of the meetings as well as keep required books and records in line with the provisions of the relevant Bangladesh Secretarial Standards (BSS) as adopted by the Institute of Chartered Secretaries of Bangladesh (ICSB) in so far as those standards are not inconsistent with any condition of this Code.	√		
1(7)	Code of Conduct for the Chairperson, other Board members and Chief Executive Officer.-			
1(7) (a)	The Board shall lay down a code of conduct, based on the recommendation of the Nomination and Remuneration Committee (NRC) at condition No.6, for the Chairperson of the Board, other board members and Chief Executive Officer of the company;	√		
1(7) (b)	The code of conduct as determined by the NRC shall be posted on the website of the company including, among others, prudent conduct and behavior; confidentiality; conflict of interest; compliance with laws, rules and regulations; prohibition of insider trading; relationship with environment, employees, customers and suppliers; and independency.	√		
2	Governance of Board of Directors of Subsidiary Company.-			
2(a)	Provisions relating to the composition of the Board of the holding company shall be made applicable to the composition of the Board of the subsidiary company;	√		
2(b)	At least 1 (one) independent director on the Board of the holding company shall be a director on the Board of the subsidiary company;	√		
2(c)	The minutes of the Board meeting of the subsidiary company shall be placed for review at the following Board meeting of the holding company;			
2(d)	The minutes of the respective Board meeting of the holding company shall state that they have reviewed the affairs of the subsidiary company also;	√		
2(e)	The Audit Committee of the holding company shall also review the financial statements, in particular the investments made by the subsidiary company.	√		
3	Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HIAC) and Company Secretary (CS).-			
3(1) (a)	The Board shall appoint a Managing Director (MD) or Chief Executive Officer (CEO), a Company Secretary (CS), a Chief Financial Officer (CFO) and a Head of Internal Audit and Compliance (HIAC);	√		
3(1) (b)	The positions of the Managing Director (MD) or Chief Executive Officer (CEO), Company Secretary (CS), Chief Financial Officer (CFO) and Head of Internal Audit and Compliance (HIAC) shall be filled by different individuals;	√		
3(1) (c)	The MD or CEO, CS, CFO and HIAC of a listed company shall not hold any executive position in any other company at the same time: Provided that CFO or CS of any listed company may be appointed for the same position in any other listed or non-listed company under the same group for reduction of cost or for technical expertise, with prior approval of the Commission. Provided further that the remuneration and perquisites of the said CFO or CS shall be shared by appointing companies proportionately;		√	In progress for compliance
3(1) (d)	The Board shall clearly define respective roles, responsibilities and duties of the CFO, the HIAC and the CS;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
3(1) (e)	The MD or CEO, CS, CFO and HIAC shall not be removed from their position without approval of the Board as well as immediate dissemination to the Commission and stock exchange (s).	√		
3(2)	Requirement to attend Board of Directors' Meetings The MD or CEO, CS, CFO and HIAC of the company shall attend the meetings of the Board: Provided that the CS, CFO and/or the HIAC shall not attend such part of a meeting of the Board which involves consideration of an agenda item relating to their personal matters.	√		
3 (3)	Duties of Managing Director (MD) or Chief Executive Officer (CEO) and Chief Financial Officer (CFO)			
3 (3) (a)	The MD or CEO and CFO shall certify to the Board that they have reviewed financial statements for the year and that to the best of their knowledge and belief:	√		
3(3) (a) (i)	these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading; and	√		
3(3) (a) (ii)	these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards and applicable laws;	√		
3(3) (b)	The MD or CEO and CFO shall also certify that there are, to the best of knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or in violation of the code of conduct for the company's Board or its members;	√		
3(3) (c)	The certification of the MD or CEO and CFO shall be disclosed in the Annual Report.	√		
4	Board of Directors' Committee. -			
4(i)	Audit Committee; and	√		
4(ii)	Nomination and Remuneration Committee.	√		
5	Audit Committee. -			
5(1)	Responsibility to the Board of Directors.			
5(1) (a)	The company shall have an Audit Committee as a sub-committee of the Board;	√		
5(1) (b)	The Audit Committee shall assist the Board in ensuring that the financial statements reflect true and fair view of the state of affairs of the company and in ensuring a good monitoring system within the business;	√		
5(1) (c)	The Audit Committee shall be responsible to the Board; the duties of the Audit Committee shall be clearly set forth in writing.	√		
5(2)	Constitution of the Audit Committee			
5(2) (a)	The Audit Committee shall be composed of at least 3 (three) members;	√		
5(2) (b)	The Board shall appoint members of the Audit Committee who shall be non-executive directors of the company excepting Chairperson of the Board and shall include at least 1 (one) independent director;	√		
5(2) (c)	All members of the Audit Committee should be "financially literate" and at least 1 (one) member shall have accounting or related financial management background and 10 (ten) years of such experience;	√		
5(2) (d)	When the term of service of any Committee member expires or there is any circumstances causing any Committee member to be unable to hold office before expiration of the term of service, thus making the number of the Committee members to be lower than the prescribed number of 3 (three) persons, the Board shall appoint the new Committee member to fill up the vacancy immediately or not later than 60 (sixty) days from the date of vacancy in the Committee to ensure continuity of the performance of work of the Audit Committee;	√		
5(2) (e)	The company secretary shall act as the secretary of the Committee;	√		
5(2) (f)	The quorum of the Audit Committee meeting shall not constitute without at least 1 (one) independent director.	√		
5(3)	Chairperson of the Audit Committee			
5(3) (a)	The Board shall select 1 (one) member of the Audit Committee to be Chairperson of the Audit Committee, who shall be an independent director;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
5(3) (b)	In the absence of the Chairperson of the Audit Committee, the remaining members may elect one of themselves as Chairperson for that particular meeting, in that case there shall be no problem of constituting a quorum as required under condition No. 5(4) (b) and the reason of absence of the regular Chairperson shall be duly recorded in the minutes.	√		
5(3) (c)	Chairperson of the Audit Committee shall remain present in the Annual General Meeting (AGM):	√		
5(4)	Meeting of the Audit Committee			
5(4) (a)	The Audit Committee shall conduct at least its four meetings in a financial year:	√		
5(4) (b)	The quorum of the meeting of the Audit Committee shall be constituted in presence of either two members or two third of the members of the Audit Committee, whichever is higher, where presence of an independent director is a must.	√		
5(5)	Role of Audit Committee			
5(5) (a)	Oversee the financial reporting process;	√		
5(5) (b)	monitor choice of accounting policies and principles;	√		
5(5) (c)	monitor Internal Audit and Compliance process to ensure that it is adequately resourced, including approval of the Internal Audit and Compliance Plan and review of the Internal Audit and Compliance Report;	√		
5(5) (d)	oversee hiring and performance of external auditors;	√		
5(5) (e)	hold meeting with the external or statutory auditors for review of the annual financial statements before submission to the Board for approval or adoption;	√		
5(5) (f)	review along with the management, the annual financial statements before submission to the Board for approval;	√		
5(5) (g)	review along with the management, the quarterly and half yearly financial statements before submission to the Board for approval;	√		
5(5) (h)	review the adequacy of internal audit function;	√		
5(5) (i)	review the Management's Discussion and Analysis before disclosing in the Annual Report;	√		
5(5) (j)	review statement of all related party transactions submitted by the management;	√		
5(5) (k)	review Management Letters or Letter of Internal Control weakness issued by statutory auditors;	√		
5(5) (l)	oversee the determination of audit fees based on scope and magnitude, level of expertise deployed and time required for effective audit and evaluate the performance of external auditors; and	√		
5(5) (m)	oversee whether the proceeds raised through Initial Public Offering (IPO) or Repeat Public Offering (RPO) or Rights Share Offer have been utilized as per the purposes stated in relevant offer document or prospectus approved by the Commission;			Not Applicable
5(6)	Reporting of the Audit Committee			
5(6) (a)	Reporting to the Board of Directors			
5(6) (a) (i)	The Audit Committee shall report on its activities to the Board	√		
5(6) (a) (ii) (a)	report on conflicts of interests;	√		
5(6) (a) (ii) (b)	suspected or presumed fraud or irregularity or material defect identified in the internal audit and compliance process or in the financial statements;	√		
5(6) (a) (ii) (c)	suspected infringement of laws, regulatory compliances including securities related laws, rules and regulations; and	√		
5(6) (a) (ii) (d)	any other matter which the Audit Committee deems necessary shall be disclosed to the Board immediately;	√		
5(6) (b)	Reporting to the Authorities			Not Applicable
5(7)	Reporting to the Shareholders and General Investors	√		
6	Nomination and Remuneration Committee (NRC).-			
6(1)	Responsibility to the Board of Directors			
6(1) (a)	The company shall have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
6(1) (b)	The NRC shall assist the Board in formulation of the nomination criteria or policy for determining qualifications, positive attributes, experiences and independence of directors and top level executive as well as a policy for formal process of considering remuneration of directors, top level executive;	√		
6(1) (c)	The Terms of Reference (TOR) of the NRC shall be clearly set forth in writing covering the areas stated at the condition No.6(5)(b)	√		
6(2)	Constitution of the NRC			
6(2) (a)	The Committee shall comprise of at least three members including an independent director;	√		
6(2) (b)	At least 02 (two) members of the Committee shall be non-executive directors;	√		
6(2) (c)	Members of the Committee shall be nominated and appointed by the Board;	√		
6(2) (d)	The Board shall have authority to remove and appoint any member of the Committee;	√		
6(2) (e)	In case of death, resignation, disqualification or removal of any member of the Committee or in any other cases of vacancies, the board shall fill the vacancy within 180 (one hundred eighty) days of occurring such vacancy in the Committee;	√		
6(2) (f)	The Chairperson of the Committee may appoint or co-opt any external expert and/or member(s) of staff to the Committee as adviser who shall be non-voting member, if the Chairperson feels that advice or suggestion from such external expert and/or member(s) of staff shall be required or valuable for the Committee;			Not Applicable
6(2) (g)	The company secretary shall act as the secretary of the Committee;	√		
6(2) (h)	The quorum of the NRC meeting shall not constitute without attendance of at least an independent director;	√		
6(2) (i)	No member of the NRC shall receive, either directly or indirectly, any remuneration for any advisory or consultancy role or otherwise, other than Director's fees or honorarium from the company.	√		
6(3)	Chairperson of the NRC			
6(3) (a)	The Board shall select 1 (one) member of the NRC to be Chairperson of the Committee, who shall be an independent director;	√		
6(3) (b)	In the absence of the Chairperson of the NRC, the remaining members may elect one of themselves as Chairperson for that particular meeting, the reason of absence of the regular Chairperson shall be duly recorded in the minutes;			Not Applicable
6(3) (c)	The Chairperson of the NRC shall attend the annual general meeting (AGM) to answer the queries of the shareholders;	√		
6(4)	Meeting of the NRC			
6(4) (a)	The NRC shall conduct at least one meeting in a financial year;	√		
6(4) (b)	The Chairperson of the NRC may convene any emergency meeting upon request by any member of the NRC;	√		
6(4) (c)	The quorum of the meeting of the NRC shall be constituted in presence of either two members or two third of the members of the Committee, whichever is higher, where presence of an independent director is must as required under condition No.6(2)(h);	√		
6(4) (d)	The proceedings of each meeting of the NRC shall duly be recorded in the minutes and such minutes shall be confirmed in the next meeting of the NRC.	√		
6(5)	Role of the NRC			
6(5) (a)	NRC shall be independent and responsible or accountable to the Board and to the shareholders;	√		
6(5) (b) (i) (a)	the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate suitable directors to run the company successfully;	√		
6(5) (b) (i) (b)	the relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
6(5) (b) (i) (c)	remuneration to directors, top level executive involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals;	√		
6(5) (b) (ii)	devising a policy on Board's diversity taking into consideration age, gender, experience, ethnicity, educational background and nationality;	√		
6(5) (b) (iii)	identifying persons who are qualified to become directors and who may be appointed in top level executive position in accordance with the criteria laid down, and recommend their appointment and removal to the Board;	√		
6(5) (b) (iv)	formulating the criteria for evaluation of performance of independent directors and the Board;	√		
6(5) (b) (v)	identifying the company's needs for employees at different levels and determine their selection, transfer or replacement and promotion criteria; and	√		
6(5) (b) (vi)	developing, recommending and reviewing annually the company's human resources and training policies;	√		
6(5) (c)	The company shall disclose the nomination and remuneration policy and the evaluation criteria and activities of NRC during the year at a glance in its annual report.	√		
7	External or Statutory Auditors. -			
7(1)	The issuer company shall not engage its external or statutory auditors to perform the following services of the company, namely:-	√		
7(1) (i)	appraisal or valuation services or fairness opinions;	√		
7(1) (ii)	financial information systems design and implementation;	√		
7(1) (iii)	book-keeping or other services related to the accounting records or financial statements;	√		
7(1) (iv)	broker-dealer services;	√		
7(1) (v)	actuarial services;	√		
7(1) (vi)	internal audit services or special audit services;	√		
7(1) (vii)	any service that the Audit Committee determines;	√		
7(1) (viii)	audit or certification services on compliance of corporate governance as required under condition No.9(1); and	√		
7(1) (ix)	any other service that creates conflict of interest.	√		
7(2)	No partner or employees of the external audit firms shall possess any share of the company they audit at least during the tenure of their audit assignment of that company; his or her family members also shall not hold any shares in the said company:	√		
7(3)	Representative of external or statutory auditors shall remain present in the Shareholders' Meeting (Annual General Meeting or Extraordinary General Meeting) to answer the queries of the shareholders.	√		
8	Maintaining a website by the Company. -			
8(1)	The company shall have an official website linked with the website of the stock exchange.	√		
8(2)	The company shall keep the website functional from the date of listing.	√		
8(3)	The company shall make available the detailed disclosures on its website as required under the listing regulations of the concerned stock exchange(s).	√		
9	Reporting and Compliance of Corporate Governance. -			
9(1)	The company shall obtain a certificate from a practicing Professional Accountant or Secretary (Chartered Accountant or Cost and Management Accountant or Chartered Secretary) other than its statutory auditors or audit firm on yearly basis regarding compliance of conditions of Corporate Governance Code of the Commission and shall such certificate shall be disclosed in the Annual Report.	√		
9(2)	The professional who will provide the certificate on compliance of this Corporate Governance Code shall be appointed by the shareholders in the AGM.	√		
9(3)	The directors of the company shall state, in accordance with the Annexure-C attached, in the directors' report whether the company has complied with these conditions or not.	√		

AUDIT COMMITTEE REPORT

For the Year 2023-2024

Malek Spinning Mills PLC. having an Audit Committee as a sub-committee of the Board of Directors in order to assist the Board of Directors in ensuring and fulfilling its oversight responsibilities.

The Audit Committee comprised by following Members of the Board of Directors:

Dr. Sultan Hafeez Rahman, Independent Director	-Chairman
Dr. Shamim Matin Chowdhury, Director	-Member
Mr. Mahir Rahman, Director	-Member

Mr. Syed Saiful Haque, Company Secretary acts as the Secretary to the Committee.

Meetings of the Audit Committee:

- The Committee held four (04) meetings during the year.
- The Committee submits its report directly to the Board of Directors.
- Minutes of the Committee meeting are properly recorded.

The scope of Audit Committee was defined as under:

- a. Review with the management and recommend to the Board to approve the quarterly and annual financial statements prepared for statutory purpose;
- b. Monitor and oversee choice of accounting policies and principles, internal control, risk management process, auditing matter, hiring and performance of external auditors;
- c. Meeting with the auditors for review of the annual financial statements before submission to the Board for approval;
- d. Review the adequacy of internal audit function, Management's Discussion and Analysis before disclosing in the Annual Report;
- e. Review statement of significant related party transactions submitted by the management;
- f. Carry on a supervision role to safeguard the system of governance and independence of statutory auditors; and
- g. Review and consider the report of internal auditors and statutory auditors' observations on internal control.

Activities carried out during the year 2023-2024:

- The Committee examined and reviewed the fairness of the quarterly and annual financial statements and recommended to the Board for consideration.
- Overseen, reviewed and approved the procedure and task of the internal audit, financial report preparation and the external audit reports.
- Reviewed the Related Party Transactions, Loans, Guarantees and Investments.
- Reviewed the financial statements in particular the investments made by the subsidiary company.
- Reviewed the performance of Statutory Auditors and Corporate Governance Compliance Auditors and made recommendation to the Board on the appointment of Statutory Auditors and Corporate Governance Compliance Auditors.

The Committee found adequate arrangement to present a true and fair view of the activities on the financial statements of the company and an appropriate monitoring system within the business and didn't find any material deviation, discrepancies or any adverse finding/observation in the areas of reporting.



Dr. Sultan Hafeez Rahman

Chairman

Audit Committee

Date: 24th October, 2024

Malek Spinning Mills PLC.

Nomination and Remuneration Policy:

The Nomination and Remuneration Policy is prepared and adopted in compliance with Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission in view to formulate and recommend proper, fair, transparent and non-discriminatory nomination and remuneration for the Directors and Top-Level Executives of Malek Spinning Mills PLC.

The Nomination and Remuneration Policy of Directors and Top-Level Executives has been formulated by the Nomination and Remuneration Committee (NRC) and has been approved by the Board of Directors of Malek Spinning Mills PLC.

The Nomination and Remuneration Committee (NRC) has been constituted by the Board of Directors of the Company as a sub-committee to assist the Board under Condition No. 6 of the Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission. NRC is independent and responsible or accountable to the Board of Directors and the Shareholders of the Company.

The NRC consists of the following Non-Executive Directors of the Board:

Dr. Sultan Hafeez Rahman, Independent Director	-Chairman
Dr. Shamim Matin Chowdhury, Director	-Member
Mr. Mahir Rahman, Director	-Member

The Terms of Reference of the NRC have been defined and adopted by the Board of Directors of the Company.

Objective:

The objective of the NRC is to oversee, assist and guide the Board of Directors:

- To formulate the criteria for determining qualifications, positive attributes and independence of a Director and recommend policy to the Board, relating to the remuneration of Directors and Top-Level Executives.
- To devise policy on Board's diversity taking into consideration of age, gender, experience, ethnicity, educational background and nationality.
- To the appointment, fixation of remuneration and removal of Directors and Top Level Executives.
- To formulate the criteria in respect to evaluate performance of the Independent Director and the Board.
- To identify the company's needs for employees at different levels and determine their selection, transfer or replacement and promotion criteria.
- To develop, recommend and review the company's human resources and training policies.
- To recommend Code of Conduct for the Chairman and other Members of the Board and Managing Director.
- To implement and monitor policies and processes regarding principles of corporate governance.

Amendments to the Policy:

The Board preserves the rights to amend and review time to time the provisions of the policy depending on the legal and other requirements or for a bona fide purpose.

Evaluation of performance:

Evaluation of performance of Directors be carried out through completion of a preset confidential questionnaire and/or collective feedback or any other effective criteria adopted by the Board yearly or at such intervals of its work, function and performance as may be considered necessary in order to ascertain the effectiveness and to measure the contribution of the Directors as well as the Top Level Executives of the Company.

Activities of the NRC carried out during the reporting period:

The NRC carried out the following activities in line with Committee's Terms of Reference during the reporting period:

- (a) Reviewed the Code of Conduct for the Chairman, other Members of the Board and Managing Director.
- (b) Reviewed the Company's existing policy relating to the remuneration of Directors and Top Level Executives.
- (c) Discussed and decided in regard to formulate the criteria of evaluation of performance of the Board and Independent Directors.
- (d) Reviewed the Company's existing Human Resources and Training policies.

Malek Spinning Mills PLC.

Dividend Distribution Policy

Introduction

Bangladesh Securities and Exchange Commission (BSEC) issued a Directive No. BSEC/CMRRCD/2021-386/03 dated 14 January, 2021 for listed companies to formulate its Dividend Distribution Policy and disclose the policy in the company's annual report and official website. In compliance to this directive, Malek Spinning Mills PLC. ("Malek Spinning" or the "Company") publishes this statement as a guiding framework for the shareholders with regards to the Company's Dividend Policy.

This statement provides a brief outline of the legal and regulatory provisions relating to dividend, key issues in dividend considerations and the procedure for the declaration, approval and payment of dividend.

Relevant Laws and Regulations

Different legal and regulatory provisions have bearing on dividend decisions of the Company. The paragraphs below provide a brief overview of the provisions relating to dividend:

Companies Act

The Companies Act 1994, the primary legislation regulating the affairs of a company, gives power to the directors to recommend the dividend to be declared by the company which is to be approved by the shareholders in the Annual General Meeting (AGM). The shareholders however, cannot approve any dividend more than what has been recommended by the directors. It also authorizes the directors to pay from time to time, interim dividends to the shareholders if so appears to be justified by the profits of the company. The directors may, before recommending any dividend, set aside out of the profits of the company, such sums as they deem appropriate, as reserve or reserves which shall at the discretion of the directors be applied for meeting contingencies or for equalizing dividends or for any other purpose of the company appropriate for utilization of such profits or may employ such profits in the business of the company or otherwise as they think fit. The law further provides that dividends are to be paid out of profits of the year or any other undistributed profits.

Listing Regulations of Stock Exchanges

There has been a number of listing regulations that have direct or indirect impact on dividend decisions of the company. Shares of a company is traded under different trading categories depending on payment or non-payment of dividend by a company. According to the regulations, a company shall be traded in the "Z Category" (a category with a longer trading settlement time and other restrictive conditions) if it fails to declare cash dividend for two consecutive years. Moreover, a company may among other reasons, be de-listed from the stock exchange if it fails to pay cash/stock dividend for a consecutive period of five years. The listing regulations also require a company to declare in its annual general meeting the reasons, if any for partial or non-distribution of profits as dividend and the plan for utilization of the undistributed profits if there be any.

Income Tax Law

Bangladesh Income Tax law, provides for additional tax charges to a listed company that retains more than 70% of its net after-tax profit earned in any year. According to the said provisions if a company retains or transfers more than 70% of its after tax profit to reserve or any other fund, an additional 10% tax shall be payable on such retained or transferred fund. Moreover, in order to encourage cash dividend, the tax law requires that if in any income year, the stock dividend declared by a company exceeds the cash dividend, an additional 10% tax shall be imposed on the whole amount of stock dividend declared or distributed.

Key Considerations in dividend decisions

The company shall endeavor to maintain a consistent dividend over the year with appropriate consideration of factors relevant to such decisions. It is the Company's practice to declare dividend on annual basis based on annual financial performance. However, the Board may also declare interim dividend based on periodic financial results. Historically the Company declared dividend in either cash or stock or in judicious combination

of cash and stock. The company intends to pursue the same policy in future depending on the operating and financial context prevailing at that time.

Multiple internal and external factors might affect Company's dividend decisions. While recommending dividend the Board of Directors shall consider among others:

- Company's current net earnings, accumulated distributable reserves/surplus and availability of free cash flow
- Potential growth opportunities and investment requirements; assessment of benefits of retention vs pay-out
- Legal and Regulatory compulsion and tax implication of retention and payout
- Any debt/loan covenants restricting dividend announcement
- Persuasion of a target capital structure
- Cost of external finance
- Policy on consistency of the dividend over reasonable and foreseeable future years

Additionally, the Board may consider other factors or circumstances to decide on distribution of dividend for a particular year.

Eligibility of shareholders for dividend

Dividend is declared on the face value of each Equity Share. Unless otherwise stated, all holders of Equity Share and DR (Depository Receipts) whose names appear on the register of the Company on the Record Date declared by the Company for entitlement of dividend, are eligible to get the dividend.

Timing of Dividend Announcement and Payment

Annual dividend decision is taken in the Board Meeting to be held within 120 days from the date of closing of the financial year. Such decisions are based on the results of the audited financial statements. The dividend recommendations made by the directors are notified to the shareholders through stock exchanges, website and public announcements.

Dividend recommended by the Directors are to be placed in the Annual General Meeting (AGM) of the Company for the Shareholders' approval. Dividend are transferred to the respective shareholders' account within 30 days from the date of its approval. Interim Dividend if any declared by the Company, are paid within 30 days from the Record Date fixed by the Company for the entitlement of such dividend.

Policy Review and Amendment

Apart from mandatory revision, modification or amendment as necessitated by the legal and regulatory requirements, the company shall review this policy on periodic basis and make necessary revision or amendment to keep the policy relevant and up to date. The Board of Directors of the company shall approve the revision and/or amendment as it deems fit.

Disclaimer

The above Policy Statement neither gives a guarantee of dividend to be declared by the Company nor does it constitute a commitment for any future dividend and thus be read as a general guidance on different dividend related issues. The policy upholds the Board's absolute/complete liberty to recommend any dividend in deviation of the policy.

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF
MALEK SPINNING MILLS PLC
REPORT ON THE AUDIT OF
THE CONSOLIDATED FINANCIAL STATEMENTS****Opinion**

We have audited the consolidated financial statements of Malek Spinning Mills PLC (the Company), which comprise the consolidated statement of financial position as at June 30, 2024 and the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give true and fair view, in all material respects, of the financial position of the Company as at June 30, 2024 and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the company act 1994, the Securities and Exchange Rules 1987 and other applicable law and regulations.

Emphasis of Matters

- As per the Independent Auditors Report and Audited Financial Statements of Salek Textile Limited, one of the components of Malek Spinning Mills PLC, for the year ended 30 June 2024, Salek Textile Limited has receivable of BDT 45,94,82,147 from Denim Asia Limited related to Disposal Proceeds of RMG Unit and Other Material Sales.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters.

Risk	Our response to the risk
Valuation of Inventory As at 30 th June 2024 inventory value of BDT 3,447,143,454 and the Group, as a whole, reported total inventory of BDT. 6,626,265,782 is held on the financial position. Inventory is carried in the statement of financial position at the lower of cost and net realizable value. Sales in the manufacturing industry can be extremely volatile based on significant changes in consumer demand. As a result, there is a risk that the carrying value of inventory exceeds its net realizable value. Moreover, the process of estimating provision for inventories is judgmental and complex. Due to high level of judgment involved and use of some manual process in estimating the provision and net realizable value of inventories, we considered this to be a key audit matter.	We have tested the maintaining effectiveness of the inventories held by the Company. Additionally, we performed the following: - Corroborating on a sample basis that items on the stock were classified in the appropriate ageing bracket; - Considering the historical accuracy of provisioning and using the information obtained as evidence for evaluating the appropriateness of the assumptions made in the current period; and - We have also considered the adequacy of the Company's disclosures in respect of the levels of provisions against inventory. - Observed physical stock taking procedure as on 30th June 2024.
Note no. 6 & 4.1 to the consolidated financial statements	

Measurement and recognition of deferred tax liability As at 30th June 2024 the balance of deferred tax liability was BDT. 257,564,100 and 543,386,431 respectively for the Company and the Group. The risk for the financial statements is that these provisions are not properly measured for all types of temporary difference as per IAS 12 Income tax.	• Use of our own tax specialists to assess the company's tax computation. Our tax specialists were also used to evaluate tax strategies that the company expects will hardly enable the successful recovery of the recognized deferred tax liability taking into account the Company's tax position and our knowledge and experience of the application of relevant tax legislation; • To analyses and challenge the assumptions used to determine tax provisions based on our knowledge and experiences of the application of the local legislation; • Evaluating the adequacy of the financial statement disclosures, including disclosures of key assumptions, judgments and sensitivities related to tax and deferred tax. • Assess the tax provision calculation with reference to ITA 1984 and Financial Act 2024.
Note no. 19 & 14.1 to the consolidated financial statements	
Recoverability assessment of account receivables As at 30th June 2024 the balance of account receivables was BDT. 1,084,188,548 and 4,549,350,365 respectively for the Company and the Group. Bill receivables of the company comprise mainly receivables in relation to the trading business regarding the export of fabrics, which is secured and guaranteed by bank against Letter of Credit (L/C). The recoverable amount was estimated by management based on their specific recoverability assessment on debtor with reference to the aging profile, historical payment pattern and the past record of default of the customer.	• Tested the accuracy of aging of trade receivables at year end on a sample basis; • Obtained a list of outstanding receivables and identified any debtors with financial difficulty through discussion with management as well as conducting market research on the Textile sector; Assessed the recoverability of the unsettled receivables on a sample basis through our evaluation of management's assessment with reference to the credit profile of the customers, historical payment pattern of customers, publicly available information and latest correspondence with customers and to consider if any additional provision should be made; and Tested subsequent settlement of trade receivables after the balance sheet date on a sample basis, if any.
Note no. 5.1 & 07 to the consolidated financial statements	
Advance, Deposit and Prepayments Advance, deposit and prepayments BDT 249,177,470 & 694,614,866 for advance against long term, short term, Advance and Prepayments & Income Tax.	We have tested the maintaining effectiveness of the advance, deposit and assets position held by the Company.
Note no. 7.1 & 9 to the financial statements	
Property, Plant and Equipment The company has represented total Property Plant and Equipment (WDV) BDT 2,875,262,009 & 11,277,615,015 during the financial year 30 June 2024 which recovers 29.73% & 42.27% of total assets. The company represents addition for property, plant and equipment BDT 914,667,225 & 1,428,447,220 and charges depreciation during the financial year BDT 40,736,994 & 440,563,918.	We tested the design and operating effectiveness of key control focusing on the following: • We verified the existence and legal ownership of Property, Plant and Equipment. • Calculate and verify the depreciation of property, plant and equipment. • Evaluating the adequacy of disclosure to financial statements. • Verified addition in non current assets i.e, Land worth BDT 7,750,000 in line with register, ledger, bank statement & appropriate supporting documents. Finally assessed the appropriateness and presentation of disclosures against property, plant and equipment.
Note no. 1.1 & 04 to the consolidated financial statements	

Capital Work-in-Progress At year end the Malek Spinning Mills PLC reported Capital Work-in – Progress BDT. 1,177,716,396 of the Group, which consist of BDT 1,177,716,396 JM Fabrics Limited.	- Evaluating the adequacy of disclosure to financial statements. - Verified Capital work in Progress in line with ledger, bank statement & appropriate supporting documents. - Reviewing audit working paper from component auditor.
Note no. 6.4 & 05 to the consolidated financial statements	
Cash and Cash Equivalents At year end the Malek Spinning Mills PLC reported Cash & Cash Equivalents BDT. 1,853,650,712 of the Group, which consist of BDT 188,321,386 Salek Textile Limited, 41,168 Newasia Synthetics Limited & 1,513,682,774 JM Fabrics Limited.	- Evaluating the adequacy of disclosure to financial statements. - Verified Cash and Cash Equivalents in line with ledger, bank statement, balance confirmation & appropriate supporting documents . - Reviewing audit working paper from component auditor.
Note no. 12,9.2 ,3.3 & 10.4 to the consolidated financial statements	
Re-valuation Surplus At year end the Malek Spinning Mills PLC reported Revaluation Surplus BDT. 3,264,817,970 of the Group, which consist of BDT 333,349,944 Salek Textile Limited, 1,341,650,365 Newasia Synthetics Limited & 134,555,666 JM Fabrics Limited.	- Evaluating the adequacy of disclosure to financial statements. - Verified Revaluation Surplus in line with ledger, bank statement, Revaluation Report & appropriate supporting documents. - Reviewing audit working paper from component auditor
Note no. 15,12.2 ,5.3& 12.4 to the consolidated financial statements	
Long Term Loan At year end the Malek Spinning Mills PLC reported Long Term Loan BDT. 4,405,409,237 of the Group, which consist of BDT 1,710,821,321 Salek Textile Limited & 1,257,295,368 JM Fabrics Limited. Current Portion of Long Term Loan At year end the Malek Spinning Mills PLC reported Current Portion of Long Term Loan BDT. 1,060,895,260 of the Group, which consist of BDT 509,030,156 Salek Textile Limited & 258,076,413 JM Fabrics Limited.	- Evaluating the adequacy of disclosure to financial statements. - Verified Long Term Loan & Current Portion of Long of Long Term Loan in line with ledger, loan statement, sanction Letter, loan confirmation, bank certificate & appropriate supporting documents. - Reviewing audit working paper from component auditor.
Note no. 18 &21,14.2 & 17.2 & 14.4& 17.4 to the consolidated financial statements	
Short Term Loan At year end the Malek Spinning Mills PLC reported of Short Term Loan BDT. 4,421,090,799 of the Group, which consist of BDT 1,017,549,340 Salek Textile Limited & 2,460,293,166 JM Fabrics Limited.	- Evaluating the adequacy of disclosure to financial statements. - Verified Short Term Loan in line with ledger, loan statement, sanction Letter, loan confrimation & appropriate supporting documents. - Reviewing audit working paper from component auditor.
Note no. 20,16.2 & 16.4 to the consolidated financial statements	
Acceptance Liabilities At year end the Malek Spinning Mills PLC reported Acceptance Laibilities BDT. 4,424,939,916 of the Group, which consist of BDT 873,420,383 Salek Textile Limited & 1,847,179,398 JM Fabrics Limited.	- Evaluating the adequacy of disclosure to financial statements. - Verified Acceptance Liabilities in line with ledger, Bank Statement, Certificate & appropriate supporting documents. - Reviewing audit working paper from component auditor.
Note no. 23,18.2 & 18.4 to the consolidated financial statements	

Creditors, Accruals & Provisions At year end the Malek Spinning Mills PLC reported Creditors, Accruals & Provisions BDT. 1,323,995,459 of the Group, which consist of BDT 700,273,459 Salek Textile Limited, Newasia Synthetics Limited 215,087,844 & 492,101,042 JM Fabrics Limited.	• Evaluating the adequacy of disclosure to financial statements. • Verified Creditors, Accruals & Provisions in line with ledger, & appropriate supporting documents. • Reviewing audit working paper from component auditor.
Note no. 25,19.2, 8.3 & 19.4 to the consolidated financial statements	
Revenue Recognition At year end the Malek Spinning Mills PLC reported total sales revenue (net sales) of BDT 3,733,429,250 and the Group, as whole, reported total revenue of Tk. 22,211,799,555 in the company's financial statement. Revenue is recognized when the performance obligation is satisfied by transferring goods or services to a customer, either at a point in time or over time. Goods or services are "transferred" when the customer obtains control of it. It is a matter of consideration whether revenue may be misstated due to recognition of sales transaction before performance obligation being satisfied. This was an area of focus for our audit and significant audit effort to rectify the export income.	We tested the design and operating effectiveness of key control focusing on the following: • We have taken into consideration the complexity of the situation and gained an understanding of the company's disclosures of the volume of sales incurred during the period by obtaining sufficient audit work, audit evidence and resource is required. • Verified sales transactions for compliance with the Company accounting principles. • Evaluated the Company's work to implement IFRS 15 and assessed whether accounting principles comply with the new accounting standard. • In addition, we performed substantive analytical to understand how the revenue has trended over the year among other parameters, we performed a detailed testing on transactions around the year—end, ensuring revenues were recognised in the correct accounting period. • Tested the internal controls over financial reporting, we also assessed the existence and accuracy of the sales recorded, based among other things on inspection of sales contracts, final acceptances, and the allocation of variable consideration to the various elements in the contracts. • Obtain and confirm pro-forma invoice and other related documents and calculate sales balances. • Issuance of VAT Challan.
Note no.26 & 20.1 to the consolidated financial statements	

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, separate financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of the auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, the Companies Act 1994, the Securities and Exchange Rules 1987 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

In accordance with the Companies Act 1994 and the Securities and Exchange Rules 1987, we also report the following:

- i. we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- ii. in our opinion, proper books of account as required by law have been kept by the company so far as it appeared from our examination of these books;
- iii. the statement of financial position and statement of profit or loss and other comprehensive income dealt with by the report are in agreement with the books of account and returns; and
- iv. the expenditure incurred was for the purposes of the company's business.

Dated: Dhaka
October 28, 2024



Md. Iqbal Hossain FCA
Senior Partner, Enrolment No.0596
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants
DVC: 2410280596AS225724

MALEK SPINNING MILLS PLC.
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2024

Particulars	Notes	Amount in Taka	
		JUNE'24	JUNE'23
ASSETS :			
Non-Current Assets :			
Property, Plant and Equipment	4	11,277,615,015	10,468,925,269
Capital Work-in-Progress	5	1,177,716,396	287,958,040
		12,455,331,411	10,756,883,309
Current Assets :			
Inventories	6	6,626,265,782	5,922,483,361
Accounts Receivable	7	4,549,350,365	3,952,286,832
Fire Insurance Claimed Receivable	8	40,033,208	282,458,514
Advances, Deposits and Pre-payments	9	694,614,866	737,252,788
Non-current Asset held under disposal group	10	-	425,047,635
Other Receivable	11	459,482,147	-
Cash and Cash Equivalents	12	1,853,650,712	682,309,689
		14,223,397,080	12,001,838,819
TOTAL ASSETS :		26,678,728,491	22,758,722,128
SHAREHOLDER'S EQUITY AND LIABILITIES:			
Equity attributable to owners of the company			
Share Capital	13	1,936,000,000	1,936,000,000
Share Premium	14	1,500,000,000	1,500,000,000
Re-valuation Surplus	15	3,264,817,970	3,379,069,326
Retained Earnings	16	3,703,552,613	2,240,297,428
		10,404,370,583	9,055,366,754
Non Controlling Interest	17	50,656,221	47,721,116
Total Equity :		10,455,026,804	9,103,087,870
Non Current Liabilities:			
Long Term Loan	18	4,405,409,237	3,497,071,022
Deferred Tax Liabilities	19	543,386,431	531,150,923
		4,948,795,668	4,028,221,945
Current Liabilities :			
Short Term Loan	20	4,421,090,799	3,360,865,534
Current Portion of Long Term Loan	21	1,060,895,260	946,801,603
Loan from Director	22	40,000,000	-
Acceptance Liabilities	23	4,424,939,916	4,067,283,070
Unclaimed Dividend	24	3,984,585	4,016,172
Creditors, Accruals & Provisions	25	1,323,995,459	1,248,445,934
		11,274,906,019	9,627,412,313
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :		26,678,728,491	22,758,722,128
Net Assets Value Per Share (NAV)	39	53.74	46.77
Par Value Tk.10			

The annexed notes are integral part of these financial statement.

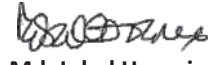
These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants
DVC: 2410280596AS225724

Dated : October 28, 2024
Place : Dhaka

MALEK SPINNING MILLS PLC.
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Notes	Amount in Taka	
		JUNE'24	JUNE'23
Sales	26	22,211,799,555	17,421,828,947
Cost of Goods Sold	27	(19,544,205,124)	(16,841,284,992)
Gross Profit :		2,667,594,432	580,543,955
Operating Expenses	28	(261,370,391)	(273,774,637)
Financial Expenses	29	(774,060,500)	(482,734,751)
Operating Profit/(Loss) :		1,632,163,540	(175,965,434)
Loss on Fire	30	(62,324,160)	-
Other Income/(Loss)	31	187,995,645	205,587,161
Net Operating Profit/(Loss) :		1,757,835,025	29,621,727
Contribution to WPPF	32	(25,733,754)	(3,206,756)
Profit/(Loss) before Tax :		1,732,101,271	26,414,971
Income Tax :		(299,696,720)	(254,282,024)
Current Tax	33	(225,091,433)	(207,534,657)
Prior year tax adjustment	33	(62,369,779)	(18,666,507)
Deferred Tax	34	(12,235,508)	(28,080,860)
Net Profit/(Loss) after tax		1,432,404,551	(227,867,053)
Other Comprehensive Income		-	-
Total Comprehensive Income		1,432,404,551	(227,867,053)
Profit attributable to:			
Owners of the company		1,429,469,446	(219,985,619)
Non-controlling interest	35	2,935,105	(7,881,434)
		1,432,404,551	(227,867,053)
Total comprehensive income attributable to:			
Owners of the company		1,429,469,446	(219,985,619)
Non-controlling interest	35	2,935,105	(7,881,434)
		1,432,404,551	(227,867,053)
Earnings Per Share (EPS)	36	7.38	(1.14)
Par Value Tk.10			
Number of Shares used to compute EPS		193,600,000	193,600,000

The annexed notes are integral part of these financial statement.

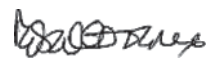
These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

MALEK SPINNING MILLS PLC.
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Tax holiday Reserve	Retained Earnings	Non Controlling Interest	Total
Balance as at 1st July 2023	1,936,000,000	1,500,000,000	3,379,069,326	-	2,240,297,428	47,721,116	9,103,087,870
Total Comprehensive Income					1,429,469,446	2,935,105	1,432,404,551
Transfer of excess depreciation of Revalued Assets			(33,788,739)		33,788,739		-
Adjustment of Revaluation Surplus of Fixed Assets			(80,462,617)				(80,462,617)
Dividend Income adjustment of Subsidiary Co.					(3,000)		(3,000)
As at 30th June 2024	1,936,000,000	1,500,000,000	3,264,817,970	-	3,703,552,613	50,656,221	10,455,026,804

FOR THE YEAR ENDED 30TH JUNE 2023

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Tax holiday Reserve	Retained Earnings	Non Controlling Interest	Total
Balance as at 1 st July 2022	1,936,000,000	1,500,000,000	3,421,680,601	210,883,871	2,400,387,901	55,602,550	9,524,554,923
Total Comprehensive Income					(219,985,619)	(7,881,434)	(227,867,053)
Transfer of excess depreciation of Revalued Assets			(42,611,274)		42,611,274		-
Tax Holiday Reserve				(210,883,871)	210,883,871		-
Declared Cash Dividend for 2021-2022 financial year					(193,600,000)		(193,600,000)
As at 30th June 2023	1,936,000,000	1,500,000,000	3,379,069,326	-	2,240,297,428	47,721,116	9,103,087,870

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

MALEK SPINNING MILLS PLC.
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Amount in Taka	
	JUNE'24	JUNE'23
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Bills Receivable	21,614,736,022	17,589,431,532
Other Income	190,537,883	216,445,206
Payment for Raw Materials, Indirect Materials and other expenses	(19,152,153,516)	(16,458,998,345)
Payment for other customer	(34,434,512)	-
Foreign currency exchange Gain/(Loss) realized	467,527	307,478
Payment to Employee against contribution to WPPF	(14,419,441)	-
Fire Insurance Claimed received on Raw Materials & Goods	180,101,147	4,681,424
Payment for Operating Expenses	(253,182,328)	(259,812,806)
Payment for Financial Expenses	(743,579,870)	(479,663,870)
Payment for Income Tax	(257,348,442)	(231,996,776)
Net Cash provided/(used) by Operating Activities	1,530,724,470	380,393,842
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(656,631,804)	(534,664,045)
Acquisition of Capital work in progress	(1,854,621,894)	(369,670,897)
Disposal of Fixed Assets	49,617,800	800,000
Fire Insurance Claimed received on Assets	-	100,962,628
Advance against Building & other construction	(19,926,189)	(11,671,249)
Net cash provided/(used) in Investing Activities	(2,481,562,087)	(814,243,562)
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	2,082,657,137	406,842,675
Loan from Directors	40,000,000	(25,500,000)
Dividend paid to Sponsor Directors from Subsidiary Co.	(3,000)	-
Dividend Paid to Shareholders	(7,569)	(192,184,705)
Dividend transferred to Capital Market Stabilization Fund	-	(1,766,587)
Interest Increased/(Decreased) in Dividend Account	(24,017)	6,606
Net cash provided/(used) in Financing Activities	2,122,622,550	187,397,989
Increase/(Decrease) in Cash and Cash Equivalents	1,171,784,934	(246,451,731)
Opening Cash & Cash Equivalents	682,309,689	939,878,150
Foreign Currency Bank deposit translation Gain/(Loss)	(443,911)	(11,116,730)
Closing Cash and Cash Equivalents	1,853,650,712	682,309,689
Net Operating Cash Flow Per Share (NOCFPS)	7.91	1.96
Par Value Tk.10		

The annexed notes are integral part of these financial statement.

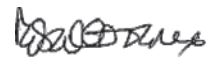
These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

MALEK SPINNING MILLS PLC.
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2024

1. COMPANY AND ITS ACTIVITIES:

Malek Spinning Mills PLC. was incorporated with RJSC vide registration no. C-19018 as a Private Limited Company on 2nd November, 1989 under Companies Act 1913. It was converted into Public Ltd. Company in the year 2008. The share of the company is denominated from Tk.100/- to Tk.10/- per share as on 14th September, 2008. Its subsidiary companies are Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited. Titas Spinning & Denim Company Ltd. one of the subsidiary company has been Merged and Amalgamated with another subsidiary company Salek Textile Ltd. as per order of the Hon'ble High Court Division of the Supreme Court of Bangladesh dated 05.03.2014 in the Company Matter No. 248 of 2013. All of the companies are incorporated with registrar of joint stock companies and firms, Dhaka, except J.M. Fabrics Limited which is registered with RJSC Chittagong, Bangladesh under Companies Act 1994. Registered office of the Companies are at 117/A, Tejgaon I/A, Dhaka-1208, while factories are situated at Shafipur, Kaliakoir, Bhawal Mirzapur, Gazipur & Mahna Bhabanipur, Gazipur respectively.

1.01. NATURE OF BUSINESS:

The Company has got the capacity of 63,624 spindles to spin high quality Cotton hosiery yarns by using modern machinery including state-of-the-art yarn testing laboratory. Annual production capacity of the company is 12,600,000 Kgs.

2. BASIS OF THE PREPARATION OF THESE FINANCIAL STATEMENTS:

2.01 Statement of compliance:

The financial statements of the company under reporting have been prepared under historical cost convention, except land, Building and Machinery which is stated at revalued amount, in a going concern concept and on accrual basis other than Cash Incentive Income which is recognized on cash basis in accordance with generally accepted accounting principles and practice in Bangladesh in compliance with the Companies Act 1994, The Securities and Exchange Rules 1987, Listing Regulations of Dhaka Stock Exchange Ltd (DSE) & Chittagong Stock Exchange Ltd. (CSE) and in compliance with International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB).

2.02 Compliance with International Accounting Standards:

The financial statements have been prepared in compliance with requirement of IAS as adopted by The Institute of Chartered Accountants of Bangladesh (ICAB) and applicable in Bangladesh.

2.03 Risk and Uncertainties for use of Estimates in Preparation of Financial Statements:

The preparation of financial statements in conformity with the international accounting standards requires management to make estimates and assumption that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of affecting financial statements and revenues and expenses during the reported year. Actual results could differ from those estimates. Estimates are used for accounting of certain items such as long-term contracts; depreciation and employees benefit plans, taxes, reserves and contingencies.

2.04 Accrual basis accounting

The financial statements, except cash flows statements, have been prepared using the accrual basis of accounting. Under this concept, the company recognises items as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements as per related accounting standard and framework.

2.05 Going concern

The financial statements have been prepared in assuming that the company is going concern and it has ability to continue as going concern for foreseeable future.

2.06 Principal Accounting Policies:

Specific accounting policies were selected and applied by the company's management for significant transactions and events that have a material effect within the framework of IAS-1 "Preparation of Financial Statement" and IAS-27 preparation separate financial statements and presentation of financial statements. The previous year's figures were presented according to the same accounting principles.

2.07 Basis of Consolidation:

The consolidated financial statements incorporate the financial statements of the company and entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other member of the group.

All intra group transaction, balances, income and expenses are eliminated in full on consolidation. Minority interests in the net assets of consolidated subsidiaries are identified separately from the group equity therein. The consolidated financial statements are prepared as per guidance of IFRS-10: Consolidated Financial Statements.

These consolidate financial statements have been prepared in consolidation with the audited accounts of the company

and the audited accounts of Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited for the year ended 30th June, 2024 according to the relevant IFRS or IAS.

2.08 Percentage of Holding on Subsidiary Company:

Name of Company	Total No. Shares	Total Holding	Percentage of Holding
Salek Textile Ltd.	48,260,870	47,259,700	97.925%
Newasia Synthetics Ltd.	6,600,000	6,553,338	99.293%
J.M. Fabrics Ltd.	4,000,000	3,999,900	99.998%

2.09 Application of International Accounting Standards (IAS):

The following IAS are applicable for the financial statements for the year under review

IAS – 1	Presentation of Financial Statement.
IAS – 2	Inventories.
IAS – 7	Statement of Cash Flows.
IAS – 8	Accounting Policies, Changes in Accounting Estimates and Errors.
IAS – 10	Events after the Balance Sheet Date.
IAS – 12	Income Tax.
IAS – 16	Property, Plant & Equipment.
IAS – 19	Employee Benefits.
IAS – 20	Accounting for Government Grants and Disclosure of Government Assistance.
IAS – 21	The effect of changes in Foreign Exchange rate.
IAS – 23	Borrowing Cost.
IAS – 24	Related Party Disclosure.
IAS – 27	Separate Financial Statements.
IAS – 33	Earnings per share.
IAS – 36	Impairment of Assets.
IAS – 37	Provisions, Contingent Liabilities and Contingent Assets.
IAS – 38	Intangible Assets.
IFRS –3	Business Combination.
IFRS –8	Operating Segments
IFRS –10	Consolidated Financial Statements.
IFRS –15	Revenue from Contracts with Customers
IFRS –16	Leases.

3. Significant accounting policies:

3.01 Recognition of Property, Plant & Equipment and Depreciation:

Property, Plant & Equipment are stated at cost less accumulated depreciation in accordance with IAS-16 “Property, Plant & Equipment”. Cost represents cost of acquisition or construction and include purchase price and other directly attributable cost of bringing the assets to working conditions for its intended use. Revaluation of Land, Building, Plant & Machineries were made by registered renowned Company Asian Surveyors Ltd. as on 30.06.2012. Depreciation on all fixed assets except J.M. Fabrics Limited is computed using the reducing balance method in amount sufficient to write-off depreciable assets over their estimated useful life. Depreciation on fixed assets of J.M. Fabrics Limited is computed using straight line method. Depreciation on Current year addition is charged as and when the assets are ready for operation.

The annual depreciation rates applicable to the principal categories are:

Building	3.37% - 5%
Plant & Machinery	5% - 10.85%
Generator	10% - 15%
Furniture & Fixture	10% - 20%
Motor Vehicles	10% - 20%
Office Equipment	15% - 20%
Electrical Installation	10% - 19.75%
Gas Line Installation	15%
Fire Installation	15%
Loose Tools	10% - 15%

3.02 Inventories:

Inventories comprise of Raw Materials, Raw Materials in Transit, Work-In-Process, Finished Goods and Stores and Spare Parts. They are stated in accordance with the Para of 21 & 25 of IAS-2 “Inventories”. Basis of valuation is as under:

- Raw Material in hand (imported) lower of cost and net realizable value (NRV).
- Raw Material in hand (local) lower cost (weighted average) and NRV.
- Raw Material in transit Cost incurred to date accumulated to balance sheet date of course cost incurred to date is less than or equal to fair value.

- d) Work-in-process lower of cost (weighted average) and NRV (market value less cost to finish).
- e) Finished Goods lower of cost and NRV.
- f) Waste NRV.

Cost in relation to work-in-process and finished goods represents annual average manufacturing cost which consists of prime cost and apportionate manufacturing overheads.

Net realizable value signifies the estimated selling price in the ordinary course of business less estimated cost of completion and estimated cost necessary to be incurred to affect such sale.

3.03 Accounts Receivable:

Accounts Receivable represents the amounts due from export sales both to local and foreign buyers. All transaction related to export sales is performed through letter of credit, they are secured and collectible. The credit party, under confirmed LC of sold goods is between 90 days to 120 days. Receivable are recognised, when goods are sold to customers and subsequently measured at amortise cost.

3.04 Cash and Cash Equivalents:

According to IAS-7 'Statement of Cash flows' cash comprises of cash-in-hand and demand deposits. IAS-1 'Presentation of Financial Statements' provides that cash and cash equivalents are not restricted in use. Considering the provisions of IAS-7 and IAS-1, Cash in hand and Bank balances have been considered as cash and cash equivalents.

3.05 Creditors and Accruals:

Liabilities are recognized under accrual basis accounting, amounts to be paid in the future for goods and services received. After final recognition the creditors and accruals are accounted for under amortised cost.

3.06 Income Tax:

a) Current Tax: The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported is the statement of Profit or Loss and other Comprehensive income because it excludes items of income or expenses that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted on date of Statement of Financial Position.

b) Deferred Tax: The Company has recognized deferred tax using balance sheet method in compliance with the provisions of IAS-12 "Income Taxes". The company's policy of recognition of deferred tax assets/liabilities is based on temporary difference (Taxable or deductible) between the carrying amount (Book Value) of assets and liabilities for Financial Reporting purpose and its tax base, and accordingly, deferred tax income/expenses has been considered to determine net profit after tax and earnings per share (EPS).

3.07 Statement of Cash Flows:

Statement of Cash Flows is prepared in accordance with IAS-7 under direct method as outlined in the "Securities and Exchange Rules 1987".

3.08 Contingent Liabilities and Assets:

Current or possible obligations or assets arising from past events and whose existence is due to the occurrence or non-occurrence of one or more uncertain events which are not within the control of the group.

3.09 Reporting Period:

Financial statements of the company cover from 1st July 2023 to 30th June 2024.

3.10 Reporting Currency and Level of Precision:

The figures in the financial statements represent Bangladesh Currency (Taka), which have been rounded off to the nearest Taka except where indicates otherwise.

3.11 Comparative Information:

Comparative information have been disclosed in respect of previous year 2022-2023 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current year 2023-2024 financial statements. Figures of the previous year have been rearranged whenever considered necessary to ensure comparability with the current year.

3.12 Foreign Currency Transaction:

Transactions in foreign currencies are translated into Bangladeshi taka in accordance with IAS-21 "The Effects of Changes in Foreign Exchange Rate." Foreign Currencies are converted into taka at the rates ruling on the transaction dates. Monetary assets and liabilities are converted at the rates prevailing at the balance sheet date, non-monitory assets and liabilities are reported using the exchange rate at the date of transaction. Exchange currency difference if any in the comprehensive income.

3.13 Revenue Recognition:

The Company recognizes revenue when risk and rewards associated with ownership has been transferred to buyer, which satisfied all the condition for the revenue recognition as provided in IFRS-15 'Revenue from Contracts with Customers.'

3.14 Accounting for Government Grants and Disclosure of Government Assistance:

Cash Incentive recognize as per IAS-20 as other income.

3.15 Responsibility for Preparation and Presentation of Financial Statements:

The Board of Directors is responsible for the preparation and presentation of Financial Statements under Section 183 of the Companies Act 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements' issued by the International Accounting Standards Board (IASB).

3.16 Components of the Financial Statements:

According to the International Accounting Standard IAS-1 'Presentation of Financial Statements' the complete set of Financial Statements includes the following components:

- (i) Statement of Financial Position as at 30th June 2024.
- (ii) Statement of Profit or Loss and other Comprehensive Income for the period from 1st July 2023 to 30th June 2024.
- (iii) Statement of Cash flows for the period from 1st July 2023 to 30th June 2024.
- (iv) Statement of changes in Equity for the period from 1st July 2023 to 30th June 2024.
- (v) Accounting Policies and Explanatory Notes.

3.17 Earnings per Share:

Earnings per share (EPS) is calculated in accordance with the International Accounting Standard IAS-33 "Earnings per share".

3.18 Basic Earnings per Share:

Basic Earnings per share is calculated by dividing the net profit or loss for the year attributable to ordinary shareholders by the number of ordinary shares outstanding during the year.

3.19 Share Premium:

The balance in share premium account shall be utilized in accordance with provisions of the Companies Act 1994 and as directed by the Bangladesh Securities and Exchange Commission in this respect.

3.20 Impairment of Assets:

The company reviews the recoverable amount of its assets at each reporting date. If there exist any indication that the carrying amount of assets exceeds the recoverable amount, the company recognizes such impairment loss in accordance with IAS-36 "Impairment of Assets".

3.21 Credit Facility Not Availed:

There was no credit facility available to the company under any contract, other than trade credit available in the ordinary course of business.

3.22 Segment Reporting:

As there is a single business and geographic segment within the company operates as such no segment reporting is felt necessary for Malek Spinning Mills PLC. But its subsidiaries Salek Textile Ltd. has geographic and product segment by Spinning and Fabrics unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8. The disclosure of segment reporting is also disclosed in financial of Salek Textile Ltd.

3.23 General Comments & Observations:

- a) Previous year's figures is regrouped/reclassified wherever considered necessary to confirm to current year's presentation. There has no such effect during year. Figures have been rounded off to the nearest taka, as the currency represented in this financial statement.
- b) All shares have been fully called and paid up.
- c) There was no preference share issued by the company.
- d) The company has not incurred any expenditure in foreign currency against royalties and technical fees.
- e) Auditors are paid only statutory audit fees.
- f) No foreign exchange remitted to the relevant shareholders during the year.
- g) No amount of money was expended by the company for compensating any members of the Board for special service rendered.
- h) No brokerage was paid against sales during the year.
- i) There was no bank guarantee issued by the company on behalf of directors.

3.24 Contribution to Worker's Profit Participation Fund:

The contribution for Worker's Profit Participation Fund is provided in the Accounts but approved while approving the Accounts in the Annual General Meeting and payable accordingly. The company is making provision of WPPF at the rate of 5% of company's operating profit as per the Labour Law Act-2006 (amendment 2013).

3.25 Effect of exchange rate changes on cash and cash equivalent:

We have shown the effect of currency Exchange Rate Changes separately in the Cash Flows Statement.

MALEK SPINNING MILLS PLC.
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Amount in Taka	
	JUNE'24	JUNE'23
4. CONSOLIDATED PROPERTY, PLANT AND EQUIPMENT:		
COST:		
Opening Balance	11,793,794,976	11,247,335,462
Addition during the year	1,428,447,220	548,301,514
	13,222,242,196	11,795,636,976
Sales/Adjustment during the year	320,088,090	1,842,000
Closing Balance	12,902,154,106	11,793,794,976
Accumulated Depreciation:		
Opening Balance	4,879,744,197	4,428,842,269
Depreciation during the year	440,563,918	451,895,134
Adjustments during the year	267,904,435	993,206
Closing Balance	5,052,403,679	4,879,744,197
Written Down Value at cost:	7,849,750,427	6,914,050,780
REVALUATION:		
Opening Balance	4,800,928,324	4,800,928,324
Adjustment during the year	224,263,180	-
Total Revaluated Assets:	4,576,665,144	4,800,928,324
Accumulated Depreciation:		
Opening Balance	1,246,053,834	1,188,372,222
Depreciation during the year	46,547,285	57,681,612
Closing Balance	1,148,800,556	1,246,053,834
Written Down Value of Revaluated Assets:	3,427,864,588	3,554,874,490
Total Written Down Value:	11,277,615,015	10,468,925,269
5. CONSOLIDATED CAPITAL WORK-IN-PROGRESS:	1,177,716,396	287,958,040
Opening Balance	287,958,040	132,668,837
Addition for the year	1,771,821,894	452,470,897
Less: Transferred to Assets Schedule	882,063,538	297,181,695
Closing Balance	1,177,716,396	287,958,040
6. CONSOLIDATED INVENTORIES :		
Raw Materials	2,844,202,434	2,378,098,379
Stock-in-Transit	910,672,781	962,541,046
Work-in-Process	660,444,674	879,995,439
Finished Goods	1,824,702,886	1,377,426,630
Stores & Accessories:	386,243,006	324,421,866
Total:	6,626,265,782	5,922,483,361
(i) The inventory counting was taken place at the year end in the presence of company management.		
(ii) Inventories are valued at lower of cost and net realizable value. Net realizable value is based on estimated selling price less any other cost anticipated to be incurred to make the sale. Any obsolete stock or abnormal losses, if any, are recognized as expenses.		
7. CONSOLIDATED ACCOUNTS RECEIVABLE :		
i) Malek Spinning Mills PLC.	1,084,188,548	1,160,557,789
ii) Salek Textile Limited	1,859,621,973	1,513,343,562
iii) J.M. Fabrics Limited	1,918,035,080	1,454,226,775
	4,861,845,600	4,128,128,126
Less: Inter Company Receivable	312,495,236	175,841,294
Total:	4,549,350,365	3,952,286,832
(i) A/C Receivable occurred in the ordinary course of business by selling of company's product. As per assessment of directors, the above receivable is considered as good & realizable within due course of business.		
(ii) The A/C Receivable are secured against confirmed Export L/C (Deferred period is 120 days).		
(iii) Aging of the Receivables:		
Invoiced at 90 days L.C tenor:	480,911,827	417,796,241
Invoiced at 120 days L.C tenor:	4,068,438,538	3,534,490,591
Invoiced at 121 - 180 days L.C tenor	-	-
Invoiced at 181 - 360 days L.C tenor	-	-
Invoiced at above 360 days L.C tenor	-	-
Total:	4,549,350,365	3,952,286,832
8. CONSOLIDATED FIRE INSURANCE CLAIMED RECEIVABLE:		
Fire Insurance claimed receivable (Raw Materials & Finish Goods)	36,623,313	277,346,120
Fire Insurance claimed receivable (Fixed Assets)	3,409,895	5,112,394
	40,033,208	282,458,514
9. CONSOLIDATED ADVANCE, DEPOSIT & PRE-PAYMENTS:		
Advance against materials suppliers & Others	185,461,699	270,437,093
Advance against Building & other construction	92,169,972	72,243,783

Security Deposit to REB
Security Deposit to Titas Gas T&D Co.
Advance against Income Tax (Note: 9-A)
Security Deposit to CDBL
Security deposit to Palli Bidyut Samity
Advance to M/S Maznu Traders(For Land purchase)
Advance to Techno Soil International
Advance to WASO Engineers & Consultants (BD) Ltd.
Security Deposit against LC margin/ Bank Guarantee
Advance to M/S MR Traders (Land purchase-Ashugonj)
Advance to Mr. Abdus Salam(Land)

178,875
44,409,610
365,267,953
500,000
3,000,000
73,073
170,500
1,100,000
1,283,185
1,000,000
-

178,875
31,276,376
339,835,403
500,000
3,000,000
73,073
-
1,100,000
1,308,185
17,300,000
-

Total:

694,614,866

737,252,788

9-A. CONSOLIDATED ADVANCE INCOME TAX:

Opening Balance
Advance Income Tax paid (Against Export Proceeds)
Advance Income Tax paid (Against Import)
Advance Income Tax paid (Against Interest Income)
Advance Income Tax paid (Against Cash Incentive)
Advance Income Tax paid (Against prior year Income)
Advance Income Tax paid (Against Vehicle)

339,835,403
203,070,282
2,001,846
173,275
18,936,030
8,332,610
835,000

343,023,188
184,728,588
653,905
437,812
21,559,455
23,810,490
806,527

Total AIT paid for the year:

257,348,442

231,996,776

Payment/Adjustment for prior year Income

231,915,892

235,184,562

Total:

365,267,953

339,835,403

- a) All the advances & deposits amount is considered good and recoverable within the ordinary course of business.
b) In the opinion of Directors, all current assets, investments, loans and advance have on realization in the ordinary course of business, a value at least equal to the amount at which they are stated in the Financial Position.

MATURITY ANALYSIS OF ADVANCES, DEPOSITS & PREPAYMENTS:

(i) Realizable/Adjustable within 1 year:

631,974,249
62,640,618

621,655,042
115,597,746

(ii) Realizable/Adjustable after 1 year:

694,614,866

737,252,788

Total:

10 NON-CURRENT ASSET UNDER DISPOSAL GROUP:

-

425,047,635

11 OTHER RECEIVABLE:

459,482,147

-

Disposal proceeds of RMG Unit
Receivable for Other Material transfer

425,047,635
34,434,512

-
-

12. CONSOLIDATED CASH AND CASH EQUIVALENTS:

Cash in Hand:

2,611,363

3,266,107

Cash at Banks :

AB Bank A/C: 4005-767482-430 (MSM)
Brac Bank A/C: 15051001762043001 (MSM)
Brac Bank A/C: 1501201762043001 (MSM)
Brac Bank- A/C: 101-762043002 (MSM)(Dividend)
Brac Bank A/C: 201-762-0430004 (MSM)
The City Bank - CD A/C: (JMFL)
The City Bank - A/C:1000241001079 (JMFL)
The City Bank - A/C:5121408289001 (JMFL)
Dhaka Bank A/C: 207.100.6276 (STL)
Dhaka Bank A/C: 0032 (STL)
Dhaka Bank A/C: 207.100.6643 (NSL)
Dhaka Bank A/C: 207-150000000806(MSM)
Dhaka Bank A/C: 207130000000013 (MSM)
Dutch Bangla Bank A/C:2271100012931 (MSM)
Dutch Bangla Bank A/C:2271100012947 (STL)
Dutch Bangla Bank CD A/C: (JMFL)
Eastern Bank A/C: 101-0100611 (MSM)
Eastern Bank A/C: 0311738 (STL)
Eastern Bank A/C: 01011060020990 (STL)
Eastern Bank A/C:1043100255781(STL)
Eastern Bank A/C: 4755, 0251, 0140(MSM)
Eastern Bank A/C: 101-1230000068 (MSM)
HSBC Bank- A/C:001-007475-012 (MSM)
HSBC Bank- A/C: 091 (STL)
HSBC Bank- A/C: 047 (STL)
HSBC Bank- A/C: 001-007475-091 (MSM)
Meghna Bank A/C: 0017(STL)
Meghna Bank A/C:1039(STL)
Meghna Bank A/C:0007(STL)
One Bank A/C: 0011020009261(MSM)
One Bank A/C:0010426091(MSM)
Pubali Bank A/C: 3311-901-12209 (STL)
Shahjalal Islami Bank A/C: 11100000252 8 (MSM)
Trust Bank A/C: 0003-0210006613 (MSM)
Trust Bank A/C: 5025000082(MSM)
Trust Bank A/C: 5025000028(STL)

-
40,178
1,969,729
1,426,703
37,897,802
1,129,666
189,749,613
102,895,212
-
1,666,206
13,010
588,209
26,673,709
189,739
66,955
1,244,962
12,672,034
36,504,000
572
2,428,246
1,204,331
62
23,205,767
-
2,533,255
3,832,900
764,114
40,308,357
37,458
-
38,969,982
4,414,040
-
10,460
2,844,702
83,638,925

257,642
41,256
1,948,155
1,481,295
1,259,069
3,618,884
144,359,791
15,770,613
3,304,533
556,072
291,165
586,777
19,731,744
99,545
211,269
120,617
169,543
904,368
1,780
5,045,453
1,206,312
62
5,000
71,108
189,648
4,710,779
84,504,645
101,151
36,706
887
4,301,162
-
8,868
25,054
172,928
31,423,120

Trust Bank A/C: 003-0320001302(STL)	10,598,775	11,454,693
Trust Bank A/C: 003-5101000526(STL)	1,514	20,924
Trust Bank A/C: 003-0210011330 (NSL)	28,158	529,448
Eastern Bank A/C:6405(JMFL)	183,767	184,574
Eastern Bank A/C:33013 (JMFL)	34	64
HSBC A/C:64055 (JMFL)	57,220	78,610
Prime Bank CD A/C (JMFL)	15,333,433	36,876
Prime Bank FC A/C (JMFL)	162,751,935	59,193,722
Prime Bank ERQ A/C (JMFL)	8,685,307	42,724,862
UCB- A/C:2881 (JMFL)	863,795,551	217,809,608
UCB- A/C: 3770 (JMFL)	1,997,165	18,580,790
UCB- A/C:0028 (JMFL)	163,924,631	1,912,411
Cash at Bank Total:	1,851,039,349	679,043,582
Total:	1,853,650,712	682,309,689
13. CONSOLIDATED SHARE CAPITAL:	1,936,000,000	1,936,000,000
It represents 19,36,00,000 ordinary shares of Tk.10 each.		
14. CONSOLIDATED SHARE PREMIUM:	1,500,000,000	1,500,000,000
It represents premium of 100,000,000 ordinary shares of Tk.15 each.		
15. CONSOLIDATED RE-VALUATION SURPLUS:		
Opening Balance	3,379,069,326	3,421,680,601
Less: Transfer to Retained Earnings of excess depreciation	33,788,739	42,611,274
Net Written Down Value:	3,264,817,970	3,379,069,326
Calculation of deferred tax adjusted balance which has been transferred from revaluation surplus to retained earnings and changes in equity:		
Depreciation of revalued asset	100% 39,687,342	
Deferred tax adjustment	12% & 15% 5,898,603	
Deferred tax adjusted balance of excess depreciation:	85.14% 33,788,739	
Company Tax Rate for Textile sector 15% and RMG sector 12%.		
16. CONSOLIDATED RETAINED EARNINGS:		
Opening Balance	2,240,297,428	2,400,387,901
Add: Net Profit/(Loss) during the year	1,429,469,446	(219,985,619)
	3,669,766,874	2,180,402,282
Add: Transfer of excess depreciation of revaluated assets	33,788,739	42,611,274
Add: Tax Holiday Reserve	-	210,883,871
Less: Declared Cash Dividend	-	193,600,000
Less: Dividend Income adjustment	3,000	-
Total:	3,703,552,613	2,240,297,428
17. NON CONTROLLING INTEREST:		
Non Controlling Interest details as follows:		
Paid-up Capital-		
(i) Salek Textile Ltd.	2.0745% 10,011,700	10,011,700
(ii) Newasia Synthetics Ltd.	0.7070% 4,666,200	4,666,200
(iii) J.M Fabrics Ltd.	0.0025% 10,000	10,000
Total:	- 14,687,900	14,687,900
Retained Earnings-		
(i) Salek Textile Ltd.	2.0745% 19,709,994	16,576,442
(ii) Newasia Synthetics Ltd.	0.7070% (219,939)	(202,704)
(iii) J.M Fabrics Ltd.	0.0025% 74,101	47,640
Total:	19,564,156	16,421,378
Revaluation Surplus-		
(i) Salek Textile Ltd.	2.0745% 6,915,333	7,122,966
(ii) Newasia Synthetics Ltd.	0.7070% 9,485,468	9,485,468
(iii) J.M Fabrics Ltd.	0.0025% 3,364	3,404
Total:	16,404,164	16,611,838
Total Non Controlling Interest:	50,656,221	47,721,116
This represents non controlling interest of Salek Textile Limited, Newasia Synthetics Limited, J.M. Fabrics Limited		
18. CONSOLIDATED LONG TERM LOAN:		
Eastern Bank PLC.	23,467,583	7,660,764
Dhaka Bank PLC.	900,351,733	405,078,640
Trust Bank PLC.	1,821,452,948	1,646,633,122
Meghna Bank PLC.	298,198,661	374,987,994
HSBC Limited	82,646,586	158,112,592
Brac Bank PLC.	464,077,087	29,869,195
One Bank PLC.	122,899,572	201,686,914
The City Bank PLC.	379,639,247	493,750,396
IDLC Finance PLC.	237,838,547	442,137,995
Prime Bank PLC.	920,846,625	352,884,003
United Commercial Bank PLC.	214,885,909	331,071,011
	5,466,304,497	4,443,872,625
Less: Current Portion of Long Term Loan Note: 21	1,060,895,260	946,801,603
Total Long Term Loan:	4,405,409,237	3,497,071,022

19. DEFERRED TAX LIABILITIES:

Opening Balance	531,150,923	503,070,063
Add: Provision for the year	12,235,508	28,080,860
Total:	543,386,431	531,150,923

Deferred Tax Calculation:

Particulars	Accounts Base (WDV)	Tax Base (WDV)	Temporary difference	Temporary difference
Written Down Value of Fixed Assets at cost	7,849,750,427	6,129,529,969	1,720,220,458	1,510,957,512
WDV of Revaluation Surplus of Fixed Assets	3,427,864,588	1,341,650,365	2,086,214,223	2,213,224,125
Total	11,277,615,015	7,471,180,334	3,806,434,681	3,724,181,636
Deferred tax rate			12% - 15%	12% - 15%
Closing Deferred Tax Liability			543,386,431	531,150,923

20. CONSOLIDATED SHORT TERM LOAN:**Import Loan & Working Capital:**

Dhaka Bank PLC.	366,789,884	439,731,946
Eastern Bank PLC.	39,295,637	-
HSBC Ltd.	-	219,500,000
Prime Bank PLC.	384,695,030	294,330,421
The City Bank PLC.	819,752,066	471,219,261
United Commercial Bank PLC.	1,255,846,070	701,408,705
Sub-total:	2,866,378,688	2,126,190,333

Bank Overdraft:

Eastern Bank PLC. A/C: 01012050000180, 011, 4789 (MSM)	46,441,311	54,798,165
Eastern Bank PLC. A/C: 01012040000780 (STL)	16,229,668	19,893,410
Dhaka Bank PLC. A/C: 207.175.23 (MSM)	29,712,899	16,731,673
Dhaka Bank PLC. A/C: 207100000006276 (STL)	3,070,274	-
Brac Bank PLC. A/C: 1501201762043002 (MSM)	51,303,994	38,724,704
Prime Bank PLC. (JM)	-	3,707,213
Pubali Bank PLC. (STL)	-	277,787
Trust Bank PLC. A/C: 0210009816 (STL)	-	19,192,324
Trust Bank PLC. A/C: 0136000171 (STL)	39,162,333	40,909,504
Meghna Bank PLC.(STL)	51,883,780	51,324,782
One Bank PLC. A/C: 16426 008 (MSM)	20,297,742	20,458,232
Trust Bank PLC. A/C:003- 0136000153 (MSM)	31,326,755	30,682,780
HSBC A/C : 001-007475-011(MSM)	18,943,100	16,715,328
HSBC A/C: 001-241389-011 (STL)	29,511,101	31,878,792
Sub-total:	337,882,956	345,294,694

Liability for Bill discount:

Dhaka Bank PLC.	52,857,739	27,417,096
Eastern Bank PLC.	866,362,081	546,673,303
HSBC Ltd.	20,639,738	76,124,263
Brac Bank PLC.	104,595,197	162,270,005
Trust Bank PLC.	172,374,400	76,895,840
Sub-total:	1,216,829,155	889,380,506
Total:	4,421,090,799	3,360,865,534

21. CONSOLIDATED CURRENT PORTION OF LONG TERM LOAN :

Eastern Bank PLC.	1,719,865	-
Dhaka Bank PLC.	152,240,338	39,121,379
Brac Bank PLC.	-	1,454,500
HSBC Ltd.	65,386,822	75,466,003
Meghna Bank PLC.	102,102,894	95,513,509
One Bank PLC.	91,277,916	95,058,172
Trust Bank PLC.	340,411,792	300,810,696
The City Bank PLC.	99,367,004	67,637,603
IDLC Finance PLC.	49,679,221	48,907,822
Prime Bank PLC.	135,877,606	92,001,477
United Commercial Bank PLC.	22,831,803	130,830,442
Total:	1,060,895,260	946,801,603

According to International Accounting Standard (IAS) 1 "Preparation of Financial Statements", Current portion of Long Term Loan that are due for settlement within twelve month after the balance sheet date are current liabilities, therefore, the above amount has been shown in current liabilities.

22. CONSOLIDATED LOAN FROM DIRECTOR:

40,000,000

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23. CONSOLIDATED ACCEPTANCE LIABILITIES:**Raw Materials:**

Eastern Bank PLC.	701,458,820	851,316,282
HSBC Ltd.	-	81,969,241
The City Bank PLC.	343,448,120	351,589,394
One Bank PLC.	448,457,958	350,390,547
Brac Bank PLC.	680,430,654	113,624,627

Meghna Bank PLC.	111,569,995	51,485,878
Trust Bank PLC.	421,192,241	375,057,859
Prime Bank PLC.	293,940,985	256,393,857
United Commercial Bank PLC.	1,209,790,293	1,063,301,016
Dhaka Bank PLC.	214,650,850	379,106,248
Sub-total:	4,424,939,916	3,874,234,949
Machinery:		
The City Bank PLC.	-	110,248,122
Sub-total:	-	110,248,122
Capital Work-in-progress	-	82,800,000
Total:	4,424,939,916	4,067,283,070
24. UNCLAIMED DIVIDEND WITH INTEREST:	3,984,585	4,016,172
Bankwise Details as follows:		
Brac Bank PLC. (Principal):	3,118,150	3,125,719
Brac Bank PLC. (Interest):	278,227	303,675
Dhaka Bank PLC. (Interest):	588,209	586,777
Total-	3,984,585	4,016,172
25. CONSOLIDATED CREDITORS, ACCRUALS & PROVISIONS:		
Gas Bill Payable	73,543,348	85,331,492
Electricity Bill Payable	90,401	2,075,825
Audit Fee Payable	647,450	520,950
Tax Deduction at Source	11,369,505	9,554,059
Vat Deduction at Source	4,159,297	3,811,061
Income Tax Payable (Note: 25-A)	341,707,903	286,162,583
Salary, Wages & Other Allowance Payable	213,433,009	216,850,580
Salary & Allowance Payable	6,514,060	9,209,353
P.F Contribution Payable- Fact.	2,409,706	2,254,834
P.F Contribution Payable- HO	374,772	253,694
Contribution to WPPF Payable	59,358,646	48,044,333
Payable for Goods Suppliers & Others	436,838,586	271,769,042
Payable for Waste Cotton Purchase	445,293,185	468,415,356
Interest accrued (Note: 25-B)	39,532,051	18,815,292
Refundable IPO Share money (NRB Accounts)	1,218,777	1,218,777
	1,636,490,696	1,424,287,231
Less: Inter Company Payable	312,495,236	175,841,294
Total:	1,323,995,459	1,248,445,934
25-A. CONSOLIDATED TAX PAYABLE:		
Opening Balance	286,162,583	295,145,981
Provision for the year (Current Tax): (Note: 33)	225,091,433	207,534,657
Prior year tax adjustment: (Note: 33)	62,369,779	18,666,507
	573,623,795	521,347,145
Payment for current year Income:	-	-
Payment/Adjustment for prior year balance:	231,915,892	235,184,562
Total Payment/Adjustment for last year Income:	231,915,892	235,184,562
Total Payable-	341,707,903	286,162,583
25-B. INTEREST ACCRUED:		
Dhaka Bank PLC.	14,889,117	660,009
Eastern Bank PLC.	501,680	1,915
Brac Bank PLC.	12,840,081	-
United Commercial Bank PLC.	-	3,294,532
One Bank PLC.	9,051,420	14,858,836
HSBC Ltd.	2,249,752	-
Total:	39,532,051	18,815,292
26. CONSOLIDATED SALES:	JUN'24	JUN'23
Export Sales	23,534,209,831	18,118,135,372
Less: Inter Co. Sales	1,322,410,276	696,306,425
Total:	22,211,799,555	17,421,828,947
27. CONSOLIDATED COST OF GOODS SOLD:		
Raw Material Consumed (Note: 27-A)	15,818,434,685	12,626,192,452
Direct Expenses (Note: 27-B)	3,049,908,052	2,575,692,889
Factory Overhead (Note: 27-C)	2,225,998,153	2,094,062,493
Total Manufacturing Cost	21,094,340,890	17,295,947,834
Add: Work-in-Process- Opening	879,995,439	956,024,040
Cost of Goods available for use	21,974,336,330	18,251,971,874
Less: Work-in-Process- Closing	660,444,674	879,995,439
Cost of Production	21,313,891,655	17,371,976,435
Add: Finished Goods- Opening	1,377,426,630	1,543,041,613
Cost of Goods Available for Sales	22,691,318,286	18,915,018,048
Less: Finished Goods- Closing	1,824,702,886	1,377,426,630
Less: Finished Goods Closing- Inter Company	1,322,410,276	696,306,425
Cost of Goods Sold:	19,544,205,124	16,841,284,992

27-A. CONSOLIDATED RAW MATERIALS CONSUMED:

Opening Inventory of Raw Materials
Add: Purchase of Raw Materials
Less: Closing Stock of Raw Materials
Total Raw Materials Consumption:

2,378,098,379	2,221,736,637
16,284,538,740	12,782,554,194
2,844,202,434	2,378,098,379
15,818,434,685	12,626,192,452

27-B. CONSOLIDATED DIRECT LABOUR:

3,049,908,052	2,575,692,889
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27-C. CONSOLIDATED FACTORY OVERHEAD:

Factory Salary and Allowances
Overtime Wages for Worker
Festival Bonus
Electricity Charges
Gas Charges
Gardening Expenses
Repairs & Maintenance
Compliance Expenses
Air Freight, Courier charges
Packing Materials
Fuel, Oil & Lubricant
Fire Insurance Premium
Group Insurance Premium
Stores & Accessories consumption
Entertainment
Telephone, Mobile & Fax
Stationery expenses
Other Carrying Charges
Loading & Unloading expense
Factory Office Expenses others
C&F and others expenses
Lab test & Inspection charges
Security Service charges
Vehicles Maintenance
Medical Expenses
Uniform & Leverage
Central Fund expenses for RMG sector
Miscellaneous
Conveyances
Accommodation Facility for worker
Depreciation
Total:

342,784,687	272,820,313
-	14,216,366
11,906,532	33,944,288
77,548,468	31,221,383
819,182,758	637,747,457
17,095	35,115
53,719,654	135,538,355
6,044,667	4,333,887
52,525	51,265
60,610,350	62,923,416
116,926,227	110,851,871
18,687,794	17,979,128
272,550	220,850
153,800,063	194,080,660
20,915,809	21,195,135
3,861,903	3,611,081
8,545,408	7,252,930
1,442,886	1,182,910
1,434,864	-
2,472,874	2,424,821
4,764,967	-
16,976,811	17,475,147
789,075	801,104
11,152,327	11,262,054
2,712,397	3,121,302
275,130	249,339
4,400,581	3,047,036
1,425,326	2,075,209
5,485,830	4,329,635
1,313,171	1,748,638
476,475,425	498,321,798
2,225,998,153	2,094,062,493

28. CONSOLIDATED OPERATING EXPENSES:

Salaries & Allowances
Festival Bonus
Director's Remuneration
Fees, Forms & Others
Audit Fees
Printing & Stationery
Professional Training expense
Telephone, Mobile & Internet Expenses
Postage, Stamp & Curier expenses
Vehicle Maintenance
Miscellaneous Expenses
Office Rent
Carriage Outward, Selling & Distribution, C&F, Sample expense
Travelling & Conveyance
Entertainments
Office Expenses
Advertisement/ Publicity Expenses
AGM Expenses
Marketing Expenses
Security Service Charges
Uniform & Leverage Security
VAT Expenses
Repairs & Maintenance
Medical Expenses
Subscription Expenses
Software Maintenance Expenditure
Credit Rating Charges
Depreciation
Total:

107,019,484	102,772,781
8,192,294	6,747,507
-	8,750,000
19,865,647	12,063,769
624,450	520,950
2,280,543	2,298,705
683,702	-
2,487,814	2,436,505
126,202	311,439
17,324,373	14,987,930
11,459,501	29,326,435
34,799,640	34,838,069
13,542,600	14,991,097
2,938,321	3,056,244
2,116,529	2,808,836
945,363	513,408
436,993	520,365
793,150	617,526
10,760,632	10,436,079
16,000	12,400
34,900	33,893
-	1,909,000
12,660,694	10,686,959
-	23,551
450,824	1,277,596
1,067,457	431,145
107,500	147,500
10,635,778	11,254,948
261,370,391	273,774,637

29. CONSOLIDATED FINANCIAL EXPENSES :**EASTERN BANK PLC.:**

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount
Total:

2,457,634	-
1,386,201	231,156
6,478,051	4,648,130
1,726,693	2,776,868
4,043,365	4,093,038
41,012,531	32,157,589
57,104,476	43,906,780

HSBC LTD.:

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount

Total:

13,806,179
15,361,098
2,959,756
1,117,399
508,678
2,287,094
36,040,204

11,061,104
20,020,906
2,424,380
1,607,771
936,930
1,218,614
37,269,705

DHAKA BANK PLC. :

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount

Total:

98,972,525
42,234,751
1,846,725
1,424,661
1,578,889
5,106,522
151,164,072

8,454,307
19,461,149
2,072,085
902,357
1,785,360
10,833,358
43,508,616

MEGHNA BANK PLC.:

Interest on Short Term Loan
Interest on Long Term Loan
Bank Charges and Commission
Export L/C Negotiation Commission
Interest on Overdraft
Interest on Bill Discount

Total-

-
30,014,995
264,197
694,823
6,565,667
974,930
38,514,612

1,557,179
31,607,554
650,585
797,980
5,065,782
798,003
40,477,082

ONE BANK PLC. :

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission

Total:

1,734,903
-
2,316,700
2,783,570
487,986
7,323,159

6,887,462
270,974
1,020,720
2,212,505
203,145
10,594,806

TRUST BANK PLC. :

Interest on Long Term Loan
Interest on Short Term Loan
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Overdraft
Interest on Bill Discount

Total:

207,133,838
-
1,525,995
6,213,051
7,557,788
12,678,125
235,108,797

140,976,181
81,137
1,787,147
4,612,555
5,856,407
9,464,592
162,778,019

SHAHJALAL ISLAMI BANK PLC. :

Bank Charges & Commission

Total:

8,868
8,868

-
-

ISLAMI BANK BANGLADESH PLC.:

Bank Charges & Commission

Total:

-
-

7,265
7,265

DUTCH BANGLA BANK PLC. :

Interest on Short Term Loan
Bank Charges & Commission

Total:

-
71,360
71,360

5,316,771
121,792
5,438,563

AB BANK PLC :

Bank Charges & Commission

Total:

257,642
257,642

690
690

BRAC BANK PLC. :

Interest on Long Term Loan
Interest on Overdraft
Interest on Bill Discount
Export Bill Negotiation Commission
Bank Charges and Commission

Total:

36,950,033
4,020,971
8,103,568
4,388,208
1,651,702
55,114,482

21,716
1,176,818
862,494
289,917
205,574
2,556,518

THE CITY BANK PLC. :

Bank Charges and Commission
Interest on Long Term Loan
Interest on Short Term Loan

Total:

6,944,079
22,904,428
9,521,865
39,370,372

8,745,064
26,580,312
11,445,189
46,770,565

PUBALI BANK PLC. :

Bank Charges & Commission

Total:

57,228
57,228

18,750
18,750

IDLC FINANCE PLC. :		
Bank Charges and Commission	991,381	212,000
Interest on Long Term Loan	52,770,014	5,081,310
Total:	53,761,395	5,293,310
PRIME BANK PLC.		
Interest on Long Term Loan	48,522,106	21,884,609
Interest on Short Term Loan	8,133,460	10,184,894
Bank Charges and Commission	1,919,651	1,498,104
Total:	58,575,217	33,567,607
UCBPLC. :		
Interest on Short Term Loan	16,529,808	21,193,212
Interest on Term Loan	23,594,695	27,788,249
Bank Charges & Commission	1,464,113	1,565,014
Total:	41,588,616	50,546,475
Financial expenses:	774,060,500	482,734,751
30. LOSS ON FIRE:		
Loss on Fire of Fixed Assets (Note-30.A)	(1,702,499)	-
Loss on Fire of Goods (Note-30.B)	(60,621,661)	-
	(62,324,160)	-
30(A). LOSS ON FIRE OF FIXED ASSETS:		
Fire Insurance claimed ensured by Insurance Co.	3,409,895	-
Written down value	5,112,394	-
Loss on fire of Fixed Assets	(1,702,499)	-
30(B). LOSS ON FIRE OF GOODS:		
Fire Insurance claimed ensured by Insurance Co.	96,673,129	-
Salvage Recovery Value	120,051,330	-
	216,724,459	-
Goods destroyed by fire	277,346,120	-
Loss on fire of Goods	(60,621,661)	-
31. OTHER INCOME/(LOSS) AND UN-REALISED GAIN/(LOSS):		
CASH INCENTIVE:	189,360,300	214,402,452
OTHER INCOME/(LOSS) AND UN-REALISED GAIN/(LOSS):		
Interest Income from STD A/C with AB Bank	-	1,172
Interest Income from STD A/C with BRAC Bank	103	105
Interest Income from STD A/C with Eastern Bank	1	4
Interest Received from FDR A/C-Islami Bank	-	19,746
Interest Received from CD A/C-Meghna Bank	-	1,704
Interest Received from FDR A/C-Meghna Bank	-	937,339
Interest Received from SND A/C, Trust Bank	340,285	436,297
Interest Received from SND A/C, UCB	237,195	646,388
	577,583	2,042,754
Income from Agriculture	600,000	-
Dividend Income from J.M. Fabrics Ltd.	119,997,000	-
Less: Inter Group Dividend Income	(119,997,000)	-
	600,000	-
Foreign currency exchange Gain/(Loss) against export realization	467,527	307,478
Foreign Currency Bank deposit translation Gain/(Loss)	(443,911)	(11,116,730)
Gain/(Loss) on Sale or Discontinuation of Assets	(2,565,855)	(48,794)
	(2,542,238)	(10,858,046)
Other Income/(Loss):	(1,364,655)	(8,815,291)
Total Other Income/(Loss) and Un-realised Gain/(Loss):	187,995,645	205,587,161
32. CONSOLIDATED WORKER'S PROFIT PARTICIPATION FUND:		
Provision for Contribution to WPPF(MSMPPLC.)	13,688,551	-
Provision for Contribution to WPPF(STL)	12,045,202	3,206,756
Total:	25,733,754	3,206,756
33. CONSOLIDATED CURRENT & PRIOR YEAR TAX EXPENSES:		
On Operating Income:		
Malek Spinning Mills PLC.	26,800,247	41,346,049
Salek Textile Ltd.	29,730,809	40,149,778
J.M Fabrics Ltd.	147,187,070	103,232,760
Sub-total:	203,718,126	184,728,587
On Cash Incentive:		
Salek Textile Ltd.	5,879,360	7,773,195
J.M Fabrics Ltd.	13,056,670	13,786,260
Sub-total:	18,936,030	21,559,455

On Other Income:

Malek Spinning Mills PLC.
Salek Textile Ltd.
Newasia Synthetics Ltd.
J.M Fabrics Ltd.

Sub-total:**Total Current Tax:**

Prior year tax adjustment

Grand Total:

-	177,965
74,273	125,880
150,000	-
2,213,004	942,769
2,437,277	1,246,615
225,091,433	207,534,657
62,369,779	18,666,507
287,461,212	226,201,164

34. CONSOLIDATED DEFERRED TAX:

Malek Spinning Mills PLC.
Salek Textile Limited
J.M Fabrics Limited

Total:

1,685,627	(6,240,555)
10,140,085	15,362,258
409,796	18,959,157
12,235,508	28,080,860

35. NON CONTROLLING INTEREST:**On Net Profit/(Loss) after tax:**

Salek Textile Limited 2.0745%
Newasia Synthetics Limited 0.7070%
J.M. Fabrics Limited 0.0025%

Total:

2,925,919	(7,871,929)
(17,235)	(25,876)
26,421	16,371
2,935,105	(7,881,434)

36. CONSOLIDATED BASIC EARNINGS PER SHARE (EPS):

(a) Consolidated Net Profit/(Loss) after tax

(b) Less: Non Controlling Interest

Consolidated Net Profit/(Loss): (a-b)

(c) Number of total share

Basic Earnings per Share (EPS): [(a-b)/c]

1,432,404,551	(227,867,053)
2,935,105	(7,881,434)
1,429,469,446	(219,985,619)
193,600,000	193,600,000
7.38	(1.14)

37. CASH FLOW FROM OPERATING ACTIVITIES ON INDIRECT METHOD:

PARTICULARS	JUN'24	JUN'23
Operating Profit/(Loss)	1,632,163,540	(175,965,434)
Depreciation	487,111,203	509,576,747
Other Income/(Loss)	190,537,883	216,445,206
Foreign currency exchange Gain/(Loss)	467,527	307,478
Accounts Receivable (Increase)/Decrease	(597,063,533)	167,602,585
Other Receivable (Increase)/Decrease	(34,434,512)	-
Inventories (Increase)/Decrease	(703,782,420)	(355,460,460)
Advance, Deposit & Prepaid expenses (Increase)/Decrease	87,996,661	3,186,264
Accounts Payable Increase/(Decrease)	559,394,859	242,016,809
Payment to Employee against contribution to WPPF	(14,419,441)	-
Fire Insurance Claimed received on Raw Material & Finish Goods	180,101,147	4,681,424
Payment for Income Tax	(257,348,442)	(231,996,776)
Net Cash provided/(used) by Operating Activities	1,530,724,470	380,393,842

38. NET OPERATING CASH FLOW PER SHARE (NOCFPS):**Calculation of Net Operating Cash Flow per Share (NOCFPS):**

	JUN'24	JUN'23
NOCFPS		
a) Net Cash provided/(used) by Operating Activities	1,530,724,470	380,393,842
b) Number of total Shares	193,600,000	193,600,000
Net Operating Cash Flow Per Share (NOCFPS) { a/b }	7.91	1.96

Net Operating Cash Flow per Share significantly Increased due to as follows:

- a) Collection against turnover are increased Tk. 4,025.30 million for the financial year 2023-2024 compared to the last financial year 2022-2023 and other income decreased Tk. 25.91 million for the financial year 2023-2024 compared to the last financial year 2022-2023.
- b) Payment to Material suppliers and other supplier is increased Tk. 2,693.15 million, payment for operating expenses decreased Tk. 6.63 million, payment for financial expenses increased Tk. 263.91 million, payment for income tax increased Tk. 25.35 million for the financial year 2023-2024 compared to the last financial year 2022-2023.

CASH FLOW FROM OPERATING ACTIVITIES :	JUN'24	JUN'23	DEFERENCE
Collection from Turnover & Bills Receivable	21,614,736,022	17,589,431,532	4,025,304,490
Other Income	190,537,883	216,445,206	(25,907,323)
Payment for Raw Materials, Indirect Materials and other expenses	(19,152,153,516)	(16,458,998,345)	(2,693,155,170)
Other Receivable (Increase)/Decrease	(34,434,512)	-	(34,434,512)
Foreign currency exchange Gain/(Loss) realized	467,527	307,478	160,049
Payment to Employee against contribution to WPPF	(14,419,441)	-	(14,419,441)
Fire Insurance Claimed received on Raw Material & Finish Goods	180,101,147	4,681,424	175,419,723
Payment for Operating Expenses	(253,182,328)	(259,812,806)	6,630,478
Payment for Financial Expenses	(743,579,870)	(479,663,870)	(263,915,999)
Payment for Income Tax	(257,348,442)	(231,996,776)	(25,351,666)
Net Cash provided by Operating Activities	1,530,724,470	380,393,842	1,150,330,628

MALEK SPINNING MILLS PLC.
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars		Amount in Taka	
		JUNE'24	JUNE'23
39. NET ASSET VALUE (NAV) PER SHARE:			
NAV	a) Equity attributable to owners of the company	10,404,370,583	9,055,366,754
calculation	b) Number of total Shares	193,600,000	193,600,000
Net Assets Value Per Share (NAV) { a/b }		53.74	46.77

40. RELATED PARTY DISCLOSURE:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of transactions with related parties and balances with them as at 30th June 2024 were as follows:

Related Party	Nature of Relationship	Nature of Transaction	Transaction during this period		Balance as at 30.06.2024	Balance as at 30.06.2023
			Dr. (Sales or Advance)	Cr. (Realised)		
Knit Asia Limited	Common Director	Sales	573,959,786	575,810,960	3,438,698	5,289,872
Salek Textile Limited	Subsidiary	Sales	111,535,292	55,179,373	106,843,877	50,487,958
J.M. Fabrics Limited	Subsidiary	Sales	1,210,874,983	1,130,576,961	205,651,358	125,353,336
New Asia Limited	Common Director	Service charge	1,569,046	1,367,797	(295,292)	(496,541)
Hejaz Publication Ltd.	Common Director	Office Rent	10,606,260	10,606,260	-	-
Saima Matin Chowdhury	Director	Land acquisition			-	-

41. KEY MANAGEMENT PERSONNEL COMPENSATION:

Company has established following personnel compensation to the employee:

a) Short-term employee benefits: Company provide the following short-term benefit.

Particulars	2023-2024		2022-2023	
	Directors	Executives	Directors	Executives
Remuneration/ Salary	-	12,466,432	1,400,000	12,644,061
i) Basic	-	6,503,901	840,000	6,629,788
ii) House Rent	-	3,251,951	420,000	1,988,936
iii) Conveyance	-	976,154	64,000	120,000
iv) Medical Allowance	-	650,390	76,000	662,979
v) Incentive Bonus	-	-	-	1,647,944
vi) Festival Bonus	-	1,084,036	-	1,594,414
Number of Person:	1	4	1	4

b) Post-employment benefits: Company provide contributory Provident fund and Worker's Profit Participation Fund to the employee.

c) Other long-term benefits: Company provide Gratuity Benefit to the employee under which an employee is entitle to the benefit depending on length of service. The cost for Gratuity is accounted on cash basis.

d) Share-based payment: Company does not provide any share-based payment facilities to the employee.

42. DISCUSSION ON SIGNIFICANT DEVIATION OF COST OF GOODS SOLD, EXPORT, GROSS PROFIT MARGIN, NET PROFIT MARGIN AND EARNINGS PER SHARE (EPS):

(a) Cost of Goods Sold: The cost of goods sold was 87.99% on sales during the financial year 2023-2024 compared to 96.67% for the financial year 2022-2023 on sales, a significant decreased of COGS 8.68% this financial period was due to decreased of Raw Materials price for this financial year compared to the financial year 2022-2023.

(b) Export or Turnover: The company had achieved an export turnover of Tk.22,211.79 million during the financial year 2023-2024. Last financial year 2022-2023 turnover was Tk.17,421.82 million. The turnover had increased by 27.49% this financial year compared to last year financial year 2022-2023 due to increase of Sales quantity in this financial year.

(c) Gross Profit: Gross Profit earned during the financial year 2023-2024 by 12.01% on sales as compared to 3.33% during the financial year 2022-2023. It was increased by 8.68% on sales due to cost of goods sold percentage on sales was decreased this financial year 2023-2024 compared to the last year financial year 2022-2023.

(d) Net Profit/(Loss): The company had earned a Net Profit of Tk. 1,432.40 million during the financial year 2023-2024 compared to the last financial year 2022-2023 Net Loss of Tk. 227.86 million. The Net Profit was increased this financial year compared to the last financial year due to mainly increase of Gross Profit.

(e) Earnings Per Share (EPS): EPS is significantly increased from Tk. (1.14) to Tk. 7.38 during the financial year 2023-2024 compared to the financial year 2022-2023 due to achievement of net profit Tk. 1,432.40 million as against net loss of Tk. 227.86 million of previous financial year.

(f) Net Assets Value per Share (NAV): Net Assets Value (NAV) per Share has increased this financial year compare to the previous year due to increase of Retained Earnings.

43. INVESTMENT IN SUBSIDIARY COMPANY:

Salek Textile Limited (3,900,100 Shares @Tk.100 and 825,870 Share of Tk.460 each including Premium Tk.360)
Newasia Synthetics Limited (6,553,338 Shares of Tk.100/- each)
J.M. Fabrics Limited (3,999,900 Shares of Tk.100/- each)

Total:

JUN'24	JUN'23
769,910,000	769,910,000
655,333,800	655,333,800
399,990,000	399,990,000
1,825,233,800	1,825,233,800

Share holding position in Subsidiary Company 97.926% of Salek Textile Ltd., 99.293% of Newasia Synthetics Ltd. & 99.998% of J.M Fabrics Ltd.

MALEK SPINNING MILLS PLC.
CONSOLIDATED FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2024

ANNEXURE: 1

SL	PARTICULARS	COST				RATE	DEPRECIATION				WRITTEN DOWN
		As at 01.07.2023	Addition	Adjustment	As at 30.06.2024		As at 01.07.2023	This Year	Adjustment	As at 30.06.2024	VALUE AS AT 30.06.2024
A. Malek Spinning Mills PLC., Salek Textile, Newasia Synthetics Ltd. & JM Fabrics Ltd.											
1	Land and Land Development	1,891,158,225	95,513,750	-	1,986,671,975	0%	-	-	-	-	1,986,671,975
2	Factory Building	1,804,150,506	103,653,679	-	1,907,804,185	3.37%-5%	662,758,554	49,091,683	-	711,850,237	1,195,953,948
3	Plant and Machinery	7,090,190,261	944,452,615	214,250,898	7,820,391,978	5%-10.85%	3,526,866,827	339,554,370	174,323,142	3,692,098,055	4,128,293,923
4	Equipment/Electrical Installation	411,756,545	15,151,661	-	426,908,206	10%-19.75%	290,802,615	24,867,769	-	315,670,384	111,237,822
5	Tubewell and Water Pump	11,943,308	1,080,000	-	13,023,308	15%	9,505,520	446,668	-	9,952,188	3,071,120
6	Furniture and Fixtures	100,100,263	4,321,300	-	104,421,563	10%-20%	43,460,694	7,529,238	-	50,989,931	53,431,632
7	Office Equipments	52,962,869	3,540,786	-	56,503,655	15%-20%	27,214,754	4,082,454	-	31,297,208	25,206,447
8	Gas Line Installation	64,522,282	-	-	64,522,282	15%	42,623,100	3,284,877	-	45,907,977	18,614,304
9	Loose Tools and Equipment	26,836,363	-	-	26,836,363	10%-15%	15,639,401	1,679,544	-	17,318,945	9,517,417
10	Motor Vehicle	112,611,166	9,472,850	3,440,000	118,644,016	10%-20%	66,915,585	6,389,647	2,169,798	71,135,433	47,508,583
11	Telephone (PABX) Installation	801,975	11,500	-	813,475	15%	715,861	14,211	-	730,072	83,403
12	Crockaries and Cutlaries	50,777	-	-	50,777	15%	48,498	342	-	48,840	1,937
13	Generator	221,474,179	220,887,002	102,397,192	339,963,989	10%-15%	192,951,042	2,297,469	91,411,496	103,837,015	236,126,974
14	Fire Control Equipment Installation	5,236,258	30,362,077	-	35,598,335	15%	241,746	1,325,647	-	1,567,393	34,030,942
	Total (A) as at 30.06.2024	11,793,794,976	1,428,447,220	320,088,090	12,902,154,106		4,879,744,197	440,563,918	267,904,435	5,052,403,679	7,849,750,427
	Total (A) as at 30.06.2023	11,247,335,462	548,301,514	1,842,000	11,793,794,976		4,428,842,269	451,895,134	993,206	4,879,744,197	6,914,050,780

CONSOLIDATED REVALUATED ASSETS SCHEDULE AS AT 30TH JUNE 2024

SL	PARTICULARS	RE-VALUED COST				RATE	DEPRECIATION				WRITTEN DOWN
		As at 01.07.2023	Addition	Adjustment	As at 30.06.2024		As at 01.07.2023	This Period	Adjustment	As at 30.06.2024	VALUE AS AT 30.06.2024
B. Malek Spinning Mills PLC., Salek Textile, Newasia Synthetics Ltd. & JM Fabrics Ltd.											
1	Land and Land Development	2,859,354,760	-	-	2,859,354,760	0%	-	-	-	-	2,859,354,760
2	Factory Building	348,907,426	-	-	348,907,426	3.37%-5%	165,549,962	9,181,064	-	174,731,026	174,176,400
3	Machinery	1,448,114,243	-	134,567,842	1,313,546,401	7.5%-10%	972,799,845	35,805,418	77,485,689	931,119,574	382,426,827
4	Generator	144,551,895	-	89,695,338	54,856,557	10%-15%	107,704,027	1,560,803	66,314,874	42,949,955	11,906,602
	Total (B) as at 30.06.2024	4,800,928,324	-	224,263,180	4,576,665,144	-	1,246,053,834	46,547,285	143,800,563	1,148,800,556	3,427,864,588
	Total (B) as at 30.06.2023	4,800,928,324	-	-	4,800,928,324	-	1,188,372,222	57,681,612	-	1,246,053,834	3,554,874,490
	Total (A+B) as at 30.06.2024	16,594,723,300	1,428,447,220	544,351,270	17,478,819,250		6,125,798,031	487,111,203	411,704,999	6,201,204,235	11,277,615,015
	Total (A+B) as at 30.06.2023	16,048,263,786	548,301,514	1,842,000	16,594,723,300		5,617,214,490	509,576,747	993,206	6,125,798,031	10,468,925,269

Depreciation Charges to:

Factory Overhead:	476,475,425
Operating Expenses:	10,635,778
Tk.	487,111,203

MALEK SPINNING MILLS PLC.
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2024

Particulars	Notes	Amount in Taka	
		JUNE'24	JUNE'23
ASSETS :			
Non-Current Assets:			
Property, Plant and Equipment	1.1	2,875,262,009	2,158,803,410
Capital Work-in-Progress	2.1	-	118,884,029
Investment in Subsidiary Company	3.1	1,825,233,800	1,825,233,800
		4,700,495,809	4,102,921,239
Current Assets :			
Inventories	4.1	3,447,143,454	2,169,776,435
Accounts Receivable	5.1	1,084,188,548	1,160,557,789
Fire Insurance Claimed Receivable	6.1	40,033,208	282,458,514
Advances, Deposits and Pre-payments	7.1	249,177,470	163,172,766
Cash and Cash Equivalents	8.1	151,605,384	36,029,886
		4,972,148,064	3,811,995,390
TOTAL ASSETS :		9,672,643,873	7,914,916,629
SHAREHOLDER'S EQUITY AND LIABILITIES :			
Shareholder's Equity :			
Share Capital	9.1	1,936,000,000	1,936,000,000
Share Premium	10.1	1,500,000,000	1,500,000,000
Re-valuation Surplus	11.1	1,008,524,873	1,111,168,717
Retained Earnings	12.1	143,372,898	(91,761,471)
		4,587,897,771	4,455,407,246
Non-Current Liabilities:			
Long Term Loan	13.1	1,437,292,548	892,941,026
Deferred Tax Liabilities	14.1	257,564,100	255,878,473
		1,694,856,648	1,148,819,499
Current Liabilities :			
Short Term Loan	15.1	943,248,293	654,980,795
Current Portion of Long Term Loan	16.1	293,788,691	143,693,723
Acceptance Liabilities	17.1	1,704,340,135	1,337,353,714
Unclaimed Dividend with Interest	18.1	3,984,585	4,016,172
Creditors, Accruals & Provisions	19.1	444,527,750	170,645,480
		3,389,889,454	2,310,689,884
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :		9,672,643,873	7,914,916,629
Net Assets Value Per Share (NAV)	30.1	23.70	23.01
Par Value Tk.10			

The annexed notes are integral part of these financial statement.

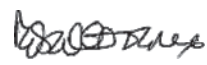
These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

Dated : October 28, 2024
Place : Dhaka

DVC: 2410280596AS225724

MALEK SPINNING MILLS PLC.
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2024

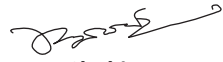
Particulars	Notes	Amount in Taka	
		JUNE'24	JUNE'23
Sales	20.1	3,733,429,250	3,845,154,105
Cost of Goods Sold	21.1	(3,122,584,835)	(4,118,604,462)
Gross Profit/(Loss) :		610,844,415	(273,450,357)
Operating Expenses	22.1	(124,894,954)	(117,205,762)
Financial Expenses	23.1	(253,071,709)	(62,215,820)
Operating Profit/(Loss) :		232,877,752	(452,871,938)
Loss on Fire	24.1	(62,324,160)	-
Other Income/(Loss)	25.1	116,905,985	(10,392,237)
Net Operating Profit/(Loss) :		287,459,577	(463,264,175)
Contribution to WPPF	26.1	(13,688,551)	-
Profit/(Loss) before Tax :		273,771,025	(463,264,175)
Income Tax :		(60,817,884)	(36,313,013)
Current Tax	27.1	(50,799,647)	(41,524,014)
Prior year tax adjustment	27.1	(8,332,610)	(1,029,554)
Deferred Tax	28.1	(1,685,627)	6,240,555
Net Profit/(Loss) after Tax		212,953,141	(499,577,188)
Other Comprehensive Income		-	-
Total Comprehensive Income		212,953,141	(499,577,188)
Earnings Per Share (EPS)	29.1	1.10	(2.58)
Par Value Tk.10			
Number of Shares used to compute EPS		193,600,000	193,600,000

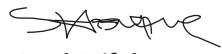
The annexed notes are integral part of these financial statement.

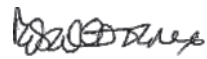
These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

MALEK SPINNING MILLS PLC.
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2023	1,936,000,000	1,500,000,000	1,111,168,717	(91,761,471)	4,455,407,246
Net Profit/(Loss) during the year				212,953,141	212,953,141
Adjustment of Revaluation Surplus of Fixed Assets			(80,462,617)		(80,462,617)
Transfer of excess depreciation of Revalued Assets			(22,181,228)	22,181,228	-
As at 30th June 2024	1,936,000,000	1,500,000,000	1,008,524,873	143,372,898	4,587,897,771

FOR THE YEAR ENDED 30TH JUNE 2023

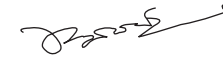
Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2022	1,936,000,000	1,500,000,000	1,141,181,944	571,402,491	5,148,584,435
Net Profit/(Loss) during the year				(499,577,188)	(499,577,188)
Transfer of excess depreciation of Revalued Assets			(30,013,226)	30,013,226	-
Declared Cash Dividend for 2021-2022 financial year				(193,600,000)	(193,600,000)
As at 30th June 2023	1,936,000,000	1,500,000,000	1,111,168,717	(91,761,471)	4,455,407,246

The annexed notes are integral part of these financial statement.

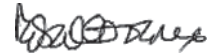
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A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

MALEK SPINNING MILLS PLC.
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2024

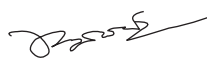
PARTICULARS	Amount in Taka	
	JUNE'24	JUNE'23
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Accounts Receivable	3,809,798,492	4,006,815,167
Payment for Raw Materials, Indirect Materials and other expenses	(3,697,413,977)	(4,587,417,971)
Other Income	103	938,620
Payment to Employee against contribution to WPPF	(8,463,544)	-
Fire Insurance Claimed received on Raw Material & Finish Goods	180,101,147	-
Payment for Operating Expenses	(121,075,188)	(112,377,008)
Payment for Financial Expenses	(240,231,627)	(62,215,820)
Payment for Income Tax	(59,132,257)	(65,504,120)
Net Cash provided/(used) by Operating Activities	(136,416,852)	(819,761,132)
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(878,583,196)	(22,167,767)
Acquisition of Capital work in progress	-	(36,084,029)
Disposal of Fixed Assets	48,417,800	800,000
Advance against Building & other construction	(19,926,189)	(11,671,249)
Net cash used in Investing Activities	(850,091,585)	(69,123,045)
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	982,713,988	860,788,169
Dividend Income	119,997,000	-
Dividend Paid	(7,569)	(192,184,705)
Dividend transferred to Capital Market Stabilization Fund	-	(1,766,587)
Interest Increased/(Decreased) in Dividend Account	(24,017)	6,606
Net Cash provided/(used) by Financing Activities	1,102,679,402	666,843,483
Increase/(Decrease) in Cash and Cash Equivalents	116,170,965	(222,040,694)
Opening Cash & Cash Equivalents	36,029,886	269,352,642
Foreign Currency Bank deposit translation Gain/(Loss)	(595,466)	(11,282,063)
Closing Cash and Cash Equivalents	151,605,384	36,029,886
Net Operating Cash Flow Per Share (NOCFPS)	(0.70)	(4.23)
Par Value Tk.10		

The annexed notes are integral part of these financial statement.

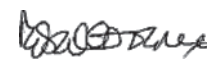
These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur Rahim Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary


Md. Iqbal Hossain FCA
Senior Partner, Enrolment No. 596 (ICAB)
Zoha Zaman Kabir Rashid & Co.
Chartered Accountants

MALEK SPINNING MILLS PLC.
NOTES TO THE FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Amount in Taka	
	JUNE'24	JUNE'23
1.1 PROPERTY, PLANT AND EQUIPMENT:		
<u>COST:</u>		
Opening Balance	2,394,353,785	2,374,028,018
Addition during the year	914,667,225	22,167,767
	3,309,021,010	2,396,195,785
Sales/Adjustment during the year	316,648,090	1,842,000
Closing Balance	2,992,372,920	2,394,353,785
<u>Accumulated Depreciation:</u>		
Opening Balance	1,543,334,968	1,495,955,663
Depreciation during the year	40,736,994	48,372,512
Adjustment during the year	265,734,637	993,206
Closing Balance	1,818,337,325	1,543,334,968
Written Down Value at cost:	1,674,035,595	851,018,817
	-	-
<u>REVALUATION:</u>		
Opening Balance	2,135,640,246	2,135,640,246
Addition of Revaluated Assets	-	-
Adjustment during the year	224,263,180	-
Total Revaluated Assets	1,911,377,066	2,135,640,246
<u>Accumulated Depreciation:</u>		
Opening Balance	827,855,653	792,545,975
Depreciation during the year	26,095,562	35,309,678
Adjustment during the year	143,800,563	-
Closing Balance	710,150,651	827,855,653
Written Down Value of Revaluated Assets:	1,201,226,415	1,307,784,593
Total Written Down Value:	2,875,262,009	2,158,803,410
2.1 CAPITAL WORK-IN-PROGRESS:		
Opening Balance	118,884,029	-
Addition during the year	749,159,634	118,884,029
Less: Transferred to Assets Schedule	868,043,663	-
Closing Balance	-	118,884,029
3.1 INVESTMENT IN SHARE OF SUBSIDIARY COMPANY:		
Salek Textile Limited (3,900,100 Shares @Tk.100 and 825,870 Share of Tk.460 each including Premium Tk.360)	42%	769,910,000
Newasia Synthetics Limited (6,553,338 Shares of Tk.100/- each)	36%	655,333,800
J.M. Fabrics Limited (3,999,900 Shares of Tk.100/- each)	22%	399,990,000
Total:	1,825,233,800	1,825,233,800
Share holding position in Subsidiary Company 97.926% of Salek Textile Ltd., 99.293% of Newasia Synthetics Ltd. & 99.998% of J.M Fabrics Ltd.		
4.1 INVENTORIES:		
Raw Materials	1,335,021,840	918,284,049
Stock-in-Transit	545,753,355	155,718,566
Work-in-Process	41,691,760	33,179,846
Finished Goods	1,320,873,202	889,560,068
Stores & Accessories: (Note: 4.1-A)	203,803,297	173,033,906
Total:	3,447,143,454	2,169,776,435
(i) The inventory counting was taken place at the year end in the presence of company management.		
(ii) Inventories were hyphothecated to Dhaka Bank Ltd., HSBC Ltd., Eastern Bank Ltd., Trust Bank Ltd., One Bank Ltd. & Brac Bank Ltd. as security of workings capital loan.		
(iii) LC value in transit Tk.540,557,013 and LC opening and other charges in transit: Tk.5,196,342.		
(iv) Inventories are valued at lower of cost and net realizable value. Net realizable value is based on estimated selling price less any other cost anticipated to be incurred to make the sale. Any obsolete stock or abnormal losses, if any, are recognized as expenses.		
4.1-A STORES & ACCESSORIES:		
Stores & Spares {Note: 4.1-A(i)}	177,170,799	155,259,158
Repairs and Maintenance Material {Note: 4.1-A(ii)}	12,199,599	6,308,536
Packing Material {Note: 4.1-A(iii)}	11,937,663	10,385,686
Fuel, Oil and Lubricant {Note: 4.1-A(iv)}	2,495,235	1,080,526
Total:	203,803,297	173,033,906

4.1-A(i) STORES & SPARES:

Opening Balance	155,259,158	138,824,460
Add: Purchase during the year	42,912,158	56,055,995
Less: Consumption & Adjustment	21,000,517	39,621,297
Closing Balance	177,170,799	155,259,158

4.1-A(ii) REPAIRS AND MAINTENANCE MATERIALS:

Opening Balance	6,308,536	18,630,799
Add: Purchase during the year	22,202,733	15,236,898
Less: Consumption & Adjustment	16,311,670	27,559,161
Closing Balance	12,199,599	6,308,536

4.1-A(iii) PACKING MATERIALS:

Opening Balance	10,385,686	11,509,488
Add: Purchase during the year	26,934,042	25,421,525
Less: Consumption & Adjustment	25,382,065	26,545,327
Closing Balance	11,937,663	10,385,686

4.1-A(iv) FUEL, OIL AND LUBRICANT:

Opening Balance	1,080,526	2,558,737
Add: Purchase during the year	11,210,678	8,597,243
Less: Consumption & Adjustment	9,795,969	10,075,454
Closing Balance	2,495,235	1,080,526

5.1 ACCOUNTS RECEIVABLE:

1,084,188,548	1,160,557,789
----------------------	----------------------

(i) A/C Receivable occurred in the ordinary course of business by selling of company's product. As per assessment of directors, the above receivable is considered as good & realizable within due course of business.

(ii) The A/C Receivable are secured against confirmed Export L/C (Deferred period is 120 days at the date of acceptance).

(iii) Aging of the Receivables:

Invoiced at 90 days L.C tenor:	111,931,626	119,815,986
Invoiced at 120 days L.C tenor:	972,256,922	1,040,741,803
Invoiced at 121 - 180 days L.C tenor	-	-
Invoiced at 181 - 360 days L.C tenor	-	-
Invoiced at above 360 days L.C tenor	-	-
Total:	1,084,188,548	1,160,557,789

Disclosure as per Company Act-1994, Para (cho 4.5), Schedule-11

(iv) Receivable from other company:
Receivable from related party:-

Knit Asia Ltd:	3,438,698	5,289,872
Salek Textile Ltd.:	106,843,877	50,487,958
J.M. Fabrics Ltd.:	205,651,358	125,353,336
Total:	1,084,188,548	1,160,557,789

6.1 FIRE INSURANCE CLAIMED RECEIVABLE:

Fire Insurance claimed receivable (Raw Materials & Finish Goods)	36,623,313	277,346,120
Fire Insurance claimed receivable (Fixed Assets)	3,409,895	5,112,394
	40,033,208	282,458,514

7.1 ADVANCES, DEPOSITS & PRE-PAYMENTS:

Advance against materials suppliers and others	39,575,572	37,429,937
Advance against Building & other construction	92,169,972	72,243,783
Security Deposit to REB	178,875	178,875
Security Deposit to Titas Gas T&D Co.	24,197,245	11,064,011
Advance Income Tax (Note-7.1-A)	92,555,807	41,756,160
Security Deposit to CDBL	500,000	500,000
Total:	249,177,470	163,172,766

7.1-A. ADVANCE INCOME TAX:

Opening Balance	41,756,160	98,217,663
Advance Income Tax paid (Against Export Proceeds)	26,375,216	41,346,049
Advance Income Tax paid (Against Dividend Income)	23,999,400	-
Advance Income Tax paid (Against Vehicle)	425,000	299,027
Advance Income Tax paid (Against prior year Income)	8,332,610	23,747,960
Advance Income Tax paid (Against Interest Income)	31	111,084
Total AIT paid for the year:	59,132,257	65,504,120
Payment/Adjustment for prior year Income	8,332,610	121,965,623
Closing Balance	92,555,807	41,756,160

- a) All the advances & deposits amount is considered good and recoverable within the ordinary course of business.
b) In the opinion of Directors, all current assets, investments and advance have on realization in the ordinary course
c) There is no amount due from Directors or officers of the Company.

MATURITY ANALYSIS OF ADVANCES, DEPOSITS & PREPAYMENTS:

(i) Realizable/Adjustable within 1 year

(ii) Realizable/Adjustable after 1 year

Total:

132,131,379	79,186,097
117,046,092	83,986,669
249,177,470	163,172,766

8.1 CASH AND CASH EQUIVALENTS:

Cash in Hand:

Cash at Banks:

AB Bank PLC.- A/C: 4005-767482-430
BRAC Bank PLC.- A/C: 1505101762043001
BRAC Bank PLC.- A/C: 1501201762043001 (Dividend)
BRAC Bank PLC.- A/C: 101762043002 (Dividend)
BRAC Bank PLC.- A/C: 2017620430004
Dhaka Bank PLC.- A/C: 207-150000000806 (Dividend)
Dhaka Bank PLC.- A/C: 207-130000000013
Dutch-Banla Bank PLC.- A/C: 227.110.0012931
Eastern Bank PLC.- A/C: 101-0100611
Eastern Bank PLC.- A/C: 4755, 0251,0140
Eastern Bank PLC.- A/C: 101-12300000068:
HSBC Ltd.- A/C: 001-007475-091
HSBC Ltd.- A/C: 001-007475-012
One Bank PLC.- A/C: 0011020009261
One Bank PLC.- A/C: 0016426-091
Shahjalal Islami Bank PLC.- A/C: 4005 11100002528
Trust Bank PLC.- A/C: 0003-0210006613
Trust Bank PLC.- A/C: 003-5025000082

Sub-total:

Total:

79,077	23,807
-	257,642
40,178	41,256
1,969,729	1,948,155
1,426,703	1,481,295
37,897,802	1,259,069
588,209	586,777
26,673,709	19,731,744
189,739	99,545
12,672,034	169,543
1,204,331	1,206,312
62	62
3,832,900	4,710,779
23,205,767	5,000
-	887
38,969,982	4,301,162
-	8,868
10,460	25,054
2,844,702	172,928
151,526,308	36,006,078
151,605,384	36,029,886

9.1 SHARE CAPITAL:

9.1(A)AUTHORISED CAPITAL:

300,000,000 Shares @ Tk. 10/- each

3,000,000,000

3,000,000,000

9.1(B)ISSUED, SUBSCRIBED AND PAID-UP CAPITAL:

193,600,000 Ordinary Shares @ Tk.10/- each issued and paid-up.

1,936,000,000

1,936,000,000

9.1(B).(i) Yearwise break-up of Paid-up Capital:

Year	Status	% of Bonus Share	Addition of Share	Paid-up Share	Paid-up Capital (Tk)
2009- 2010	After IPO			160,000,000	1,600,000,000
2010- 2011	Bonus	10%	16,000,000	176,000,000	1,760,000,000
2011- 2012	Bonus	10%	17,600,000	193,600,000	1,936,000,000

9.1(B).(ii) Share Holding Composition of Malek Spinning Mills PLC. as at 30.06.2024 are as follows:

Shareholder's Group	No. of Shares held	% of Shares	No. of Shareholders
Sponsors & Directors	91,644,800	47.337%	6
Government	-	0.000%	0
Institutions	23,254,256	12.011%	293
Foreign Shareholders	-	0.000%	0
General Public	78,700,944	40.651%	16723
Total	193,600,000	100%	17,022

9.1(B).(iii) Classification of shareholders by holding:

Distribution schedule of each class of equity security setting out the number of holders and percentage as at 30.06.2024

Range of Holdings	No. of Holders	Holdings	Percentage
Less than 500 shares	4,761	860,061	0.44%
500 to 5,000 shares	9,491	14,217,211	7.34%
5,001 to 10,000 shares	1,235	9,572,290	4.94%
10,001 to 20,000 shares	766	11,183,319	5.78%
20,001 to 30,000 shars	274	6,817,482	3.52%
30,001 to 40,000 shares	130	4,537,956	2.34%
40,001 to 50,000 shares	102	4,681,625	2.42%
50,001 to 100,000 shares	153	10,935,069	5.65%
100,001 to 1,000,000 shares	97	21,812,962	11.27%
Over 1,000,000 shares	13	108,982,025	56.29%
Total	17,022	193,600,000	100%

10.1 SHARE PREMIUM:**1,500,000,000****1,500,000,000**

This represents issuance of 10,000,000 ordinary shares in September 2008 for Tk.25 each including premium of Tk. 15/- each in compliance with The Securities and Exchange Commission (SEC) consent No.SEC/CI/CPLC (PVT.)-95/06/337 dated on 30.06.2008 and further Placement issuance of 50,000,000 ordinary shares in October 2009 for Tk.25/- each including premium of Tk.15 each in compliance with The Securities and Exchange Commission (SEC) consent No. SEC/CI/CPLC(PVT.)-95/ dated on June 03, 2009 and further issuance of IPO of 40,000,000 ordinary shares on July 2010 for Tk. 25/- each including Premium of Tk. 15/- each in compliance with the Securities and Exchange Commission (SEC) consent No. SEC/CI/IPO-118/2010/462 dated April 15, 2010.

11.1 RE-VALUATION SURPLUS:

Opening Balance	1,111,168,717	1,141,181,944
Less: Adjustment of Revaluated Assets	80,462,617	-
Less: Transfer to Retained Earnings 85% of excess depreciation	22,181,228	30,013,226
Written Down Value:	1,008,524,873	1,111,168,717

Calculation of deferred tax adjusted balance which has been transferred from revaluation surplus to retained earnings and changes in equity:

Depreciation of revalued asset	100%	26,095,562
Deferred tax adjustment	15%	3,914,334
Deferred tax adjusted balance of excess depreciation: 85%		22,181,228

a) Name of Revaluer: ASIAN SURVEYORS LTD.

b) Last date of Revaluation: 30.06.2012

c) Methodology use for revaluation:

(i) Valuation of Land: Surveyors Physically examined the land and surroundings. The present value of the land have been taken into consideration according to the location, importance and convenience of the locality in terms of industrial, commercial and other related factors.

(ii) Valuation of building: Surveyors taken into consideration the nature and quality of construction of the buildings, examined the present condition of the buildings as well as nature of maintenance. Relevant papers, documents and records were scrutinized and verified. Considering all allied factors they determined the correct present value.

(iii) Valuation of Machineries: The value of the machineries of the project were assessed as a running concern. They have taken into account the practical utility of a machine in terms of present performance of the particular machine in working out the present value. They also taken into consideration erection or installation cost and other related details to determine the present value of the machineries. Copies of invoice and other related documents were scrutinised and verified accurately.

d) Total revaluation amount: Revaluation amount as on 30.06.2012 is Tk. 2,148,818,646

e) Independency of valuation: The surveyor and valuer was independent from the company and its management

12.1 RETAINED EARNINGS:

Opening Balance	(91,761,471)	571,402,491
Add: Net Profit/(Loss) during the year	212,953,141	(499,577,188)
Add: Transfer 85% of excess depreciation of revaluated assets	22,181,228	30,013,226
Less: Declared Cash Dividend	-	193,600,000
Total:	143,372,898	(91,761,471)

13.1 LONG TERM LOAN:

Eastern Bank PLC.	5,914,300	-
Dhaka Bank PLC.	900,351,733	405,078,640
Brac Bank PLC.	464,077,087	29,869,195
IDLC Finance PLC.	237,838,547	400,000,000
One Bank PLC.	122,899,572	201,686,914
Total	1,731,081,239	1,036,634,749
Less: Current Portion of Long Term Loan (Note-16.1)	293,788,691	143,693,723
Total Long Term Loan:	1,437,292,548	892,941,026

13.1(i) Other information:

Particulars	JUNE' 2024		JUNE' 2023	
	IDLC	OBL	IDLC	OBL
Opening Loan facility	400,000,000	201,686,914	-	285,364,487
Addition Loan	-	-	400,000,000	-
Interest Charged	50,528,828	1,734,903	-	19,165,770
Loan Repayment:	162,161,453	78,787,342	-	61,323,030
Loan Balance:	237,838,547	122,899,572	400,000,000	224,041,457
Repayment Terms	Monthly Installment	Quarterly Installment	Monthly Installment	Quarterly Installment
Installment Size	4,139,935	22,819,479	-	20,677,164
Tenor	5 years	5 years	5 years	5 years
Interest Rate	13% - 15.75%	10% - 14%	13% - 13%	9.5% - 10%
Security	Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.		Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.	

Particulars	JUNE' 2024		JUNE' 2023	
	DBL	BRAC	DBL	BRAC
Opening Loan facility	405,078,640	29,869,195	43,513,269	14,540,000
Addition Loan	542,511,249	448,747,892	362,575,715	15,329,195
Interest Charged	98,972,525	36,950,033	8,454,307	21,716
Loan Repayment:	47,238,156	14,540,000	1,010,344	-
Loan Balance:	900,351,733	464,077,087	405,078,640	29,869,195
Repayment Terms	Monthly Installment	Quarterly Installment	Monthly Installment	Quarterly Installment
Installment Size	12,686,695	727,000	506,024	727,000
Tenor	7 years	5 years	7 years	5 years
Interest Rate	10% - 12.55%	10% - 13.30%	9.5% - 10%	9.5% - 10%
Security	Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.		Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.	

Particulars	JUNE' 2024
	EBL
Opening Loan facility	-
Addition Loan	5,914,300
Interest Charged	-
Loan Repayment:	-
Loan Balance:	5,914,300
Repayment Terms	Quarterly Installment
Installment Size	147,804
Tenor	5 years
Interest Rate	13%
Security	Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.

14.1 DEFERRED TAX LIABILITIES:

Opening Balance	255,878,473	262,119,028
Add: Provision for the year	1,685,627	(6,240,555)
Total Liabilities:	257,564,100	255,878,473

Deferred Tax Calculation:

Particulars	Accounts) Base (WDV	Tax Base (WDV)	Temporary difference	Temporary difference
Written Down Value of Fixed Assets at cost	1,674,035,595	1,158,168,008	515,867,587	398,071,894
WDV of Revaluation Surplus of Fixed Assets	1,201,226,415	-	1,201,226,415	1,307,784,593
Total	2,875,262,009	1,158,168,008	1,717,094,002	1,705,856,487
Deferred tax rate			15%	15%
Deferred Tax Liability			257,564,100	255,878,473

15.1 SHORT TERM LOAN:

Working Capital Loan:

Eastern Bank PLC.

Sub-total:

23,732,261	-
23,732,261	-

Bank Overdraft:

Eastern Bank PLC. A/C:180

Dhaka Bank PLC. A/C: 207.175.23

Brac Bank PLC. A/C: 1501201762043002

One Bank PLC. A/C: 0010016426008

HSBC Ltd. A/C: 001-007475-011

Trust Bank PLC. A/C:003- 0136000153

Sub-total:

46,441,311	54,798,165
29,712,899	16,731,673
51,303,994	38,724,704
20,297,742	20,458,232
18,943,100	16,715,328
31,326,755	30,682,780
198,025,800	178,110,883

Liability for Bill discount:

Dhaka Bank PLC.

Eastern Bank PLC.

Brac Bank PLC.

Sub-total:

52,857,739	27,417,096
564,037,296	287,182,811
104,595,197	162,270,005
721,490,232	476,869,912

Total:

943,248,293	654,980,794
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The above Short Term loans are secured against hypothecation of Stocks and Book Debts.

Particulars	EBL	OBL	DBL	HSBC
Saction facility (W.C.)	23,732,261	-	-	-
Saction facility (Overdraft)	45,000,000	20,000,000	30,000,000	20,000,000
Interest paid this year (OD)	4,413,237	2,316,700	1,846,725	1,339,838
Repayment Terms (W.C.)				
Repayment Terms (OD)	N/A	N/A	N/A	N/A
Installment Size (W.C.)				
Installment Size (OD)	N/A	N/A	N/A	N/A
Tenor	One year renewable			
Interest Rate	13% - 13.55%	13% - 13.55%	13% - 13.55%	13% - 13.55%
Security	Pari-passue security of Stock & Book Debts sharing agreement.			

Particulars	TBL	BRAC	Amount in Taka	
			JUNE' 2024	JUNE' 2023
Saction facility (W.C.)				
Saction facility (Overdraft)	30,000,000	50,000,000		
Interest paid this year (OD)	3,323,907	4,020,971		
Repayment Terms (W.C.)				
Repayment Terms (OD)	N/A	N/A		
Installment Size (W.C.)				
Installment Size (OD)	N/A	N/A		
Tenor	One year renewable	One year renewable		
Interest Rate	13% - 13.55%	13% - 13.55%		
Security	Pari-passue security of Stock & Book Debts sharing agreement.			

16.1 CURRENT PORTION OF LONG TERM LOAN:

Eastern Bank PLC.
Dhaka Bank PLC.
Brac Bank PLC.
IDLC Finance PLC.
One Bank PLC.

Total:

591,217	-
152,240,338	39,121,379
-	1,454,500
49,679,221	8,059,672
91,277,916	95,058,172
293,788,691	143,693,723

17.1 ACCEPTANCE LIABILITIES:

Raw Cotton:

Eastern Bank PLC.
Dhaka Bank PLC.
Brac Bank PLC.
One Bank PLC.
Trust Bank PLC.
HSBC Ltd.

Capital Work-in-progress:

Total:

Acceptance liability represents the deferred payment of L/C for Imported Raw Materials for the period of 180 Days.

505,982,920	337,338,178
69,468,603	236,688,126
680,430,654	113,624,627
448,457,958	350,390,547
-	134,542,996
-	81,969,241
1,704,340,135	1,254,553,714
-	82,800,000
1,704,340,135	1,337,353,714

18.1 UNCLAIMED DIVIDEND WITH INTEREST:

Bankwise Details as follows:

Brac Bank PLC. (Principal):
Brac Bank PLC. (Interest):
Dhaka Bank PLC. (Interest):

Total-

3,984,585	4,016,172
3,118,150	3,125,719
278,227	303,675
588,209	586,777
3,984,585	4,016,172

19.1 CREDITORS, ACCRUALS & PROVISIONS:

Gas Bill Payable
Electricity Bill Payable
Audit Fees Payable
Salary, Wages & Other Allowance Payable
Salary & Allowance Payable
P.F Contribution Payable- Fact.
P.F Contribution Payable- H.O
Tax Deduction at Source Payable
Vat Deduction at Source Payable
Income Tax Payable (Note:19.1-A)
Contribution to WPPF Payable
Payable for Goods Supplies & Others
Accrued Interest (Note:19.1-B)
Refundable IPO Share money (NRB Accounts) (Note-19.1-C)

Total:

41,180,331	46,546,923
90,401	71,845
287,500	212,750
12,563,158	10,219,022
4,368,815	4,301,752
1,225,792	1,157,394
252,976	174,786
3,618,169	2,010,817
2,741,364	2,490,294
92,323,662	41,524,014
33,017,045	27,792,037
229,748,258	18,066,232
21,891,502	14,858,836
1,218,777	1,218,777
444,527,750	170,645,480

- a) Payable for Goods Supplies and others represents regular suppliers of packing materials, Bearing, belts, fuel & lubricants, stationery items and others.
b) Factory Salary, Wages and Other Allowance, Head Office Salary & Allowance, Director Remuneraion payable for the month of 30th June 2024.
c) Assesment of Income Tax is settled by NBR up to 2021-2022 financial year and Income Tax payable is adjusted with the advance income tax.

19.1-A. INCOME TAX PAYABLE:

Opening Balance
Provision for the year (Current Tax): (Note-27.1)
Prior year tax provision: (Note- 27.1)

Tax Payment/Adjustment for the year:

Total Payment/Adjustment for prior year income:

Total Payable-

41,524,014	120,936,069
50,799,647	41,524,014
8,332,610	1,029,554
100,656,272	163,489,637
8,332,610	121,965,623
8,332,610	121,965,623
92,323,662	41,524,014

19.1-B. ACCRUED INTEREST:

Brac Bank PLC.

One Bank PLC.

Total:

12,840,081

9,051,420

21,891,502

-

14,858,836

14,858,836**19.1-C. REFUNDABLE IPO SHARE MONEY:**

Eastern Bank PLC. NRB A/C (US\$, Pound, EURO):

Total-

1,218,777

1,218,777

1,218,777

1,218,777**20.1 SALES:**

Sales to other Customer

Sales to Related Party

Total Sales

For the financial year 2023-2024 Finished Yarn sales 9,693,851 Kg.

JUN'24

1,837,059,188

1,896,370,062

3,733,429,250**JUN'23**

2,272,868,575

1,572,285,530

3,845,154,105**21.1 COST OF GOODS SOLD:**

	Quantity in Kg			
	2023-24	2022-23		
Raw Material Consumed (Note:21.1-A)	11,508,913	11,744,838	2,840,974,368	3,547,770,603
Direct Labour (Note:21.1-B)			161,630,225	128,406,147
Factory Overhead (Note:21.1-C)			559,805,291	614,665,395
Total Manufacturing Cost			3,562,409,883	4,290,842,145
Add: Work-in-Process- Opening	130,744	127,620	33,179,846	36,827,685
Cost of Goods available for use			3,595,589,729	4,327,669,830
Less: Work-in-Process- Closing	143,268	130,744	41,691,760	33,179,846
Cost of Production			3,553,897,969	4,294,489,984
Add: Finished Goods- Opening	2,821,288	1,760,427	889,560,068	713,674,546
Cost of Goods Available for Sales			4,443,458,038	5,008,164,530
Less: Finished Goods- Closing	3,696,832	2,821,288	1,320,873,202	889,560,068
Cost of Goods Sold:			3,122,584,835	4,118,604,462

21.1-(A) RAW MATERIALS CONSUMED:

Opening Inventory Raw Materials

Add: Purchase during the year

Less: Closing Inventory of Raw Materials

Raw Materials Consumed

918,284,049

3,257,712,159

1,335,021,840

2,840,974,368

782,736,983

3,683,317,669

918,284,049

3,547,770,603**21.1-(B) DIRECT LABOUR:****161,630,225****128,406,147****21.1-(C) FACTORY OVERHEAD:**

Factory Salary and Allowances

Overtime Wages for Worker

Festival Bonus Factory

Electricity Charges

Gas Charges

Repairs & Maintenance

Compliance Expenses

Gardening Expenses

Packing Materials

Fuel, Oil & Lubricant

Fire Insurance Premium

Group Insurance Premium

Stores & Accessories consumption

Entertainment Factory

Telephone, Mobile, Internet & Fax exp.

Stationery Charges

Loading & Unloading expense

Other Carrying Charges

Factory Office Expenses other

Vehicles Maintenance

Conveyances Factory Employee

Accommodation Facility for worker

Medical Expenses

Uniform & Leverage

Miscellaneous Exp.

Depreciation

Total Factory Overhead-

89,692,854

-

5,250,713

1,734,191

301,074,243

26,150,795

2,208,432

240

25,382,065

9,999,359

5,706,242

135,240

20,744,456

1,669,236

455,368

967,870

727,000

645,956

14,400

2,659,140

28,665

199,740

121,272

88,140

916,881

63,232,793

559,805,291

70,189,386

1,009,461

18,860,622

3,494,225

298,418,992

59,254,459

550,093

11,200

26,551,287

10,075,454

5,377,813

94,950

34,562,872

607,004

371,365

734,705

-

51,650

29,931

2,520,385

-

713,630

99,533

27,490

1,322,306

79,736,582

614,665,395

22.1 OPERATING EXPENSES:

Salaries & Allowances	57,060,304	47,318,729
Festival Bonus	4,852,965	3,942,525
Director's Remuneration	-	1,400,000
Fees, Forms & Others	11,346,304	4,949,999
Audit Fees	287,500	212,750
Stationery expenses	867,605	712,664
Professional Training expense	265,000	-
Telephone, Mobile & Internet Expenses	961,121	1,003,659
Postage, Stamp & Curier expenses	6,806	7,615
Vehicle Maintenance	12,372,426	9,852,805
Miscellaneous Expenses	6,267,031	12,926,431
Office Rent	10,606,260	10,644,689
Carriage Outwards, Selling & Distribution exp.	4,883,590	6,120,350
Entertainment	880,664	1,368,100
Advertisement & Publicity Expenses	430,797	517,267
AGM Expenses	793,150	617,526
Security Service Charges	16,000	12,400
Travelling & Conveyance	914,029	1,704,075
Uniform & Laveries Security	18,225	21,320
VAT Expenses	-	1,909,000
Repairs & Maintenance	7,762,085	6,723,104
Subscription Expenses	379,624	1,156,396
Credit Rating Charges	53,750	93,750
Software Maintenance Expenditure	269,955	45,000
Depreciation	3,599,763	3,945,608
Total Operating expenses:	124,894,954	117,205,762

23.1 FINANCIAL EXPENSES:**EASTERN BANK PLC.:**

Interest on Long Term Loan	705,159	-
Interest on Short Term Loan	331,180	-
Interest on Overdraft	4,413,237	3,012,095
Bank Charges & Commission	774,149	856,355
Export L/C Negotiation Commission	2,720,757	3,582,072
Interest on Bill Discount	21,103,483	24,257,566
Total:	30,047,964	31,708,088

HSBC LTD.:

Bank Charges & Commission	469,029	454,787
Export L/C Negotiation Commission	271,550	554,338
Interest on Overdraft	1,339,838	796,001
Interest on Bill Discount	211,585	1,131,822
Total:	2,292,002	2,936,948

DHAKA BANK PLC.:

Interest on Long Term Loan	98,972,525	8,454,307
Interest on Overdraft	1,846,725	2,072,085
Bank Charges and Commission	604,654	285,231
Export L/C Negotiation Commission	1,076,164	636,182
Interest on Bill Discount	593,742	262,524
Total:	103,093,808	11,710,328

MEGHNA BANK PLC.:

Bank Charges and Commission	-	50,000
Total-	-	50,000

ONE BANK PLC.:

Interest on Long Term Loan	1,734,903	6,887,462
Interest on Short Term Loan	-	270,974
Interest on Overdraft	2,316,700	1,020,720
Bank Charges & Commission	2,783,570	2,212,505
Export L/C Negotiation Commission	487,986	203,145
Total:	7,323,159	10,594,806

TRUST BANK PLC.:

Bank Charges and Commission	121,347	27,089
Interest on Overdraft	3,323,907	2,565,317
Total:	3,445,254	2,592,406

<u>DUTCH-BANGLA BANK PLC.</u>		
Bank Charges and Commission	16,380	66,035
Total:	16,380	66,035
<u>SHAHJALAL ISLAMI BANK PLC.:</u>		
Bank Charge and Commission	8,868	-
Total:	8,868	-
<u>AB BANK PLC.</u>		
Bank Charges and Commission	257,642	690
Total:	257,642	690
<u>IDLC FINANCE PLC. :</u>		
Bank Charges and Commission	943,321	-
Interest on Long Term Loan	50,528,828	-
Total:	51,472,149	-
<u>BRAC BANK PLC.</u>		
Interest on Long Term Loan	36,950,033	21,716
Interest on Overdraft	4,020,971	1,176,818
Interest on Bill Discount	8,103,568	862,494
Export L/C Negotiation Commission	4,388,208	289,917
Bank Charges and Commission	1,651,702	205,574
Total:	55,114,482	2,556,518
<u>Total Financial Expenses-</u>	253,071,709	62,215,820
24.1 LOSS ON FIRE:		
Loss on Fire of Assets (Note-24.1A)	(1,702,499)	-
Loss on Fire of Goods (Note-24.1B)	(60,621,661)	-
	(62,324,160)	-
24.1(A). LOSS ON FIRE OF ASSETS:		
Fire Insurance claimed ensured by Insurance Co.	3,409,895	-
Written down value	5,112,394	-
Loss on fire of Assets	(1,702,499)	-
24.1(B). LOSS ON FIRE OF GOODS:		
Fire Insurance claimed ensured by Insurance Co.	96,673,129	-
Salvage Recovery Value	120,051,330	-
	216,724,459	-
Goods destroyed by fire	277,346,120	-
Loss on fire of Goods	(60,621,661)	-
25.1 OTHER INCOME/(LOSS):		
<u>CASH INCENTIVE:</u>	-	-
<u>OTHER INCOME/(LOSS):</u>		
Interest Received from AB Bank PLC., STD A/C (4005-767482-430)	-	1,172
Interest Received from BRAC Bank PLC., STD A/C (1505101 762043001)	103	105
Interest Received from Eastern Bank PLC., STD A/C (101-1230000068)	1	4
Interest Received from Meghna Bank Ltd., FDR A/C (1101-28400000001)	-	937,339
	103	938,620
Dividend Income from J.M. Fabrics Ltd.	119,997,000	-
	119,997,000	-
Foreign Currency Bank deposit translation Gain/(Loss)	(595,466)	(11,282,063)
Gain/(Loss) on Sale of Assets {Note: 25.1(A)}	(2,495,653)	(48,794)
	(3,091,118)	(11,330,856)
Other Income/(Loss):	116,905,985	(10,392,237)
Total Non-operating Income/(Loss):	116,905,985	(10,392,237)
25.1(A). GAIN/(LOSS) ON SALE OF ASSETS:		
Sales Price	-	800,000
Less: Written down value of Motor Vehicle:	-	848,794
Gain/(Loss) on Sale of Motor Vehicle	-	(48,794)
Sales Price	48,417,800	-
Less: Written down value of Old Machine & Generator	50,913,453	-
Gain/(Loss) on Sale of Machine & Generator	(2,495,653)	-
Total Gain/(Loss) on Sale of Assets:	(2,495,653)	(48,794)
26.1 WORKER'S PROFIT PARTICIPATION FUND:		
Contribution to WPPF for the year	13,688,551	-
	13,688,551	-

This represents 5% of net profit before tax of the company and is payable to workers as per provision defined in the Labour Law Act-2006 (amendment 2013).

27.1 CURRENT & PRIOR YEAR TAX EXPENSES:

i) On Operating Income

ii) On Other Income

Sub-Total

Prior year tax adjustment

Total

	Tax	Tax
i) On Operating Income	26,800,247	41,346,049
ii) On Other Income	23,999,400	177,965
Sub-Total	50,799,647	41,524,014
Prior year tax adjustment	8,332,610	1,029,554
Total	59,132,257	42,553,568

(i) Tax provision for this financial year is AIT deducted amount on Export Proceed Realisation and other source.

28.1 DEFERRED TAX:**1,685,627****(6,240,555)****29.1 BASIC EARNINGS PER SHARE (EPS):**

EPS	(a) Earning attributable to ordinary shareholders	212,953,141	(499,577,188)
calculation	(b) Weighted average number of Shares	193,600,000	193,600,000
Basic Earnings per Share (a / b):		1.10	(2.58)

30.1 NET ASSET VALUE (NAV) PER SHARE:**JUN'24****JUN'23**

NAV	a) Equity attributable to owners of the company	4,587,897,771	4,455,407,246
calculation	b) Number of Shares outstanding the year end	193,600,000	193,600,000
Net Assets Value Per Share (NAV) { a / b }:		23.70	23.01

31.1 CASH FLOW FROM OPERATING ACTIVITIES (INDIRECT METHOD):**JUN'24****JUN'23**

Operating Profit/(Loss)	232,877,752	(452,871,938)
Depreciation	66,832,556	83,682,190
Other Income/(Loss)	103	938,620
Accounts Receivable (Increase)/Decrease	76,369,242	161,661,062
Inventories (Increase)/Decrease	(1,277,367,019)	(363,183,770)
Advance, Deposit & Prepaid expenses (Increase)/Decrease	(15,278,868)	(1,010,796)
Accounts Payable Increase/(Decrease)	667,644,036	(183,472,379)
Fire Insurance Claimed received on Raw Material & Finish Goods	(8,463,544)	-
Payment to Employee against contribution to WPPF	180,101,147	-
Payment for Income Tax	(59,132,257)	(65,504,120)
Net Cash provided/(used) by Operating Activities	(136,416,852)	(819,761,132)

32.1 CALCULATION OF NET OPERATING CASH FLOW PER SHARE (NOCFPS):

NOCFPS	a) Net Cash provided/(used) by Operating Activities	(136,416,852)	(819,761,132)
calculation	b) Number of Shares outstanding the year end	193,600,000	193,600,000
Net Operating Cash Flow Per Share (NOCFPS) { a/b }:		(0.70)	(4.23)

33.1 RELATED PARTY DISCLOSURE:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of transactions with related parties and balances with them as at 30th June 2024 were as follows:

Related Party	Nature of Relationship	Nature of Transaction	Transaction during this period		Balance as at 30.06.2024	Balance as at 30.06.2023
			Dr. (Sales or Advance)	Cr. (Realised)		
Knit Asia Limited	Common Director	Sales	573,959,786	575,810,960	3,438,698	5,289,872
Salek Textile Limited	Subsidiary	Sales	111,535,292	55,179,373	106,843,877	50,487,958
J.M. Fabrics Limited	Subsidiary	Sales	1,210,874,983	1,130,576,961	205,651,358	125,353,336
New Asia Limited	Common Director	Service charge	1,569,046	1,367,797	(295,292)	(496,541)
Hejaz Publication Limited	Common Director	Office Rent	10,606,260	10,606,260	-	-

34.1 PRODUCTION CAPACITY:

Production capacity of Malek Spinning Mills Ltd. is 35,000kg per day and annual production capacity is 12,600,000Kg. During the year produced 9,540,356 Kg and Capacity utilized 75.72%.

Particulars	%	Quantity in Kg (2023-24)	%	Quantity in Kg (2022-23)
Capacity	100	12,600,000	100	12,600,000
Production	75.72	9,540,356	74.57	9,395,870
Shortfall		3,059,644		3,204,130

MALEK SPINNING MILLS PLC.
NOTES TO THE FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Amount in Taka	
	JUNE'24	JUNE'23

35.1 WPPF:

Provision for contribution to WPPF was made as per Section-234 of Labour Law-2013. The due amount is under process of payment.

36.1 EVENTS AFTER THE REPORTING PERIOD:

"The board of directors of the company has approved the Audited financial statements on 27th October 2024 and recommended 10% Cash dividend for General Shareholders only except Sponsors & Directors for the financial year ended June 30, 2024.

Except the fact stated above, no circumstances have arisen that to be disclosed as note adjusted in the financial statements."

37.1 ATTENDANCE STATUS OF BOARD MEETING OF DIRECTORS:

During the year 2023-2024 seven Board Meetings were held. The attendance status of all the meetings is as follows:

Name of Directors	Position	Meeting Held	Attended
1) Mr. A.F.M Zubair	Chairman	7	7
2) Mr. A. Matin Chowdhury	Managing Director	7	7
3) Dr. Shamim Matin Chowdhury	Director	7	7
4) Mr. Azizur Rahim Chowdhury	Director	7	7
5) Ms. Saima Matin Chowdhury	Director	7	5
6) Mr. Mahir Rahman	Director	7	5
7) Dr. Sultan Hafeez Rahman	Independent Director	7	7
8) Muhammad Abul Hossain	Independent Director	7	4

38.1 EMPLOYEES SALARY STATUS & POSITION (AS PER 30TH JUNE 2024)

Salary Range	Officer & Staff		Worker	Total Employee
	Head Office	Factory		
Below 5,200	-	-	-	-
Above 5,200	63	109	977	1,149
Total	63	109	977	1,149

39.1 BENEFITS TO DIRECTORS:

Mr. A. Matin Chowdhury	2023-2024	2022-2023
i) Basic	-	840,000
ii) House Rent	-	420,000
iii) Conveyance	-	64,000
iv) Medical Allowance	-	76,000
v) Incentive Bonus	-	-
vi) Festival Bonus	-	-
Total:	-	1,400,000

40.1 PURCHASE IN FOREIGN CURRENCY:

Particulars	2023-24		2022-2023	
	In Foreign Currency	In BDT	In Foreign Currency	In BDT
Raw Cotton	\$29,167,447	3,257,712,159	\$38,367,892	3,683,317,669
Spare Parts	\$384,208	42,912,158	\$583,917	56,055,995
Capital Machinery	\$5,893,819	602,407,199	\$-	-
Total	\$35,445,473	3,903,031,516	\$38,951,809	3,739,373,664

41.1 KEY MANAGEMENT PERSONNEL COMPENSATION:

Company has established following personnel compensation to the employee:

a) Short-term employee benefits: Company provide the following short-term benefit.

Particulars	2023-2024		2022-2023	
	Directors	Executives	Directors	Executives
Remuneration/ Salary	-	12,466,432	1,400,000	12,644,061
i) Basic	-	6,503,901	840,000	6,629,788
ii) House Rent	-	3,251,951	420,000	1,988,936
iii) Conveyance	-	976,154	64,000	120,000
iv) Medical Allowance	-	650,390	76,000	662,979
v) Incentive Bonus	-	-	-	1,647,944
vi) Festival Bonus	-	1,084,036	-	1,594,414
Number of Person:	<u>1</u>	<u>4</u>	<u>1</u>	<u>4</u>

b) Post-employment benefits: Company provide contributory Provident fund and other benefits.

c) Other long-term benefits: Company provide the employee under which an employee is entitle to the benefit depending on length of service. The cost for Gratuity is accounted on cash basis.

d) Share-based payment: Company does not provide any share-based payment facilities to the employee.

42.1 FINANCIAL RISK MANAGEMENT:

The Board of Directors has overall responsibility for the establishment and oversight of the Company's financial risk management. The responsibility also includes developing and monitoring the Company's risk management policy. To assist the Board in discharging its oversight responsibility, management has been made responsible for identifying, monitoring and managing the company's financial risk exposure. The Company's exposure to the risks associated with the financial instruments and the risk management policies and procedures and summarized as follows.

CREDIT RISK:

Credit risk is the risk of financial loss to the company if a buyer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivable from customers and investment securities. The Company's sales are made to renowned RMG exporting company. Sales made to the entity are fully secured by Letter of Credit issued by local scheduled banks.

Credit risk of the Company arises principally from trade debts, loans and advances, and bank balances. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date is as follows:

	2023-2024	2022-2023
Consolidated Accounts Receivable:	4,549,350,365	3,952,286,832
Consolidated Loans and Advances:	694,614,866	737,252,788
Consolidated Bank Balances:	1,851,039,349	679,043,582
	7,095,004,580	5,368,583,202

LIQUIDITY RISK:

Liquidity risk is the risk that the company unable to meet its financial obligations as the fall due. The Company's approach to managing liquidity is to ensure, as far as possible' that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation. In general, management ensures that it has sufficient cash and cash equivalent to meet expected operation expenses, including the servicing of financial obligation through preparation of cash forecast, prepared based on timeline of payment of the financial obligation and accordingly arranged for sufficient liquidity/fund to make the expected payment within due date. Moreover, the company seeks to maintain short term lines of credit with scheduled commercial banks to ensure payments of obligations in the events that there is sufficient cash to make the required payment. The requirement is determined in advance through cash flows projections and credit lines facilities with banks are negotiated accordingly. Seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantages and security afforded by a sound capital position. The board also monitors dividend trend to ordinary shareholders.

MARKET RISK:

Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

PRICE RISK:

Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The company does not have any financial instrument that expose the price risk.

INTEREST RISK:

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate risk arises from long and short-term borrowings from financial institutions. At the reporting date, the company does not hold any interest bearing financial instrument.

CURRENCY RISK:

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly where receivables and payables exist due to transactions entered in foreign currencies. The Company is exposed to foreign currency risk on sales, purchases and Foreign Currency loan, which, are entered in a currency other than BDT. The foreign currency transactions are mainly occurred in USD and conversion rate of USD into BDT does not fluctuate materially.

CAPITAL RISK MANAGEMENT:

The objective of the Company when managing capital, i.e., its shareholders' equity is to safeguard its ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustained development of its businesses. The Company manages its capital structure by monitoring return on net assets and makes adjustments to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividend paid to shareholders or issue new shares.

MALEK SPINNING MILLS PLC.

FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2024

Annexure: 1.1

PARTICULARS	COST				RATE	DEPRECIATION				Written Down
	As at 01.07.2023	Addition	Adjustment	As at 30.06.2024		As at 01.07.2023	This year	Adjustment	As at 30.06.2024	Value as at 30.06.2024
(A)-										
1 Land and Land Development	269,232,513	17,675,938		286,908,451	0%	-	-		-	286,908,451
2 Factory Building	348,154,098	60,731,085		408,885,183	5%	252,499,215	4,784,235		257,283,450	151,601,733
3 Plant and Machinery	1,514,599,303	602,407,199	214,250,898	1,902,755,603	7.5%	1,083,609,389	29,329,662	174,323,142	938,615,909	964,139,695
4 Electrical Installation	49,344,076	4,470,659		53,814,735	15%	45,539,017	570,759		46,109,775	7,704,959
5 Tubewell and Water Pump	2,463,406	1,080,000		3,543,406	15%	2,384,915	92,774		2,477,689	1,065,717
6 Furniture and Fixtures	3,483,779	-		3,483,779	10%	2,824,459	65,932		2,890,391	593,388
7 Office Equipments	35,811,208	1,475,587		37,286,795	15%	17,826,650	2,798,311		20,624,961	16,661,834
8 Gas Line Installation	10,618,384	-		10,618,384	15%	9,696,410	138,296		9,834,706	783,678
9 Loose Tools and Equipment	24,501,813	-		24,501,813	15%	14,149,121	1,552,904		15,702,024	8,799,788
10 Motor Vehicle	23,802,992	-		23,802,992	20%	20,156,689	729,261		20,885,950	2,917,042
11 Telephone (PABX) Installation	501,000	11,500		512,500	15%	470,169	5,918		476,087	36,413
12 Crockaries and Cutlaries	50,777	-		50,777	15%	48,498	342		48,840	1,937
13 Generator	111,537,336	220,887,002	102,397,192	230,027,146	10%	93,888,691	666,295	91,411,496	3,143,490	226,883,656
14 Fire Control Equipment Installation	253,100	5,928,255		6,181,355	15%	241,746	2,306		244,052	5,937,303
Total (A) as at 30.06.2024	2,394,353,785	914,667,225	316,648,090	2,992,372,920		1,543,334,968	40,736,994	265,734,637	1,318,337,325	1,674,035,595
Total (A1) as at 30.06.2023	2,374,028,018	22,167,767	1,842,000	2,394,353,785		1,495,955,663	48,372,512	993,206	1,543,334,968	851,018,817

REVALUATED FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2024

PARTICULARS	Re-valued cost				RATE	DEPRECIATION				Written Down
	As at 01.07.2023	Addition	Adjustment	As at 30.06.2024		As at 01.07.2023	This year	Adjustment	As at 30.06.2024	Value as at 30.06.2024
(B)-										
1 Land and Land Development	846,018,824		-	846,018,824	-	-	-	-	-	846,018,824
2 Factory Building	219,355,567		-	219,355,567	5%	110,082,423	5,463,657	-	115,546,080	103,809,487
3 Plant and Machinery	951,297,577		134,567,842	816,729,734	7.5%	631,371,574	19,713,289	77,485,689	573,599,174	243,130,560
4 Generator	118,968,278		89,695,338	29,272,940	10%	86,401,656	918,616	66,314,874	21,005,397	8,267,543
Total (B) as at 30.06.2024	2,135,640,246	-	224,263,180	1,911,377,066	-	827,855,653	26,095,562	143,800,563	710,150,651	1,201,226,415
Total (B1) as at 30.06.2023	2,135,640,246	-	-	2,135,640,246	-	792,545,975	35,309,678	-	827,855,653	1,307,784,593
Total (A+B) as at 30.06.2024	4,529,994,031	914,667,225	540,911,270	4,903,749,986		2,371,190,621	66,832,556	409,535,201	2,028,487,976	2,875,262,009
Total (A1+B1) as at 30.06.2023	4,509,668,264	22,167,767	1,842,000	4,529,994,031		2,288,501,638	83,682,190	993,206	2,371,190,621	2,158,803,410

Depreciation Charged to:

Operating Expenses: 3,599,763

Factory Overhead: 63,232,793

Tk. 66,832,556

SALEK TEXTILE LIMITED

DIRECTORS' REPORT

TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2024

Dear Shareholders,

In terms of provisions of section 184 of the Companies Act'1994 and International Financial Reporting Standards (IFRS), the Board of Directors is pleased to submit its Report to the Shareholders together with Audited Accounts and Auditors' Report thereon, containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2024.

BACKGROUND:

The Company was incorporated with RJSC on 9th day of September 2007 as a Private Limited Company. The Authorized Share Capital of the company was increased from Tk.500,000,000.00 divided into 5,000,000 ordinary shares of Tk.100.00 each to Tk.3,000,000,000.00 divided into 30,000,000 ordinary shares of Tk.100.00 each on 14th August, 2013. Subsequently the par value of share has been changed from Tk.100.00 per share to Tk.10.00 per share. The paid-up capital as on 30th June, 2024 stood at Tk.482,608,700.00 consisting of 48,260,870 ordinary shares of Tk.10.00 each.

The Company obtained Consent for raising of Paid-up Capital from Bangladesh Securities and Exchange Commission (BSEC) vide their letter No. BSEC/CI/CPLC (Pvt)-333/2011/446 dated June 24, 2014. To comply the condition No. 9 of the Consent Letter of Bangladesh Securities and Exchange Commission (BSEC) dated June 24, 2014 and to comply the provisions of the Commission's Notification No. SEC/CMRRCD/2006-159/Admin/03-44 dated 05-05-2010 published in the Bangladesh Gazette dated 01-06-2010 though the paid up capital of the company exceeds Tk.400,000,000.00 (Forty crore) the status of the Company has been converted from Private Limited Company to Public Limited Company on 23rd August, 2014 and the face value of per share of the Company also changed from Tk.100.00 each to Tk.10.00 each per share.

The Company is a subsidiary company of Malek Spinning Mills PLC. which holds 97.925% share & other sponsors of Malek Spinning Mills PLC. hold 2.08% share of the company as on 30th June 2024.

Mr. A. F. M. Zubair has been elected as Chairman by the Board of Directors and Mr. A. Matin Chowdhury has been retained as the Managing Director of the company. Mr. Muhammad Abul Hossain, Independent Director of Malek Spinning Mills PLC. has been appointed as Independent Director (Non-Shareholding).

COMMERCIAL OPERATION:

Salek Textile Limited started its commercial operation on 1st day of April 2009. The production capacity of the project is 12,070,000 kgs yarn and 18,000,000 yards fabric per annum. The Company manufactures open end yarn for denim and home textile.

SEGMENT REPORTING:

Salek Textile Limited are the following different operations with spinning and weaving (denim fabric). The economic classification of the various units is of different natures, with the spinning and fabric unit being 100% deemed exporters. Furthermore, the units are located in two different locations which are independent profit centers and therefore needs to be segmented. Certain insignificant common costs are borne by main spinning unit. Based on the above principals the accounts have been divided into two segments and reported according to IFRS-8.

COMPANY'S OPERATIONS:

The position of its operating performance for the year ended 30th June, 2024 compared to previous year are given below:

Sl. No.	Description	2023-2024	2022-2023
01	Production capacity (kg) Yarn	12,070,000	12,070,000
02	Production capacity (yards) Fabric	18,000,000	18,000,000
03	Actual Production (kg) Yarn	9,749,805	7,995,292
04	Actual Production (yards) Fabric	13,064,861	11,736,047
05	Capacity Utilization (Yarn)	80.78%	66.24%
06	Capacity Utilization (Fabric)	72.58%	65.20%
07	Quantity Sold (kg) Yarn	9,598,559	8,929,916
08	Quantity Sold (yards) Fabric	13,294,705	11,201,137
09	Sales Revenue (Tk.) Yarn	2,871,214,026	2,272,091,748
10	Sales Revenue (Tk.) Fabric	3,234,142,957	2,574,354,782
11	Average selling price (Tk.) Yarn	299.13	254.44
12	Average selling price (Tk.) Fabric	243.27	229.83

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the last two years:

Description	2023-2024 (Tk.)	2022-2023 (Tk.)
Land and Land Development	49,125	--
Factory Building & Construction	37,689,001	13,537,093
Plant and Machinery	7,382,869	84,251,590
Office Equipment	2,065,199	1,848,450
Furniture & Fixtures	2,129,375	3,267,354
Electrical Installation	22,100	2,209,498
Fire Installation	24,433,822	4,983,158
Tubewell and Water Pump	--	1,418,000
Tools and Equipment	--	8,350
Total	73,771,491	111,523,493

SHAREHOLDING:

The Shareholding Position of different shareholders as at 30th June 2024 are as follows:

Name of Shareholders	No. of share hold	% of Holding
Malek Spinning Mills PLC.	47,259,700 shares	97.9255%
Mr. A. Matin Chowdhury	489,780 shares	1.0149%
Dr. Shamim Matin Chowdhury	339,340 shares	0.7031%
Mr. A.F.M. Zubair	169,830 shares	0.3519%
Ms. Saima Matin Chowdhury	410 shares	0.0008%
Mr. Azizur R. Chowdhury	510 shares	0.0011%
Mr. Moshir Rahman	650 shares	0.0013%
Mr. Shyan Zubair	650 shares	0.0013%
Total	48,260,870 shares	100%

FINANCIAL RESULTS:

The company's operating financial results, as compared to the previous year are summarized as follows:

Tk. in million

Description	2023-2024	2022-2023
Sales	4,618.73	3,949.93
Cost of goods sold	3,968.15	3,944.70
Gross profit	650.58	5.23
Operating expenses	77.78	99.99
Financial Expenses	379.07	278.79
Operating profit	193.73	(373.56)
Other Income/(loss)	59.22	78.36
Net Operating profit/(Loss)	252.95	(295.21)
Contribution to WPPF	12.05	3.21
Income Tax	99.86	81.05
Net Profit/(Loss) after tax	141.04	(379.46)
Gross Margin Ratio	14.09%	0.13%
Net Margin Ratio	3.05%	(9.61%)
Earnings per share (Tk.)	2.92	(7.86)

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Net Profit/(Loss) during the year 2023-2024	Tk. 141,042,353
Add: Balance of profit B/F from previous years	Tk. 799,058,598
Add: Transfer of excess depreciation of revalued assets	Tk. 10,008,885
Total net free surplus available for appropriation	Tk. 950,109,836

Appropriation Proposed:

Proposed Dividend	Nil
Balance carried forward to Balance Sheet as Retained Earnings	Tk. 950,109,836

DECLARATION OF DIVIDEND:

In order to strengthen the financial position of the company no dividend be and is recommended by the Board of Directors. The entire retained earnings amount Tk. 950,109,836 will be transferred to general reserves.

APPOINTMENT OF DIRECTORS:**Rotation of Directors:**

Pursuant to Article 117 of the Articles of Association of the Company Dr. Shamim Matin Chowdhury, Director and Mr. Azizur R. Chowdhury, Director will retire by rotation and being eligible as per Article 119 of the Articles of Association of the Company they offered themselves for re-election.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s Malek Siddiqui Wali, Chartered Accountants would retire at the 17th Annual General Meeting and being eligible, they offered themselves for re-appointment as Auditors for the year 2024-2025 with re-fixation of their remuneration.

BOARD MEETINGS:

During the year 2023-2024, Seven (07) Board meetings were held. The attendance record of the Directors are as follows:

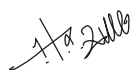
Name of Directors	Position	Meeting held	Attended
Mr. A.F.M. Zubair	Chairman	07	07
Mr. A. Matin Chowdhury	Managing Director	07	07
Dr. Shamim Matin Chowdhury	Director	07	07
Mr. Azizur R. Chowdhury	Director	07	07
Ms. Saima Matin Chowdhury	Director	07	05
Mr. Shyan Zubair	Director	07	03
Mr. Moshir Rahman	Director	07	06
Mr. Muhammad Abul Hossain	Independent Director (Non-Shareholding)	07	04

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Suppliers, Workers and Employees of the company without whose active support the result would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,



A.F.M. Zubair
Chairman

**Independent Auditors' Report
To the shareholders of Salek Textile Limited
Report on the Audit of the Financial Statements**

Opinion

We have audited the financial statements of **Salek Textile Limited** which comprise the financial position as at June 30, 2024, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, of the financial position of the company as at June 30, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis Matter

With reference to note 7.2A, this describes that the company has receivable of TK 45,94,82,147 from Denim Asia Limited related to Disposal proceeds of RMG Unit and Other materials.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls:

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements:

In accordance with the Companies Act 1994, we also report that:

- a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- b) In our opinion, proper books of accounts, records and other statutory books as required by law have been kept by the Company so far as it appeared from our examinations of those books;
- c) The Statement of Financial Position and Statement of profit and loss and other comprehensive Income, of the Company dealt with by the report are in agreement with the books of account and returns; and
- d) The expenditures incurred and payments made were for the purpose of the company's business.

Malek Siddiqui Wali, Chartered Accountants
RJSC Firm Registration No: P-50041/2022



Md. Waliullah, FCA
Enrolment No: 0247

Dated, Dhaka
October 17, 2024
Data Verification Code (DVC) No. **2410170247AS594669**

SALEK TEXTILE LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2024

Particulars	JUNE'24	Amount in Taka JUNE'23
ASSETS :		
Non-Current Assets:		
Property, Plant and Equipment	2,788,188,968	2,913,248,761
Goodwill	168,600,020	168,600,020
	2,956,788,988	3,081,848,781
Current Assets :		
Inventories	1,546,558,630	1,898,359,566
Advance, Deposit and Pre-Payments	366,121,246	503,322,530
Accounts Receivable	1,859,621,973	1,513,343,562
Non-current Assets Held for under disposal group	-	425,047,635
Other Receivable	459,482,147	-
Cash and Cash Equivalents	188,321,386	138,423,811
	4,420,105,382	4,478,497,104
TOTAL ASSETS :	7,376,894,370	7,560,345,885
SHAREHOLDER'S EQUITY AND LIABILITIES:		
Shareholder's Equity :		
Share Capital	482,608,700	482,608,700
Share Premium	601,754,814	601,754,814
Re-valuation Surplus	333,349,944	343,358,829
Retained Earnings	950,109,836	799,058,598
	2,367,823,294	2,226,780,941
Non-Current Liabilities:		
Long Term Loan	1,710,821,321	1,715,604,263
Deferred Tax Liabilities	197,976,417	187,836,332
	1,908,797,738	1,903,440,595
Current Liabilities :		
Short Term Loan	1,017,549,340	1,235,219,139
Current Portion of Long Term Loan	509,030,156	471,790,208
Acceptance Liabilities	873,420,383	948,396,968
Creditors, Accruals & Provisions	700,273,459	774,718,034
	3,100,273,338	3,430,124,349
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :	7,376,894,370	7,560,345,885
Net Assets Value Per Share (NAV)	49.06	46.14
Par Value Tk.10		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.



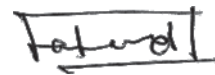
A. Matin Chowdhury
Managing Director



Azizur R. Chowdhury
Director



A.K.M. Jonaid Biswas
Chief Financial Officer



Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RISC Firm Registration No: P-50041/2022



Md. Waliullah, FCA
Enrolment No: 0247

Dhaka
October 17, 2024
DVC: 2410170247AS594669

SALEK TEXTILE LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Amount in Taka			
	Spinning Unit	Fabrics Unit	JUNE'24	JUNE'23
Sales	2,871,214,026	3,234,142,957	4,618,732,790	3,949,926,136
Cost of Goods Sold	(2,645,195,356)	(2,809,576,929)	(3,968,148,092)	(3,944,698,867)
Gross Profit/(Loss) :	226,018,670	424,566,028	650,584,698	5,227,269
Operating Expenses	(34,137,901)	(43,638,743)	(77,776,644)	(99,996,389)
Financial Expenses	(89,070,965)	(290,003,076)	(379,074,041)	(278,793,282)
Operating Profit/(Loss) :	102,809,804	90,924,209	193,734,014	(373,562,402)
Other Income/(Loss)	151,555	59,063,683	59,215,238	78,355,032
Net Operating Profit/(Loss) :	102,961,359	149,987,892	252,949,252	(295,207,370)
Contribution to WPPF	(4,902,922)	(7,142,281)	(12,045,202)	(3,206,756)
Profit/(Loss) before Tax :	98,058,437	142,845,612	240,904,049	(298,414,126)
Income Tax :	(21,546,480)	(78,315,217)	(99,861,696)	(81,048,065)
Current Tax	(9,783,927)	(25,900,515)	(35,684,442)	(48,048,854)
Prior year tax adjustment	(9,804,095)	(44,233,074)	(54,037,169)	(17,636,953)
Deferred Tax	(1,958,458)	(8,181,628)	(10,140,085)	(15,362,258)
Net Profit/(Loss) after tax:	76,511,958	64,530,395	141,042,353	(379,462,191)
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income:	76,511,958	64,530,395	141,042,353	(379,462,191)
Earnings Per Share (EPS)			2.92	(7.86)
Par Value Tk.10				
Number of Shares used to compute EPS			48,260,870	48,260,870

These financial statements were approved by the Board of Directors and were signed on it's behalf by.



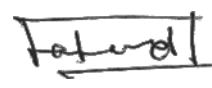
A. Matin Chowdhury
Managing Director



Azizur R. Chowdhury
Director



A.K.M. Jonaid Biswas
Chief Financial Officer



Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RISC Firm Registration No: P-50041/2022



Md. Waliullah, FCA
Enrolment No: 0247

Dhaka
October 17, 2024

DVC: 2410170247AS594669

SALEK TEXTILE LIMITED
STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Share Capital	Share Premium	Tax Holiday Reserve	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1 st July 2023	482,608,700	601,754,814	-	343,358,829	799,058,598	2,226,780,941
Net Profit/(Loss) during the year					141,042,353	141,042,353
Transfer of excess depreciation of Revalued Assets				(10,008,885)	10,008,885	-
As at 30th June 2024	482,608,700	601,754,814	-	333,349,944	950,109,836	2,367,823,294

FOR THE YEAR ENDED 30TH JUNE 2023

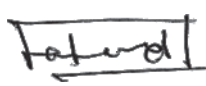
Particulars	Share Capital	Share Premium	Tax Holiday Reserve	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1 st July 2022	482,608,700	601,754,814	215,491,736	354,362,619	952,025,263	2,606,243,132
Net Profit/(Loss) during the year					(379,462,191)	(379,462,191)
Transfer of excess depreciation of Revalued Assets				(11,003,790)	11,003,790	-
Tax Holiday Reserve			(215,491,736)		215,491,736	
As at 30th June 2023	482,608,700	601,754,814	-	343,358,829	799,058,598	2,226,780,941

These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur R. Chowdhury
Director


A.K.M. Jonaid Biswas
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RJSC Firm Registration No: P-50041/2022


Md. Waliullah, FCA
Enrolment No: 0247

Dhaka
October 17, 2024
DVC: 2410170247AS594669

SALEK TEXTILE LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2024

PARTICULARS	Amount in Taka	
	JUNE'24	JUNE'23
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Bills Receivable	4,272,454,379	4,016,287,785
Payment for Raw Materials, Indirect Materials and other expenses	(3,509,160,335)	(3,879,569,091)
Payment for other customer	(34,434,512)	-
Other Income	59,133,885	78,189,699
Payment to Employee against contribution to WPPF	(5,955,897)	-
Fire Insurance Claimed received on Raw Materials & Goods	-	4,681,424
Payment for Operating Expenses	(77,389,282)	(94,824,214)
Payment of Financial Expenses	(361,433,491)	(278,791,367)
Payment for Income Tax	(35,684,441)	(48,455,868)
Net Cash provided/(used) by Operating Activities	307,530,304	(202,481,632)
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(64,985,209)	(348,416,849)
Acquisition of Capital work in progress	(8,786,282)	-
Disposal of Fixed Assets	1,200,000	-
Fire Insurance Claimed received on Assets	-	100,962,628
Net cash used in Investing Activities	(72,571,491)	(247,454,221)
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	(185,212,793)	444,391,029
Net cash provided/(used) by Financing Activities	(185,212,793)	444,391,029
Increase/(Decrease) in Cash and Cash Equivalents	49,746,020	(5,544,823)
Opening Cash and Cash Equivalents	138,423,811	143,803,301
Foreign Currency Bank deposit translation Gain/(Loss)	151,555	165,333
Closing Cash and Cash Equivalents	188,321,386	138,423,811
Net Operating Cash Flow Per Share (NOCFPS)	6.37	(4.20)
Par Value Tk.10		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.



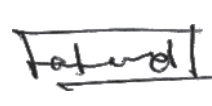
A. Matin Chowdhury
Managing Director



Azizur R. Chowdhury
Director



A.K.M. Jonaid Biswas
Chief Financial Officer



Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
 RJSC Firm Registration No: P-50041/2022



Md. Waliullah, FCA
 Enrolment No: 0247

Dhaka
 October 17, 2024
 DVC: 2410170247AS594669

NEWASIA SYNTHETICS LIMITED
DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2024

Dear Shareholders,

The Directors are pleased to present their report on the activities of the company together with the Audited Accounts and Auditors' Report thereon containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2024.

REFERRAL:

In terms of the provisions of section 184 of the Companies Act'1994 and International Financial Reporting Standards (IFRS), it is the pleasure of the Board of Directors to submit its report to the Shareholders for the year ended 30 June 2024 in the following paragraphs:

BACKGROUND:

The Company was incorporated with RJSC on 30th day of July 2008 as a Private Limited Company and subsequently on October 24, 2009 it was converted into a Public Limited Company. The Authorized Share Capital of the company has also been increased from Tk. 500,000,000.00 to Tk.5,000,000,000.00 divided into 50,000,000 ordinary shares of Tk.100.00 each. The paid-up capital as on 30th June, 2024 stood at Tk.660,000,000.00 consisting of 6,600,000 ordinary shares of Tk.100.00 each.

The Company is a subsidiary company of Malek Spinning Mills PLC. which holds 99.293% share & other sponsors of Malek Spinning Mills PLC. hold 0.707% share of the company.

Mr. A. Matin Chowdhury is the Chairman of the Company and Dr. Shamim Matin Chowdhury is the Managing Director of the Company. Mr. Muhammad Abul Hossain, Independent Director of Malek Spinning Mills PLC. has been appointed as Independent Director (Non-Shareholding) of the Company.

COMPANY'S OPERATION AND FINANCIAL RESULTS:

The following capital expenditure was incurred in the year 2023-2024 & 2022-2023.

Description	2023-2024 (Tk.)	2022-2023 (Tk.)
Land and Land Development	77,788,687	1,450,000
Total	77,788,687	1,450,000

IMPLEMENTATION SCHEDULE:

The project was undertaken to set up a PET Granule (Bottle grade & Industrial grade) and Polyester Staple Fibre manufacturing unit in the name of Newasia Synthetics Ltd. As on 30th June 2024, MSM is the holder of 99.293% shares of Newasia Synthetics Limited i.e. 6,553,338 shares of Tk.100.00 each total Tk.655,333,800.00 out of 6,600,000 shares of Tk.100.00 each total Tk.660,000,000.00. The project could not start due to failure of Gas connection by Titas Gas Transmission & Distribution Company Ltd., the project has been shelved until the Gas connection is provided.

APPOINTMENT OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 117 of the Articles of Association of the Company Mr. A. Matin Chowdhury, Director and Mr. A.F.M. Zubair, Director will retire by rotation and being eligible as per Article 119 of the Articles of Association of the Company they offered themselves for re-election.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s. Malek Siddiqui Wali, Chartered Accountants would retire at the 16th Annual General Meeting and being eligible, have offered themselves for re-appointment as Auditors for the year 2024-2025 with re-fixation of their remuneration.

APPOINTMENT OF MANAGING DIRECTOR:

In terms of the provisions of the Companies Act, 1994 the current tenure of the Managing Director expired on 24th October, 2024. The Board of Directors in its meeting held on 16th October, 2024 approved the re-appointment of Dr. Shamim Matin Chowdhury as Managing Director of the company for a further period of 5 (Five) years with effect from 24th October, 2024 on the existing terms and conditions. The Board also recommended to the shareholders for approval of the re-appointment of Dr. Shamim Matin Chowdhury as Managing Director of the company.

BOARD MEETINGS:

During the year 2023-2024, Five (05) Board meetings were held. The attendance record of the Directors are as follows:

Name of Directors	Position	Meeting held	Attended
Mr. A. Matin Chowdhury	Chairman	05	05
Dr. Shamim Matin Chowdhury	Managing Director	05	05
Mr. A. F. M. Zubair	Director	05	05
Mr. Moshir Rahman	Director	05	04
Mr. Muhammad Abul Hossain	Independent Director (Non-Shareholding)	05	04

FINANCIAL ACCOUNTS:

As the Company did not commence production & marketing but due to operating and financial expenses Net Loss incurred Tk.2,437,733 in the Statement of Profit or Loss and other Comprehensive Income for the year ended on 30th June, 2024.

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders of the company.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,



A. Matin Chowdhury
Chairman

Independent Auditors' Report

To the shareholders of Newasia Synthetics Limited
Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Newasia Synthetics Limited which comprise the financial position as at June 30, 2024, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, of the financial position of the company as at June 30, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls:

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements:

In accordance with the Companies Act 1994, we also report that:

- a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- b) In our opinion, proper books of accounts, records and other statutory books as required by law have been kept by the Company so far as it appeared from our examinations of those books;
- c) The Statement of Financial Position and Statement of profit and loss and other comprehensive Income, of the Company dealt with by the report are in agreement with the books of account and returns; and
- d) The expenditures incurred and payments made were for the purpose of the company's business.

Malek Siddiqui Wali, Chartered Accountants
RJSC Firm Registration No: P-50041/2022



Swadesh Ranjan Saha FCA
Enrolment No: 0718

Dated, Dhaka
October 17, 2024

Data Verification Code (DVC) No. **2410170718AS109298**

NEWASIA SYNTHETICS LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2024

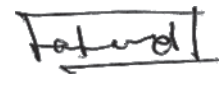
Particulars	JUNE'24	Amount in Taka JUNE'23
ASSETS :		
Non-Current Assets :		
Property Plant & Equipment	2,222,939,732	2,145,302,959
	2,222,939,732	2,145,302,959
Current Assets :		
Advance, Deposit and Pre-Payments	2,648,573	18,703,073
Cash and Cash Equivalents	41,168	820,613
	2,689,741	19,523,686
TOTAL ASSETS :	2,225,629,473	2,164,826,645
SHAREHOLDER'S EQUITY AND LIABILITIES:		
Shareholder's Equity :		
Share Capital	660,000,000	660,000,000
Re-valuation Surplus	1,341,650,365	1,341,650,365
Retained Earnings	(31,108,736)	(28,671,003)
	1,970,541,629	1,972,979,362
Current Liabilities :		
Loan from Director	40,000,000	-
Creditors & Accruals	215,087,844	191,847,283
	255,087,844	191,847,283
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :	2,225,629,473	2,164,826,645
Net Assets Value Per Share (NAV)	298.57	298.94
Par Value Tk.100		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Martin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


A.K.M. Jonaid Biswas
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RJSC Firm Registration No: P-50041/2022


Swadesh Ranjan Saha FCA
Enrolment No: 0718

Dhaka
October 17, 2024
DVC: 2410170718AS109298

NEWASIA SYNTHETICS LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2024

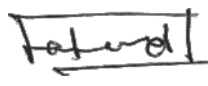
Particulars	Amount in Taka	
	JUNE'24	JUNE'23
Sales	-	-
Cost of Goods Sold	-	-
Gross Profit/(Loss) :	-	-
Operating Expenses	(2,869,083)	(3,557,224)
Financial Expenses	(18,650)	(102,711)
Operating Profit/(Loss) :	(2,887,733)	(3,659,935)
Other Income/(Loss)	600,000	-
Net Operating Profit/(Loss) :	(2,287,733)	(3,659,935)
Provision for Contribution to WPPF	-	-
Profit/(Loss) before Tax :	(2,287,733)	(3,659,935)
Income Tax :	(150,000)	-
Current Tax	(150,000)	-
Net Profit/(Loss) after tax	(2,437,733)	(3,659,935)
Other Comprehensive Income	-	-
Total Comprehensive Income	(2,437,733)	(3,659,935)
Earnings Per Share (EPS)	(0.37)	(0.55)
Par Value Tk.100		
Number of Shares used to compute EPS	6,600,000	6,600,000

These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


A.K.M. Jonaid Biswas
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RISC Firm Registration No: P-50041/2022


Swadesh Ranjan Saha FCA
Enrolment No: 0718

Dhaka
October 17, 2024
DVC: 2410170718AS109298

NEWASIA SYNTHETICS LIMITED
STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH JUNE 2024

Particulars	Share Capital	Revaluation Surplus of Fixed Assets	Share Money Deposit	Retained Earnings	Total
Balance as on 1st July 2023	660,000,000	1,341,650,365	-	(28,671,003)	1,972,979,362
Net Profit/(Loss) during the year				(2,437,733)	(2,437,733)
As at 30th June 2024	660,000,000	1,341,650,365	-	(31,108,736)	1,970,541,629

FOR THE YEAR ENDED 30TH JUNE 2023

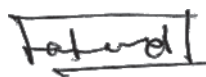
Particulars	Share Capital	Revaluation Surplus of Fixed Assets	Share Money Deposit	Retained Earnings	Total
Balance as on 1st July 2022	660,000,000	1,341,650,365	-	(25,011,068)	1,976,639,297
Net Profit/(Loss) during the year				(3,659,935)	(3,659,935)
As at 30th June 2023	660,000,000	1,341,650,365	-	(28,671,003)	1,972,979,362

These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


A.K.M. Jonaid Biswas
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RJSC Firm Registration No: P-50041/2022



Swadesh Ranjan Saha FCA
Enrolment No: 0718

Dhaka
October 17, 2024
DVC: 2410170718AS109298

NEWASIA SYNTHETICS LIMITED
STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30TH JUNE 2024

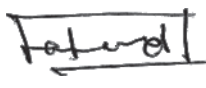
PARTICULARS	Amount in Taka	
	JUNE'24	JUNE'23
CASH FLOW FROM OPERATING ACTIVITIES :		
Other Income/(Loss)	600,000	-
Payment for Operating Expenses	(2,896,950)	(3,349,811)
Payment for Other expenses	(4,268)	94,756
Payment for Financial Expenses	(18,650)	(102,711)
Payment for Income Tax	(75,000)	-
Net Cash provided/(used) by Operating Activities	(2,394,868)	(3,357,766)
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(61,659,187)	(2,901,734)
Net Cash used in Investing Activities	(61,659,187)	(2,901,734)
CASH FLOW FROM FINANCING ACTIVITIES :		
Loan from Directors	40,000,000	-
Payable to Other Creditors	23,274,610	-
Net cash provided/(used) by Financing Activities	63,274,610	-
Increase/(Decrease) in Cash and Cash Equivalents	(779,445)	(6,259,500)
Opening Cash and Cash Equivalents	820,613	7,080,113
Closing Cash and Cash Equivalents	41,168	820,613
Net Operating Cash Flow Per Share (NOCFPS)	(0.36)	(0.51)
Par Value Tk.100		

These financial statements were approved by the Board of Directors and were signed on it's behalf by.


A. Matin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


A.K.M. Jonaid Biswas
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Malek Siddiqui Wali, Chartered Accountants
RJSC Firm Registration No: P-50041/2022


Swadesh Ranjan Saha FCA
Enrolment No: 0718

Dhaka
October 17, 2024
DVC: 2410170718AS109298

J.M. FABRICS LIMITED
DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2024

Dear Shareholders,

In terms of provisions of section 184 of Companies Act'1994 and International Financial Reporting Standards (IFRS), the Board of Directors is pleased to submit its Report to the Shareholders together with Audited Accounts and Auditors' Report thereon, containing Statement of Financial Position, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2024.

BACKGROUND:

The Company was incorporated with RJSC on 25th day of May 2005 as a Private Limited Company. The authorized share capital of the company has been increased from Tk.500,000,000.00 to Tk.2,000,000,000.00 divided into 20,000,000 ordinary shares of Tk.100.00 each vide Special Resolution dated 20th February 2022. The paid-up capital as on 30th June, 2024 stood at Tk.400,000,000.00 consisting of 4,000,000 ordinary shares of Tk.100.00 each of which 3,999,900 shares of Tk.100.00 each was held by Malek Spinning Mills PLC.

The Company is a subsidiary company of Malek Spinning Mills PLC. which holds 99.998% share & others sponsor of Malek Spinning Mills PLC. holds 0.002% share of the company as on 30th June 2024.

Mr. A. Matin Chowdhury is the Chairman of the Company and Mr. Azizur R. Chowdhury is the Managing Director of the Company. Mr. Muhammad Abul Hossain, Independent Director of Malek Spinning Mills PLC. has been appointed as Independent Director (Non-Shareholding) of the Company.

COMMERCIAL OPERATION:

J. M. Fabrics Limited started its commercial operation on 18th day of August 2007. The Company is engaged in the production of 100% export-oriented Garments and Knit Fabric with a production capacity of 18 Metric Tons dyed fabric and 83 (eighty-three) lines of cutting and sewing operation with all necessary facilities, storage etc.

COMPANY'S OPERATIONS:

The position of its operating performance for the year ended 30th June, 2024 is given below:

(1) CAPACITY/PRODUCTION

The Company's installed estimated production capacity is 54,729,000 Pcs of Basic T-Shirt, Polo-Shirt, Intimate & Seamless Garments per annum, earlier which was 52,944,000 Pcs. During the reporting period seamless production capacity increased due to increase of order. Due to increase of RMG products order, we had to increase production line in Seamless Unit. As a result, total number of production quantity increased. A comparative position of its operating performance is given below:

Sl. No.	Description	2023-2024	2022-2023
01	Production capacity (Pcs.)	54,729,000	52,944,000
02	Actual Production (Pcs.)	33,548,829	33,025,124
03	Capacity Utilization (Average)	61.30%	62.38%
04	Quantity Sold (Pcs.)	36,211,639	35,079,704
05	Sales Revenue (Tk.)	15,182,047,791	10,323,055,131
06	Average selling price (Tk.)	419.25	294.27

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the year 2023-2024 as compared to the previous year:

Description	2023-2024 (Tk.)	2022-2023 (Tk.)
Land and Land Development	--	88,767,366
Building and Civil Construction	5,233,593	4,854,975
Plant and Machinery	274,931,766	267,766,993
Equipment and Installation	10,658,902	17,151,744
Furniture & Fixtures	2,191,925	12,649,243
Utilities Facility	59,730,781	21,969,933
Transport Facility	9,472,850	--
Total	362,219,817	413,160,254

SHAREHOLDING:

The Shareholding Position of different shareholders as at 30th June 2024 are as follows:

Name of Shareholders	No. of share held
Malek Spinning Mills PLC.	3,999,900 shares
Mr. A.F.M. Zubair	60 shares
Mr. Azizur R. Chowdhury	20 shares
Ms. Saima Matin Chowdhury	20 shares
Total	4,000,000 shares

FINANCIAL RESULTS:

The company's operating financial results, as compared to the previous year are summarized as follows:

Tk. in million

Description	2023-2024	2022-2023
Turnover	15,182.05	10,323.06
Cost of goods sold	13,775.88	9,474.29
Gross profit	1,406.17	848.77
General and Administrative Expenses	55.83	53.02
Financial Cost	141.90	141.62
Operating profit	1,208.44	654.13
Other income	131.27	137.62
Net Profit before tax	1,339.71	791.75
Provision for Income Tax	162.87	136.92
Net profit after tax	1,176.84	654.83
Gross Margin Ratio	9.26%	8.22%
Net Margin Ratio	7.75%	6.34%
Earnings per share (Tk.)	294.21	163.71

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Net Profit (after tax) during the year 2023-2024	Tk.1,176,844,390
Add: Profit brought forward from previous year balance sheet	Tk.1,905,599,847
Add: Adjustment of excess depreciation of revalued assets	Tk. 1,598,626
Total net free surplus available for appropriation	Tk.3,084,042,863

Appropriation Proposed:

Final cash dividend @ 30% i.e. Tk.30/- per share of Tk.100/- each	(Tk.120,000,000)
Balance carried forward to Balance Sheet as Retained earnings	Tk.2,964,042,863

DECLARATION OF DIVIDEND:

Earlier the Board of Directors declared 30% interim cash dividend to the shareholders based on 3rd quarter un-audited financial statement. The Board also recommended to the shareholders for approval of the said 30% interim cash dividend as final dividend for the year ended 30th June, 2024 in the AGM, which requires Tk. 120,000,000/- for disbursement of cash dividend.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s. Das Chowdhury Dutta & Co., Chartered Accountants would retire at the 19th Annual General Meeting and being eligible, have offered themselves for re-appointment as Auditors for the year 2024-2025 with fixation of their remuneration.

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Suppliers, Workers and Employees of the company without whose active support the result would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,


A. Matin Chowdhury
 Chairman

INDEPENDENT AUDITORS' REPORT
To the Shareholders of J. M. Fabrics Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **J. M. Fabrics Limited** which comprise the statement of financial position as at **30 June 2024**, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the company as at **30 June 2024**, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with the International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the financial statements section of our report. We are independent auditors of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Bangladesh, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended **30 June 2024**. These matters were addressed in the context of our audit of the financial statements, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the auditor's responsibilities for the audit of the financial statements section of our report including in relation to these matters.

Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatements of the financial statements. These results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Risk	Our responses to the risk
Revenue Recognition The company's total revenue of Tk. 15,182,047,791 as reported herein is measured at net of discounts, incentives and rebates being allowed to number of customers which has material effect in revenue recognition due to inherent complex and judgmental nature. As such, risk associated in revenue recognition with respect to estimation of discount, incentives and rebates which is expected to be influenced by the management for fulfilling the performance target.	We have tested the design and operating effectiveness of calculation of discounts, incentives and rebates having checked the invoices raised from time to time for revenue recognition. We have also applied substantive procedure to check the current year's revenue, agreeing to sample claims, rebates, and accruals to the recorded transactions with bank deposit reconciliation and necessary documentation and presentation of disclosures in accordance with respective accounting standards.



Risk	Our responses to the risk
Valuation of Inventories Inventories of Tk. 1,632,563,698 as at 30 June 2024 is measured at the lower of cost and net realizable value considering the appropriate values of slow moving or obsolete items.	We were present at the time of physical inventory to check and compare the results between maintained records with physical existence and to identify the slow and obsolete items. Short/excess found have been reconciled and adjusted. Net realizable value has been recalculated for disclosing in accordance with respective accounting standards.
Deferred Tax Liabilities The deferred tax liability of Tk. 87,845,915 as at 30 June 2024 is neither payable nor to be paid in future. This is measured and recognized at the value of difference between accounting base and tax base. This requires a significant assessment procedure for determining such liabilities.	The company has recognized deferred tax liabilities by using assumptions between recorded transactions of accounting base and tax base. We have evaluated the operational effectiveness with respect to recognition and measurement of deferred tax liabilities. However, the measured amount is nothing but an estimate subject to discretionary provisions of income tax law.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information which we are required to report the fact, but we have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies Act 1994, and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so and those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standard on Auditing (ISAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken based on these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We are also:

- Identify and assess the risks of material misstatements of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that

is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from errors, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosures about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act 1994 and other applicable laws and regulations, we also report that:

- (a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made verification thereof.
- (b) In our opinion, a proper book of accounts as required by law has been kept by the Company so far as it appeared from our examination of those books.
- (c) The Company's statement of financial position, statement of profit or loss and other comprehensive income together with the notes to the financial statements dealt with by the report agree with the books of accounts and returns.
- (d) The expenditure incurred was for the purpose of the Company's business.

Dhaka, 02 OCT 2024



Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090
DVC No. 2410210500AS546015

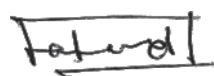
J. M. Fabrics Limited
Statement of Financial Position
As at 30 June 2024

Particulars	Amount in Taka	
	30.06.2024	30.06.2023
ASSETS		
Non-Current Assets	4,568,940,701	3,420,644,150
Property, plant and equipment	3,232,692,541	3,091,221,754
Revalued fixed assets	158,531,765	160,348,386
Capital work in progress	1,177,716,395	169,074,010
Current Assets	5,332,449,130	4,059,163,935
Inventories	1,632,563,698	1,854,347,360
Advances, deposits and pre-payments	268,167,578	243,554,420
Accounts receivable	1,918,035,080	1,454,226,775
Cash and cash equivalents	1,513,682,774	507,035,380
Total Assets	9,901,389,831	7,479,808,085
SHAREHOLDERS' EQUITY AND LIABILITIES:		
Shareholders' Equity	3,498,598,529	2,441,754,139
Share capital	400,000,000	400,000,000
Revaluation reserve	134,555,666	136,154,292
General reserve and surplus	2,964,042,863	1,905,599,847
Non-Current Liabilities	1,345,141,283	975,961,852
Long term loan from bank	1,257,295,368	888,525,733
Deferred tax liabilities	87,845,915	87,436,119
Current Liabilities	5,057,650,019	4,062,092,094
Short term loan	2,460,293,166	1,470,665,600
Current portion of long term loan	258,076,413	331,317,672
Accounts payable	143,236,434	156,650,724
Loan from director	-	-
Bank acceptance liabilities	1,847,179,398	1,781,532,389
Liabilities for expenditure	348,864,608	321,925,709
Total Equity and Liabilities	9,901,389,831	7,479,808,085
Net Assets Value (NAV) Per Share (Including Revaluation surplus)	874.65	610.44


A. Matin Chowdhury
Chairman


Azizur R. Chowdhury
Managing Director


Amit Kumar Saha
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Signed in terms of our report of even date annexed.

Dhaka, 02 OCT 2024


Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090

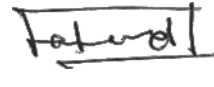
J. M. Fabrics Limited
Statement of Profit or Loss and Other Comprehensive Income
For the year ended on 30 June 2024

Particulars	Amount in Taka	
	30.06.2024	30.06.2023
Turnover - Export earnings	15,182,047,791	10,323,055,131
Cost of goods sold	(13,775,882,472)	(9,474,288,089)
Gross Profit / (Loss)	1,406,165,319	848,767,042
Operating Expenses	(197,725,811)	(194,638,201)
Administrative expenses	(45,069,078)	(42,579,184)
Selling and distribution expenses	(10,760,632)	(10,436,079)
Financial expenses	(141,896,101)	(141,622,938)
Operating Profit / (Loss)	1,208,439,508	654,128,841
Other income/(loss)	131,271,422	137,624,366
Net Profit Before Tax	1,339,710,930	791,753,207
Provision for Income Tax	(162,866,540)	(136,920,946)
Provision for tax - current year	(162,456,744)	(117,961,789)
Provision for deferred tax	(409,796)	(18,959,157)
Net Profit After Tax	1,176,844,390	654,832,261
Earnings Per Share (EPS)	294.21	163.71
Number of shares used to compute earning per share (EPS)	4,000,000	4,000,000


A. Matin Chowdhury
Chairman


Azizur R. Chowdhury
Managing Director


Amit Kumar Saha
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Signed in terms of our report of even date annexed.

Dhaka, 02 OCT 2024


Sunirmal Chowdhury FCA
ICAB Enrollment No. 0500
FRC Enrollment No. CA-001-299
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
FRC Enrollment No. CAF-001-090

J. M. Fabrics Limited
Statement of Changes in Equity
For the year ended on 30 June 2024

Particulars	Share Capital	Revaluation Reserve	General Reserve and Surplus	Total
Balance as at 01 July 2023	400,000,000	136,154,292	1,905,599,847	2,441,754,139
Net profit / (loss) for the year	0	0	1,176,844,390	1,176,844,390
Interim Cash Dividend for the year 2023-2024 (Note-13.01)	0	0	(120,000,000)	(120,000,000)
Adjustment of revaluation surplus with general reserve and surplus for depreciation charged on revalued assets	0	(1,598,626)	1,598,626	-
Balance as at 30 June 2024	400,000,000	134,555,666	2,964,042,863	3,498,598,529

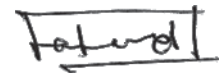
For the year ended 30 June 2023

Particulars	Share Capital	Revaluation Reserve	General Reserve and Surplus	Total
Balance as at 01 July 2022	400,000,000	137,748,550	1,249,173,328	1,786,921,878
Net profit / (loss) for the year	0	0	654,832,261	654,832,261
Adjustment of revaluation surplus with general reserve and surplus for depreciation charged on revalued assets	0	(1,594,258)	1,594,258	-
Balance as at 30 June 2023	400,000,000	136,154,292	1,905,599,847	2,441,754,139


A. Matin Chowdhury
Chairman


Azizur R. Chowdhury
Managing Director

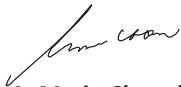

Amit Kumar Saha
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Dhaka, 02 OCT 2024

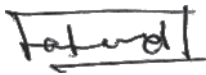
J. M. Fabrics Limited
Statement of Cash Flows
For the year ended on 30 June 2024

Particulars	Amount in Taka	
	30.06.2024	30.06.2023
Cash Flows from Operating Activities:		
Collection from turnover and accounts receivable	14,718,239,486	10,310,647,164
Collection from other income	130,803,895	137,316,888
Foreign currency gain / (loss)	467,527	307,478
Payment for purchase of raw materials	(13,335,507,461)	(8,940,538,046)
Payment for operating expenses	(51,855,408)	(49,307,773)
Payment for financial expenses	(141,896,101)	(138,328,406)
Increase in advances, deposits and prepayments	(24,613,159)	(118,736,379)
Increase/(Decrease) in liabilities	189,419,739	324,046,971
Tax paid	(162,456,744)	(117,961,789)
Net Cash Provided/ (Used) by Operating Activities	1,322,601,774	1,407,446,108
Cash Flows from Investing Activities:		
Acquisition of fixed assets including CWIP	(1,481,110,323)	(496,216,298)
Net Cash Provided/(Used) by Investing Activities	(1,481,110,323)	(496,216,298)
Cash Flows from Financing Activities:		
Loan received from bank	1,285,155,943	(898,336,523)
Dividend disbursed to Shareholders	(120,000,000)	-
Loan received from directors	-	(25,500,000)
Net Cash Provided/(Used) by Financing Activities	1,165,155,943	(923,836,523)
Increase/(Decrease) in Cash and Cash Equivalents	1,006,647,394	(12,606,713)
Opening balance of Cash and Cash Equivalents	507,035,380	519,642,093
Closing balance of Cash and Cash Equivalents	1,513,682,774	507,035,380
Net Operating Cash Flows Per Share (NOCFPS)	330.65	351.86


A. Matin Chowdhury
Chairman


Azizur R. Chowdhury
Managing Director


Amit Kumar Saha
Chief Financial Officer


Md. Eshaque Fahad
Asst. Company Secretary

Dhaka, 02 OCT 2024

BANGLADESH ASSOCIATION OF PUBLICLY LISTED COMPANIES

Ref. No: CM-2024/109



Date of issue : February 1, 2024

Renewed Certificate

This is to certify that

MALEK SPINNING MILLS LIMITED

*is an Ordinary Member of Bangladesh Association of Publicly Listed Companies
and is entitled to all the rights and privileges appertaining thereto.*

This certificate remains current until 31st December 2024.




Secretary General

Malek Spinning Mills PLC.

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower One One Seven, 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh

PROXY FORM

I/We.....

of.....

being a member of Malek Spinning Mills PLC. and a holder of shares

hereby appoint Mr/Mrs/Miss.....

of.....

as my/our proxy to attend and vote for me/us on my/our behalf at the 35th Annual General Meeting of the Company to be held on Wednesday, December 18, 2024 at 11.00 a.m. under virtual platform through the link **<https://www.digitalagmbd.net/malekspin>**

As witness my hand this day2024

**Affix Revenue
Stamp**

Signature of the Proxy
Dated:

Signature of the Member
Dated:

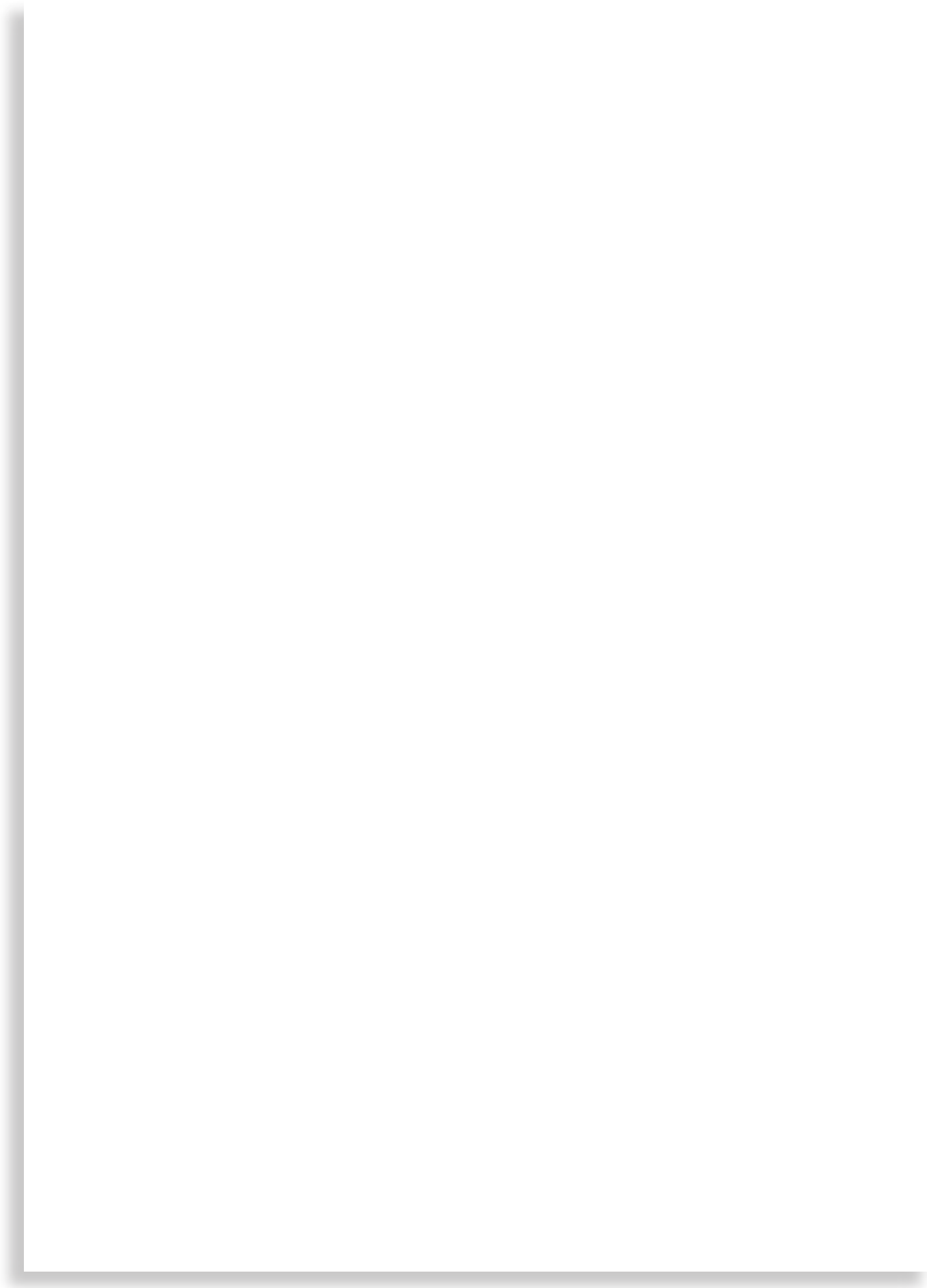
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Note: A member entitled to attend and vote at the Annual General Meeting may appoint proxy to attend and vote in his/her stead. The proxy form should reach at the Corporate Head Office of the Company not less than 72 hours before the time fixed for the meeting.

Signature Verified

Authorized Signature
Malek Spinning Mills PLC.





Malek Spinning Mills PLC.

Registered Office:

117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh.

Corporate Head Office:

Tower One One Seven, 117/A, Tejgaon Industrial Area, Dhaka-1208

Tel: IPT+8809612111177-92, 880-2-8878065, Fax: 880-2-8878064

E-mail: allabj@newasiabd.com, Website: www.malekspinning.com

Factory:

Shafipur, Kaliakoir, Gazipur